4P / STP

Explaining 150+ fundamental concepts of marketing

Digital Marketing

Exclusive section for Digital marketing concepts

Examples of 2020

Updated with latest examples (No age-old clichés)

Gen-Z Marketing

50+ New Topics like Startups, Meme Marketing, Moment marketing, etc.

Marketing '21

Compendium

A Marketing Weekly Original

500+ Latest concept examples:

About Marketing Weekly

At Marketing Weekly, we aspire to deliver unbiased analysis on the most recent and relevant topics in the realms of marketing and corporate strategy.

With each post, we aim to provide a fresh perspective on business by linking concepts to corporate actions, thus hoping to inspire our readers to critically examine brands and initiatives that shape their lives and the world around them.

We aim to grow the network of B-School students and aspirants that frequent the platform and provide them access to premium marketing content for preparatory and leisure reading.

Connect with Chief Creator **Gunjan Solanki** here on Linkedin.

To get all our future publications like Digital Marketing Compendium, Competition Playbook, etc.

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This compendium will serve as a comprehensive guide geared for summer/final placement activities. We have covered commonly assessed conceptual and case-based materials that companies rely on to better understand the breadth & depth of a candidate's knowledge.

Special credit to Freepik.com & Flaticon.com for wonderful images

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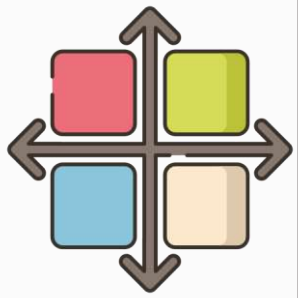

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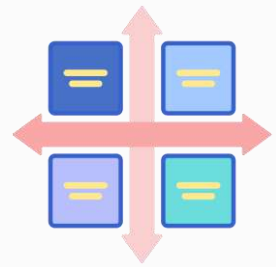
Ansoff Matrix



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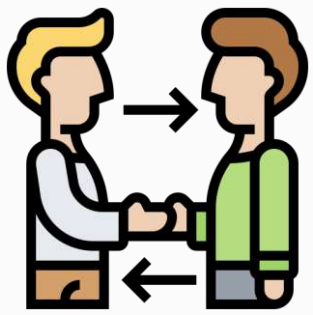

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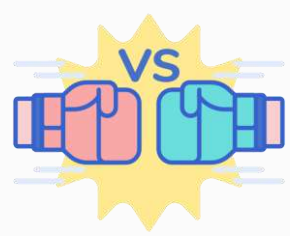

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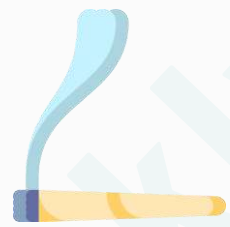

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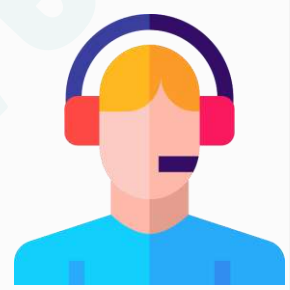

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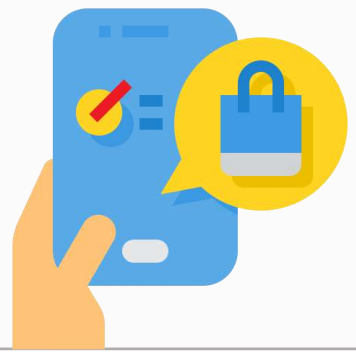

Further Readings:

Best Articles

Our Top Infographs

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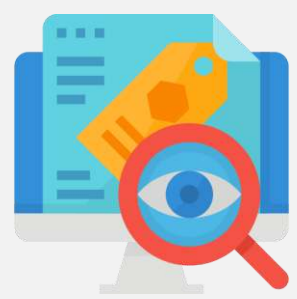

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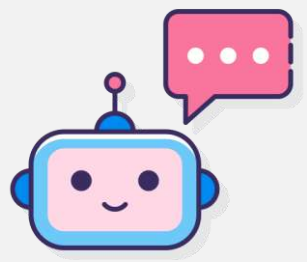

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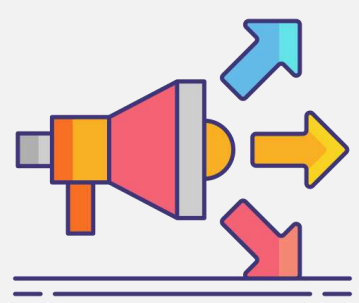


Psychology of Selling

Conditioning Techniques

Hyperbolic Discounting

MARKETING

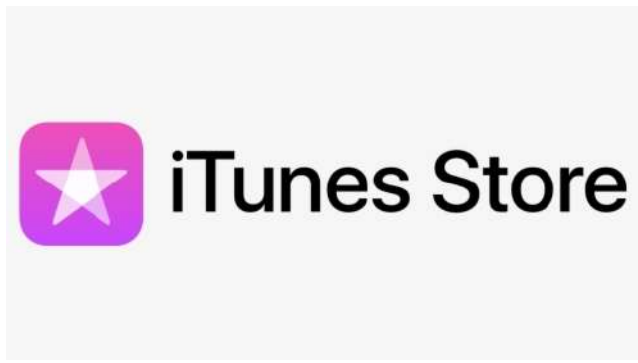
MARKETING

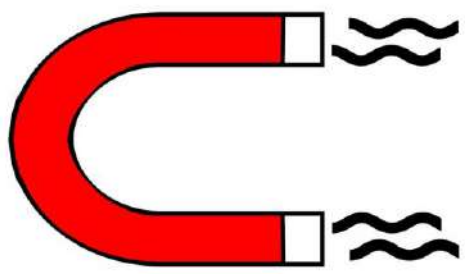
Marketing is **meeting consumer demands profitably**. It starts by identifying a gap in the Market - something for which there is an inert need/want that isn't sufficiently met.

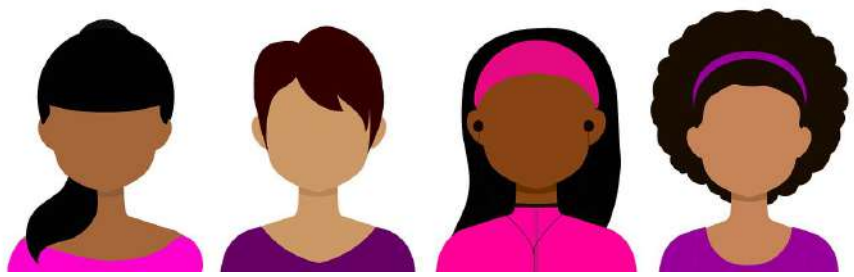
Marketing works its way from here to building a product or a service that meets those needs and wants.

Marketing covers broad areas ranging from finding the right Target Group (TG) to pricing and communication strategies.

For now, Understand that a **successful marketing execution brings prospects to you (its a Pull strategy).**







A great example of identifying gaps in the Market is **Apple's iTunes**.
iTunes changed the music industry by making it possible for customers to **own thousands of songs** on one listening device **at a very reasonable price.**
Prior to this, owning Music was costly and piracy had encompassed the Music Industry.

SELLING

Selling is a process of **convincing a prospect on buying your product** or service (**it's a push strategy**).

This could be done by the Salesperson at your door or your local shopkeeper or a luxury showroom salesperson or in the digital world, the ecommerce website nudging you to make a purchase.

A well marketed product as against a poorly marketed product **requires less effort in selling.**

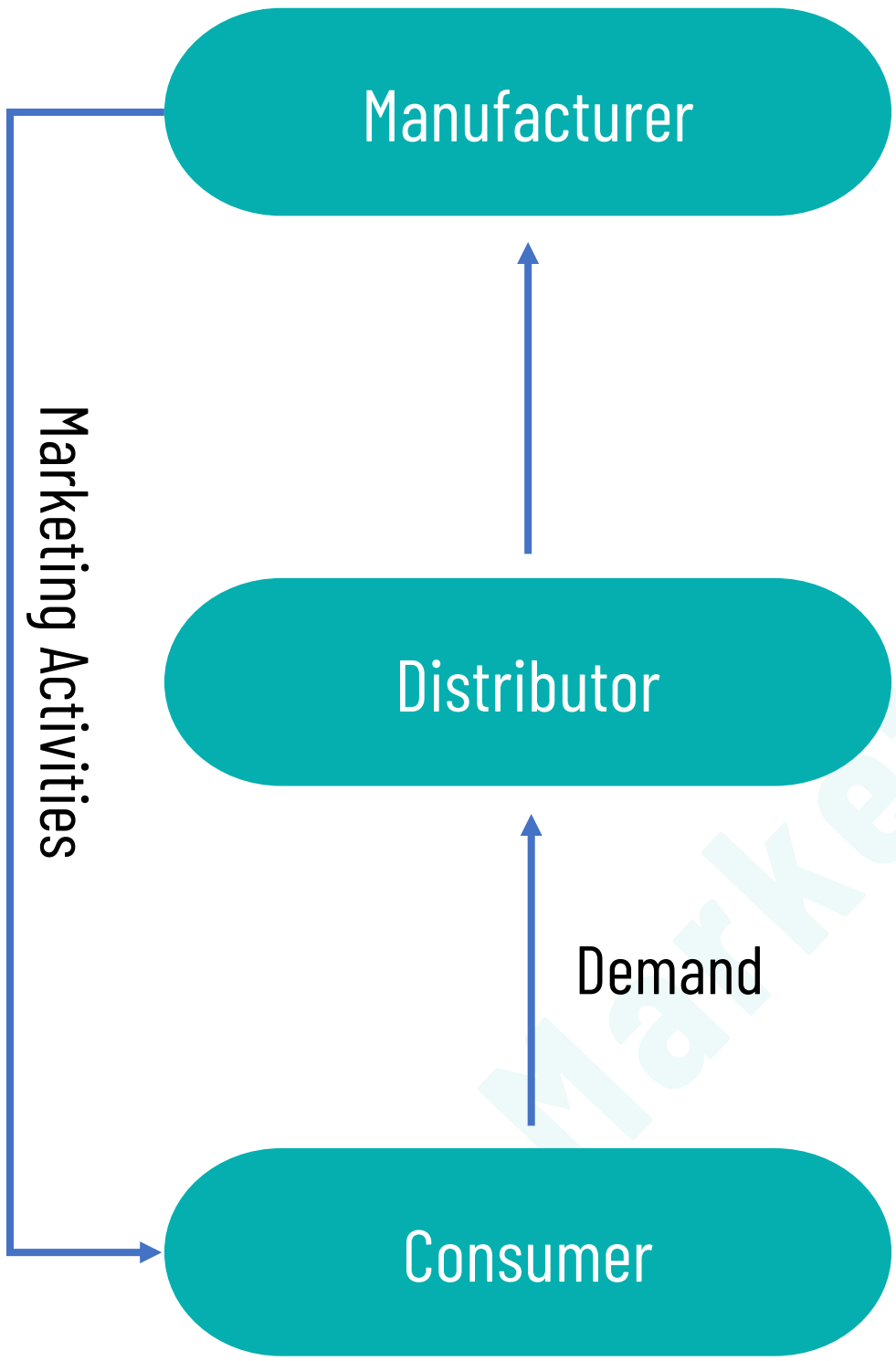
For Instance, it is easier to sell an **HDFC** savings account than it is to sell an **IndusInd** bank account. You are more likely to receive a cold call from IndusInd explaining to you the benefits of opening an account with them.

In certain Industries **where product and/or service differentiation is difficult to achieve, revenues are driven primarily by pushing products** to consumers.

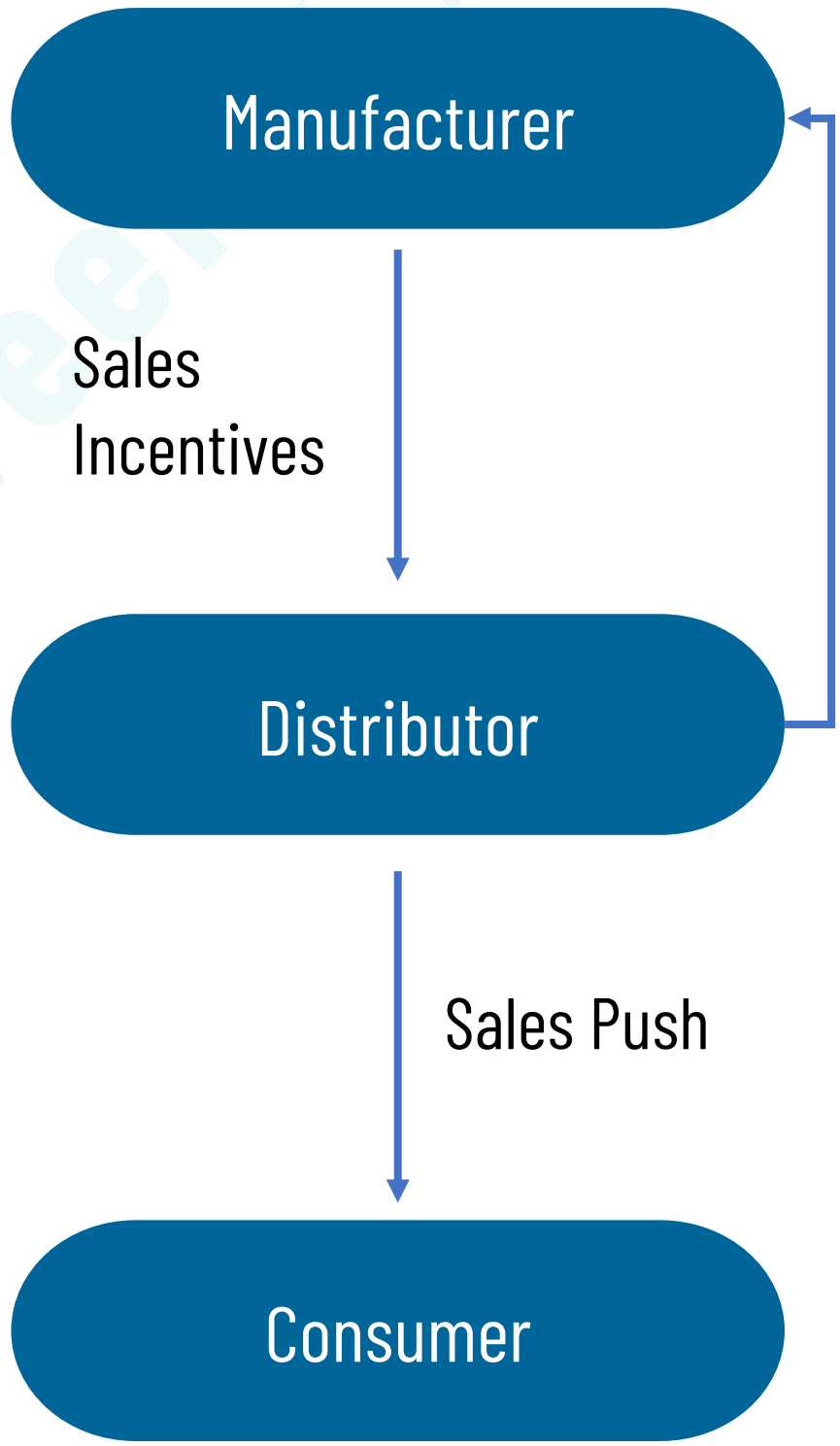
For Instance, In Telecom product differentiation between **Airtel and Vodafone** is minimal. These companies focus on selling and strengthening regions of operations.

MARKETING VS SELLING

Marketing Concept



Selling Concept



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MARKETING VS SELLING: ONE VIEW

Marketing	Selling
Pull Strategy	Push Strategy
Customer centric	Product centric
Revenue generated from providing right product to the right audience	Revenue generated from reaching out to as many consumers as possible
Focuses on increasing revenue by optimizing the processes	Focuses on increasing revenue by increasing the volume of sales
Long Term Planning	Short Term Planning

wework

Amway

BEARDO

EUREKA FORBES
Your friend for life

Coca-Cola

ORIFLAME
SWEDEN

Interesting Read: [The art of Direct Selling]

MARKETING MIX

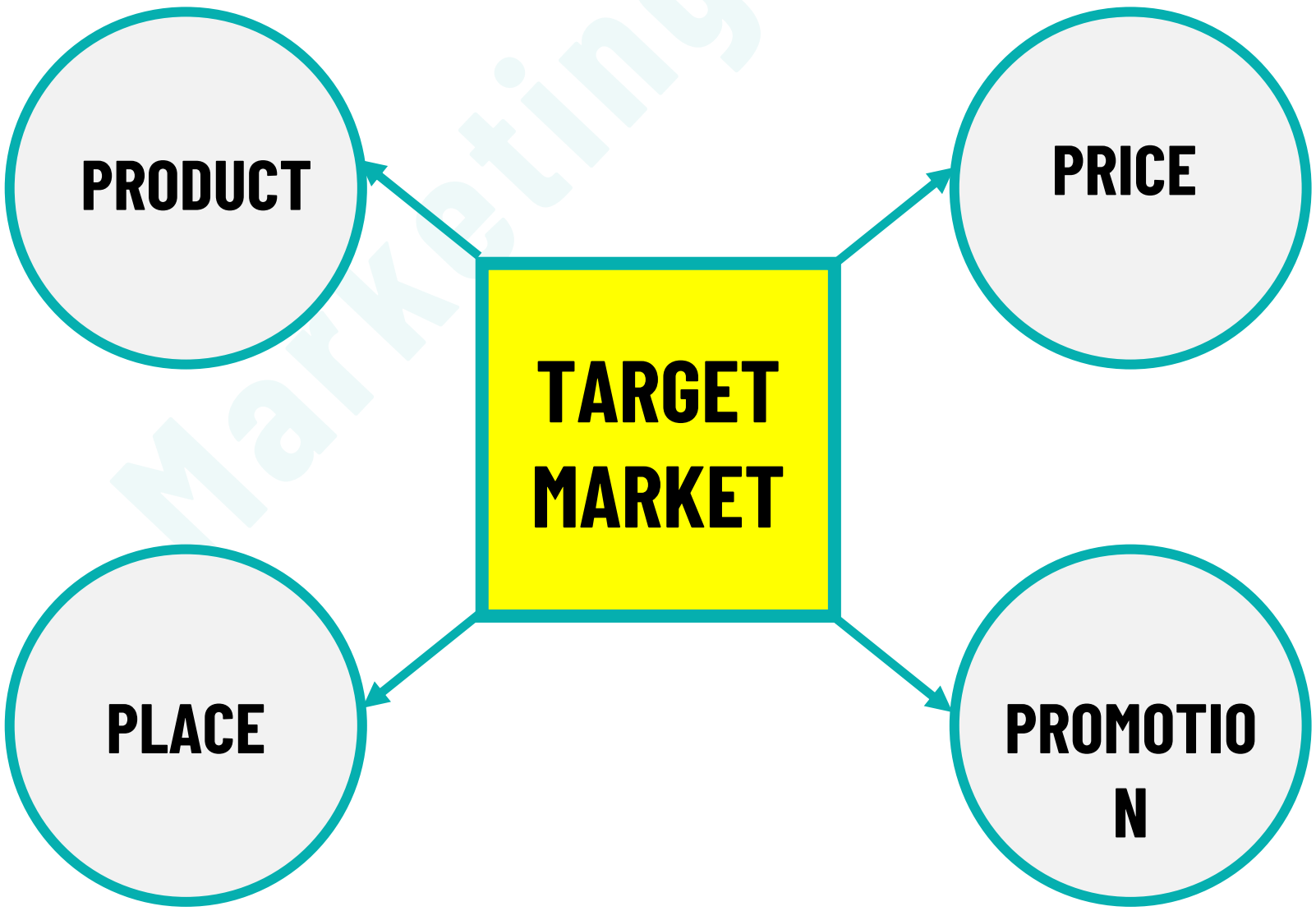
Do you know what makes a product/service **successful** in the market?

The first step is to get the Market Mix right!
The marketing mix is about putting the right product or a combination thereof in the right place, at the right time, and the right price.

There are broadly 2 concepts in the marketing Mix: 4PS & 7PS

4Ps

E. Jerome McCarthy created the Marketing 4Ps in the 1960s. It stands relevant even today and is used by various companies for their GTM strategy.



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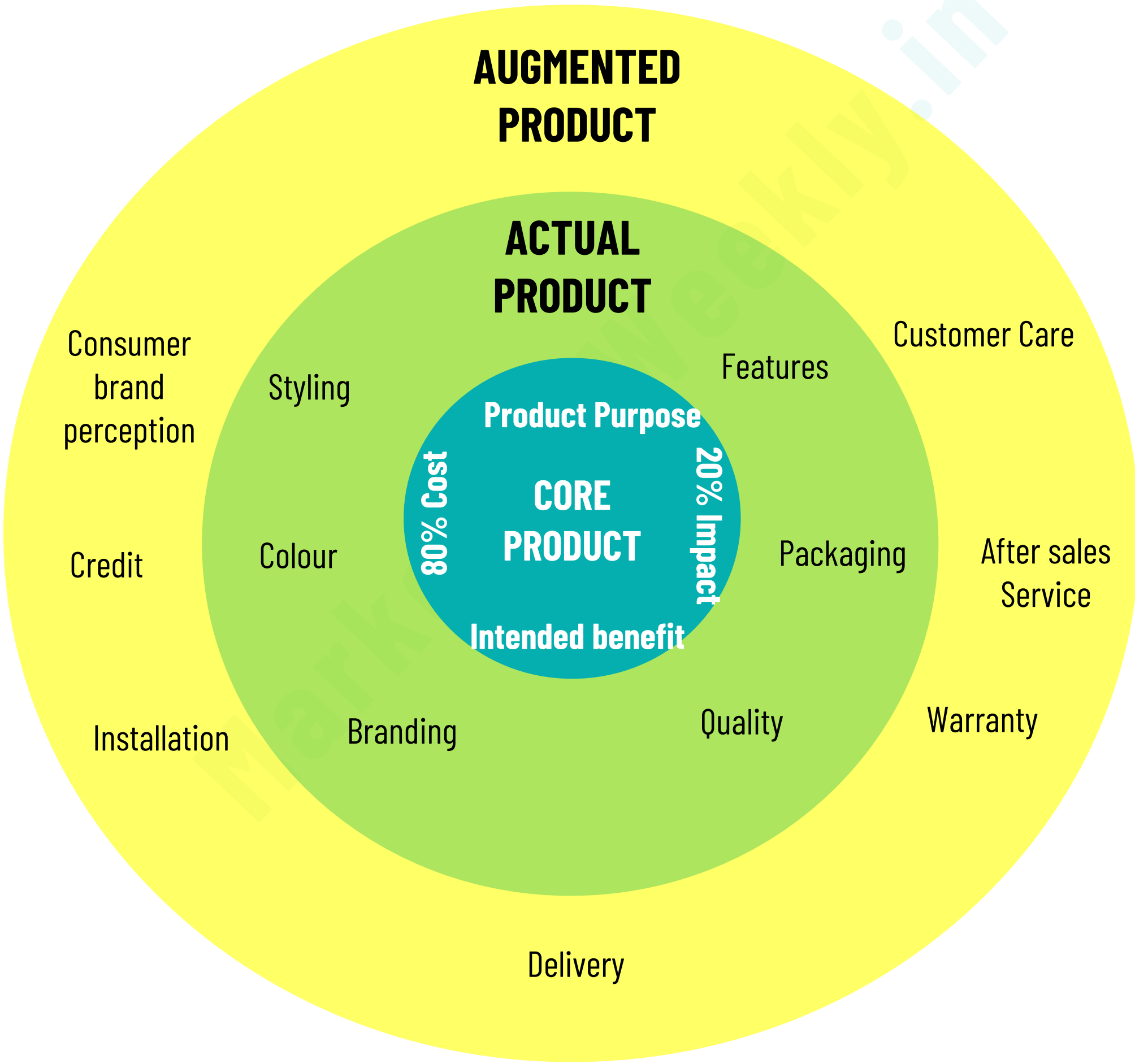
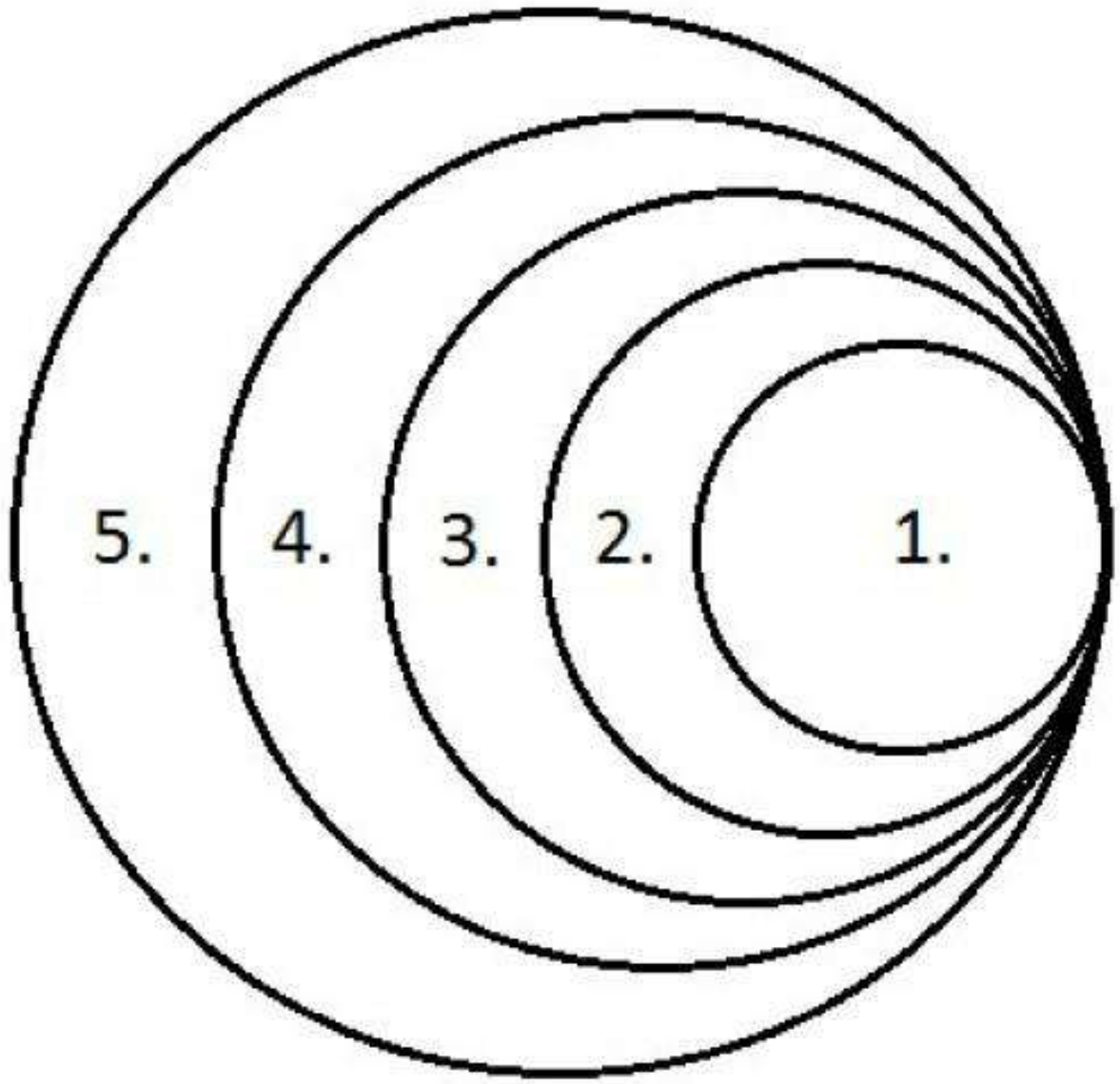
Product:

A product is anything tangible and intangible which fulfill our customers' needs or wants. A product must be relevant & adaptable to the changing needs of the user.

Three levels of a product Model:



The 5 levels of the product



1. Core benefit

2. Basic product

3. Expected product

4. Augmented product

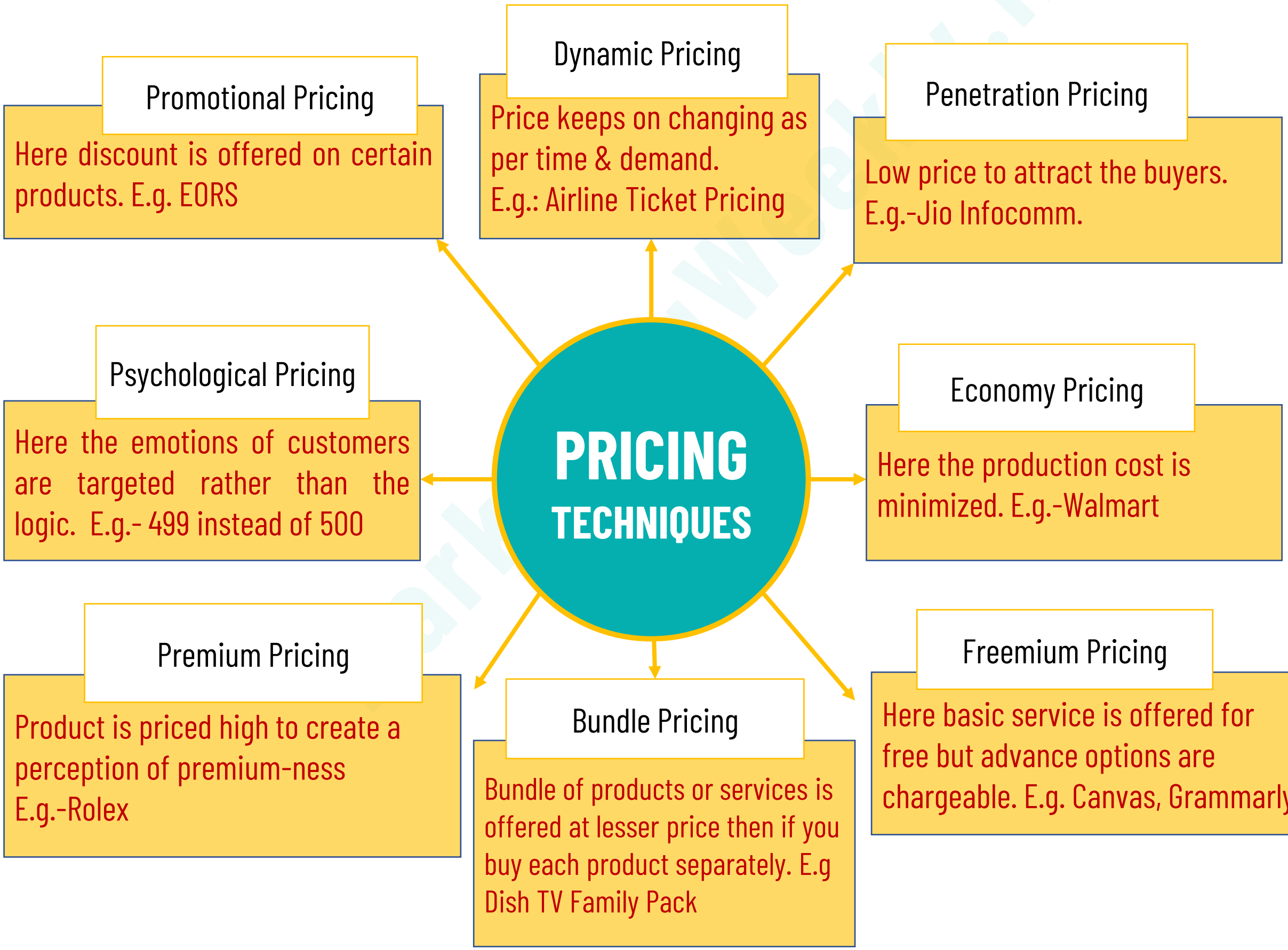
5. Potential product

Price:

To Buy or Not to Buy? Probably the main question that comes to our mind after seeing the Price tag.

A great product at the wrong price can fail terribly.

The Primary determinants of Pricing of a product are the perceived value, the utility of the product and the price which target segment is willing to pay.



Place:

So how does a product move from production to consumption? Place is basically the channels of distribution a company chooses to increase the reach of its products.

Various distribution channels that can used:

- Direct Sales: Door to door, Selling at Manufacturer's Plant
- Indirect Marketing Channel: One-Level Channel , Hybrid Distribution Channel or Multi-Channel Distribution System.
- Ecommerce

Promotions:

How does a new product reach people? It begins with inception of the new product idea; price is fixed and then the product is distributed.....**but how will people know about it?** Promotions play a major role in increasing the awareness of the product. Promotion helps in increasing brand/product awareness and in lead generations. Marketing campaigns include promotional activities to engage and attract consumers.

There are two types of Promotions:

- Sales Promotion: Bundle offers, Discounts, BTL activities etc.
- Marketing Promotions: Digital Campaigns, Sponsorships, etc.

Marketing Mix (4P) for iPhone 11 Pro Max:

PRODUCT

- Smart Phone Built
- Features: Triple camera, A13 bionic chip,6.1 inches display, Longest battery life, Water resistant, XDR display

PRICE

Rs 117000-132000,

depending on the configuration

PLACE

- Apple has partnered with Ingram Micro & Redington India Limited to distribute Apple Products nationwide
- E-commerce websites

PROMOTION

- Sales Promotion: Free access to Apple Tv to new customers
- Marketing Promotion: Campaign-Its tough out there

7PS

The 7Ps is generally used in the **service industries**

Extending the marketing mix by adding Physical Evidence, Process and People to 4P, bring marketing function closer to human resource management and operations.

Market

The Remaining 3 Ps of the 7Ps

People:

The people in the framework represent the employees, consultants, and freelancers who deliver the service to customers.

People are the most critical factor in providing knowledge-based services as they add value to the experience of the consumer.

Hence, training, personal selling, and customer service are key ways to ensure good service from the employees facing consumers.
E.g. Waiters of a restaurant, Hairstylists in a Salon, business analyst in IT companies, etc.

Process:

The processes are the steps that are required to deliver the service to a customer.

Aim of all service companies is to have a seamless process flow, making it easier for the consumer.

These companies share process maps for employees to make sure that work is repeatable and successful.

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Physical Evidence:

The physical evidence is a combination of the environment and branding where the service is provided to a customer.

The physical evidence capital would be:

A service brochure
Franchise Layouts
Uniform & Mascots of brand
Social media accounts
A corporate website
Company Service center/Point of Sales

Example of 7Ps:

PRODUCT:
Veg & Non-Veg menu
Beverages
Frozen desserts

PRICE:
Very affordable-Starts @Rs 29
Range: Rs 29-Rs
Psychological pricing
Cost leader

PROMOTION:
Happy Meals with free toys
Billboard ads
Social media

PLACE:
Popular locations.
Across most cities like malls
Drive -In & drive through options

PHYSICAL EVIDENCE:
McDonalds-Mascot
Social media accounts
Franchise buildings
Employee uniform

PROCESS:
Transparent to consumers
Uniform process worldwide

PEOPLE:
Fast & Friendly Service

Interesting Read: Dynamic Pricing: The art of the deal

SEGMENTATION, TARGETING AND POSITIONING (STP)

Segmentation

- Segmentation is a practice that seeks out pieces of the total market that contain customers with identifiable characteristics, as defined by income, age, personal interests, ethnic background, special needs, and so forth.
- The point of segmentation is to break a mass market into submarkets of customers who have common needs.

Why do we need segmentation?

- Not all individuals have similar needs. Individuals have different needs based on various factors which define them or their lifestyle like needs of men, women and kids differ from each other completely, or the needs of married individuals would differ from bachelors or needs of people from different countries will be different, when they are to be satisfied using various products and services. Identifying these segments makes it possible to do two things:

(1) create goods and services that are better tailored to the needs of specific customers and

(2) focus marketing resources more efficiently

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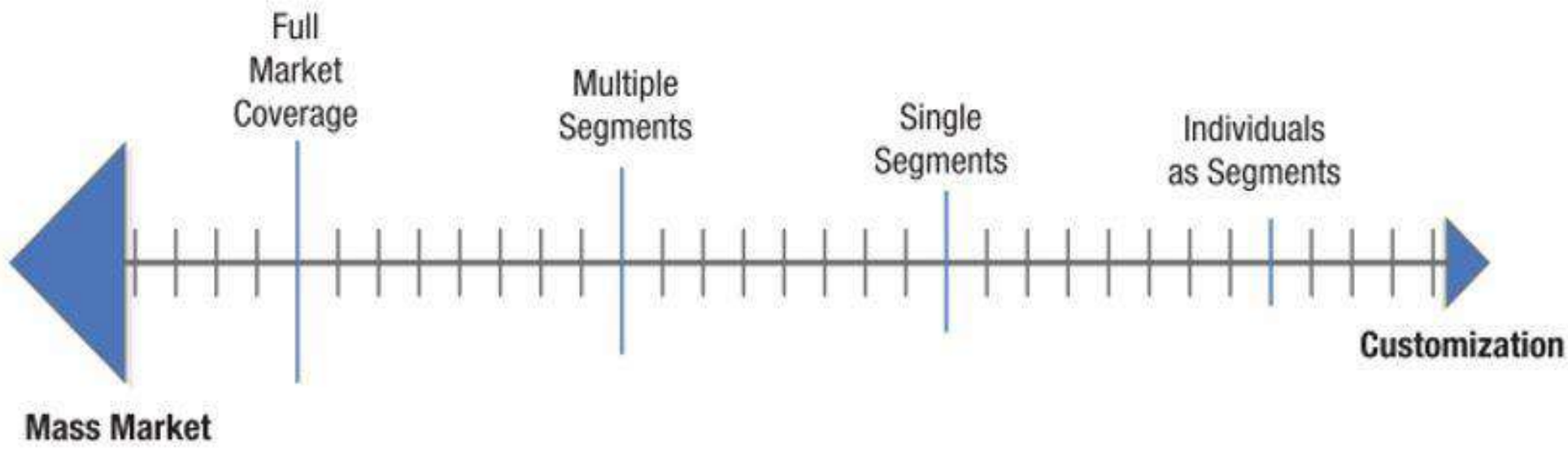
SEGMENTATION, TARGETING AND POSITIONING (STP)

Market segments must rate favorably on five key criteria (**MSADA**) for them to be useful:

- **Measurable:** The size, characteristics & purchasing power of the segments can be measured.
- **Substantial:** The segments are large and profitable enough to serve. A segment should be the largest possible homogeneous group worth going after with a tailored marketing **program.**
- **Accessible:** The segments can be effectively reached and served.
- **Differentiable**: The segments are conceptually distinguishable and respond differently to different marketing-mix elements and program.
- **Actionable:** Effective programs can be formulated to attract and serve segments.

Segmentation variable	Sr. no	Basis of Segmentation	Example
Geographic	1	Geographic segmentation	Regions - North, South, East, West
	2	City or metro size	Urban, Suburban, Rural
	3	Density	Urban, Suburban, Rural
	4	Climate	Hot, Cold, Tropical
Demographic	5	Age	Under 5, 5-11,12-17,18-34,35-49,50-64,64+
	6	Family size	1-2,3-4,5+
	7	Family life cycle	Young, Single, Young married, No children married, youngest child below 6
	8	Gender	Female, Male, Transgender
	9	Income	Under $10,000, $10,000-15,000 and so on
	10	Occupation	Profession, technical, Managers etc.
	11	Education	Grade school or less, graduate, post graduate
	12	Religion	Hindu, Muslim, Christian, Sikh, Jain, Atheist.
	13	Race	White, Brown, Tribals
	14	Generation	Gen X, Millennials (Gen Y)
	15	Nationality	Indian, South African, American
	16	Social class	Lower, Middle, Upper
Psychographic	17	Psychographic lifestyle	Culture-oriented, sports-oriented, outdoor-oriented
	18	Personality	Compulsive, gregarious, authoritarian, ambitious
Behavioural	19	Behavioural occasions	Regular occasion, Special occasion
	20	Benefits	Quality, service, economy, speed
	21	User status	Nonuser, ex-user, potential user, first time user
	22	Usage rate	Light user, medium user, heavy user
	23	Loyalty status	None, medium, strong, absolute
	24	Readiness stage	Unaware, informed, interested, desirous, intended to buy
	25	Attitude toward product	Enthusiastic, positive, indifferent, negative, hostile

Possible Levels of Segmentation



Example

Marriott International® owns a number of different hotel chains that target specific consumer groups.

Marriott

Exquisite Luxury Hotels	Contemporary Quality Hotels	Quality Destination Hotels	Extended Stay	Value Hotels
The Ritz-Carlton Hotel Company, L.L.C.	JW Marriott. Hotels & Resorts	Marriott. Hotels & Resorts	Marriott. Executive Apartments	Fairfield Inn Marriott
	Renaissance. Hotels & Resorts	Courtyard Marriott	TownePlace Suites Marriott	
			Residence Inn Marriott	

ITC HOTELS

RESPONSIBLE LUXURY

ITC Hotels has four distinct brands each catering to a different segment.

1) ITC Hotels (Exclusive Tie up with Marriott's 'The Luxury collection'. These are luxury hotels located at strategic locations. They cater to business and leisure customers looking for a luxurious stay.

2) Welcom Hotels: Welcom Hotels offer 5 star experience.

3) Fortune Hotels: Under the fortune hotels brand, ITC operates mid market to upscale hotel chain infull service first class business hotel segment

4) WelcomHeritage: Under the WelcomHeritage brand, a chain of resorts, forts, havelis and palace are operational to provide a different hospitality experience. Ancient royal homes and their grandeur is preserved and a fine range of services provided for cutomers looking for such an experience.

For example, Courtyard by Marriott® hotels focus on travellers on the road, who want a nice, clean place to stay during their trip; Ritz-Carlton® hotels target those who don't mind paying a premium for luxury; and Marriott ExecuStay® hotels are aimed at professionals who need a long-term & comfortable place to stay.

Marriott International doesn't communicate the same marketing message to all its customers.

Each hotel is designed and positioned to appeal to the unique wants and needs of a specific group.

Targeting

The segments that fit into the company objective that can be serviced are identified & targeted.

Firm can sell one product to several segments with product specialization.

Firm focus on serving many needs of a specific customer segment with market specialization.

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Example: Positioning map of cars

Positioning

- Creating a favorable & distinctive image (or position) for the product in the mind of the consumer.
- To Develop a conducive position, brand requires optimal Points-of-parity (POPs) and Points-of-difference (PODs)
  (Read more about it on next page)

GSK's ENO, an antacid, has always positioned itself as an instant reliever from acidity. Positioning statement: Take ENO for fast relief from acidity. It gets to work in 6 seconds.
"To acidity-stricken people, ENO is a powdered antacid that gives instant relief in 6 seconds"
Additional examples of positioning:
Volvo: Safety, Nike: Sporty, Johnson & Johnson: Mother's Choice

Points-of-difference are attributes unique to the brand that are strongly held & favorably evaluated by consumers.

Points-of-parity are those attributes which are not unique to the brand but shared with other brands. POPs are in three basic forms:

- Category: Attributes or benefits that consumers view as essential to a credible offering within a product/service category. (Necessary but not sufficient conditions for brand choice)
- Correlational: Potentially negative Attributes that arise from the existence of positive associations for the brand. Ex: If it's inexpensive, it may not be of good quality.
- Competitive: Attributes designed to overcome the weakness of the brand in the light of competitors (Competitors PODs suggest the brand's POPs)

Interesting Read: How did ITC Classmate achieve 25% Market Share

Product Mix

Source: Pinterest

PRODUCT MIX

Product Line	Product Line	Product Line	Product Line
Product Type	**Product Type**	**Product Type**	**Product Type**
Product A	**Product C**	**Product G**	**Product O**
Product B	**Product D**	**Product H**	**Product P**
Product C	**Product E**	**Product I**	**Product Q**
Product D	**Product F**	**Product J**	**Product R**
		Product K	
		Product L	
		Product M	
		Product N	

Product Line Length

Product Line Width

Product Mix Width

SKU: Stock keeping unit, means volume or weight of a product.
E.g. Maggie's 70 gm SKU 1, 280 gm SKU 2, 420 gm SKU 3, etc.

Few Definitions

Product Line: Similar kind of products having different color, size, taste, etc. sold under one brand name.
E.g. Oreo's Chocolate, Normal, Orange, etc. flavors & its different weights.

Product Line Length: It is defined as the number of products in a single product line. If we see previous example, Oreo has product line length of 3

Product Line Width: It is defined as the number of similar product lines parallel to each other. You may have two or more brands under biscuits or beverage category.

E.g. Coca-Cola has Minute maid line, Coke line, Sprite, Powerade. Each of this line has different variants & SKUs which makes product length.

Product Mix Width: It is a sum total of all different kind of product lines under all the categories.
If we see Unilever's product mix, we will find various categories such as skin soap, detergent, deodorant, ice-cream, shampoo, etc.
Sum total of entire range makes the Width

Interesting Read: How Brands choose their product mix name?

Xiaomi Product Mix

- **Smartphone**
  - Redmi K20 Pro
  - MI 10
  - MI MIX Alpha
  - Redmi Note8
  - Redmi Note 7
- **TV**
  - Compact Projector
  - MI Smart TV
  - MI Box 4K
- **Laptops**
  - MI Notebook 14
  - MI Notebook 14 Horizon
- **Audio**
  - Bluetooth Speaker
  - BT Headset
  - Earphones
  - Headphones
  - Wireless Earphones 2
- **Power banks**
  - 10000 mAh Bank
  - Wireless Charge Pad
- **Smart Devices**
  - Smart Bands
  - Rumba room cleaner
  - Drones
  - Smart Plug
  - Desk/Bed Lamp
  - Security Cam
- **Miscellaneous**
  - Electric Scooter
  - Shoes
  - MI Robot Builder
  - Action Camera
  - Sphere Camera
  - Electric Air compressor
  - Air Purifier
  - WiFi Router

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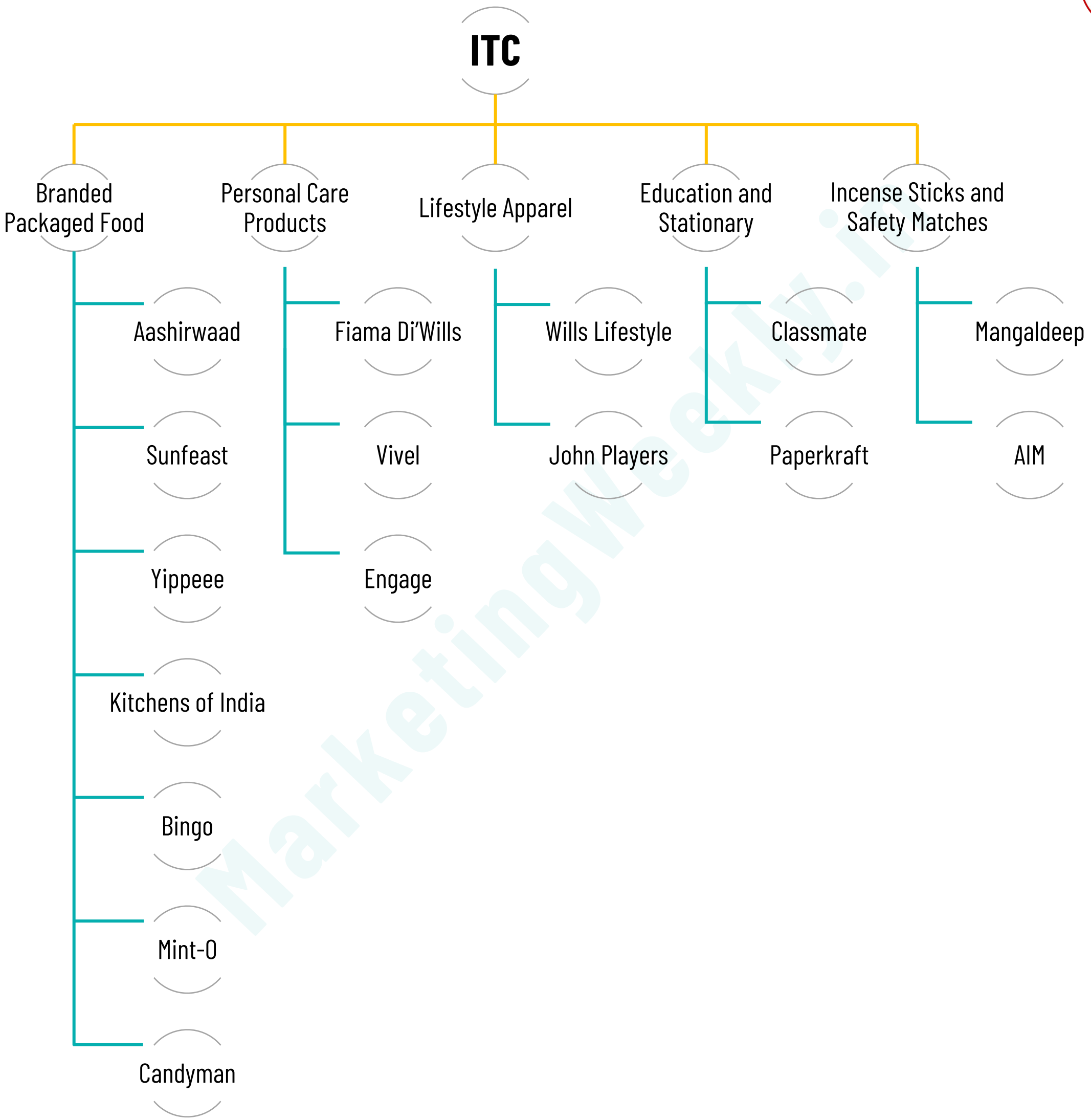

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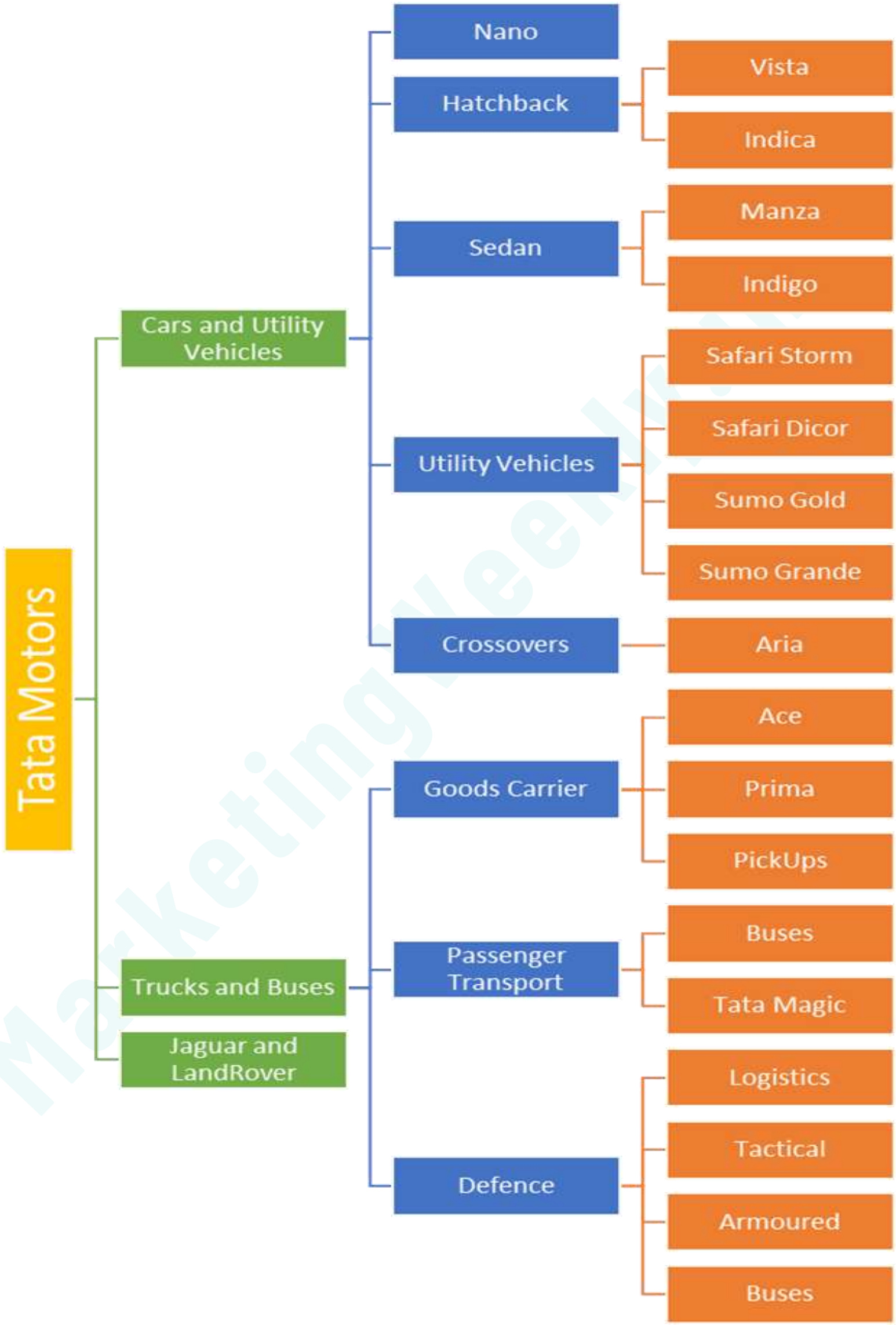
TATA MOTORS



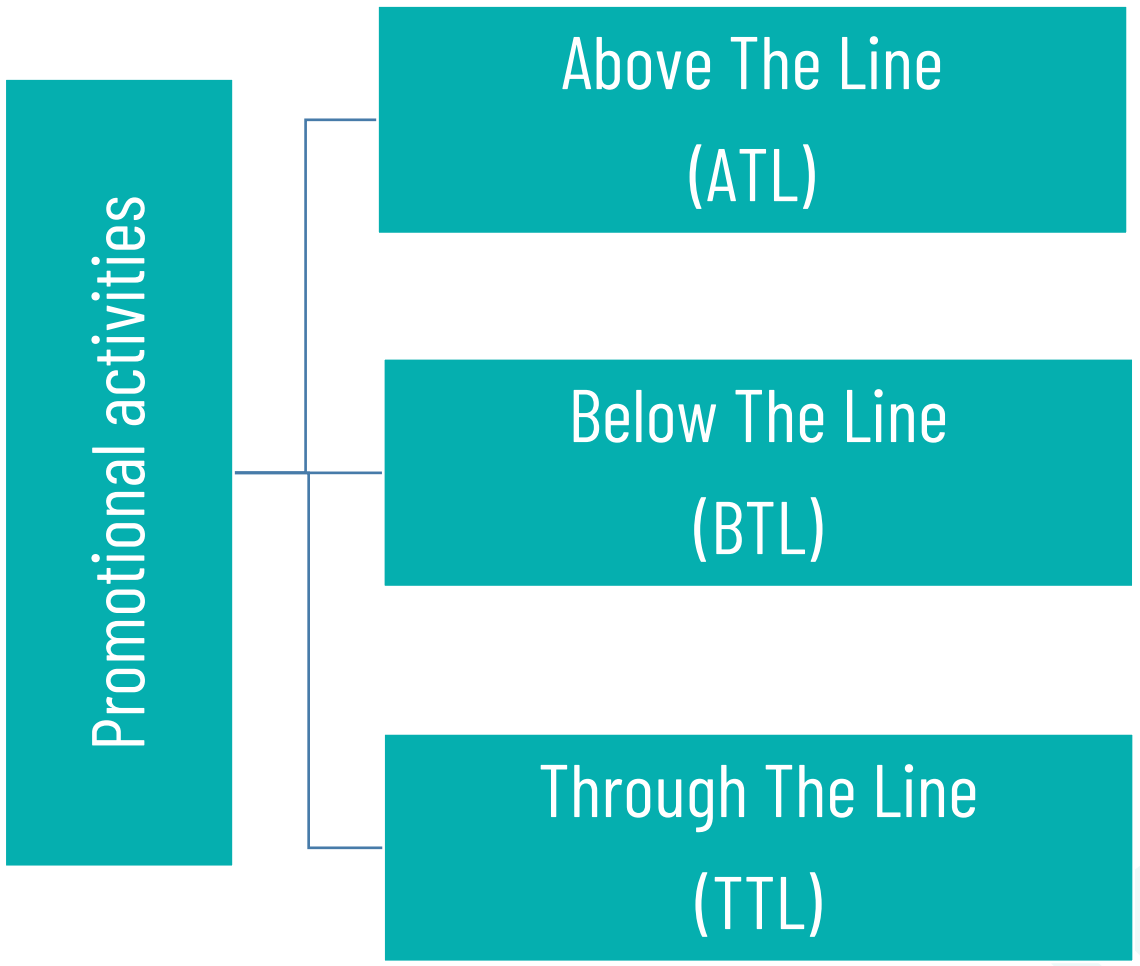
Marketing Weekly

Type of Advertising

- ✓ ATL
- ✓ BTL
- ✓ TTL

Interesting Read: Digital Out of Home Advertising

Companies can choose to conduct promotional activities in three ways



Reach entire market as a whole to build brand awareness and inform masses about product

Focused communication for specific target group through individual level interaction

Combination of ATL and BTL, using mass advertising forming a customer database to focus on conversion.

Category	Above The Line	Below The Line	Through The Line
Target	Undifferentiated Segment	Specific target segment	Mass market with focused conversion
Known as	Mass marketing	One to One marketing	Combination of ATL & BTL
Media used	TV, Radio, Print, Billboards, Cinema Adverts	Flyers, Door to Door, PR events, SMS, Emails, College/institute events	Digital marketing, 360 degree marketing with both ATL & BTL
Response	May or may not drive customer response	One to One response	Customer response can be gauged indirectly
ROI	Difficult to measure	Easier to measure due to direct response	Easier to measure than ATL

FMCG and personal care brands use ATL marketing techniques to increase brand recall and subconsciously influence the purchase.

How do we measure an ATL campaign?

- The reach of members watching the ad
- The frequency of views
- The number of impressions across various platforms

Companies use BTL activities in places such a College, university, societies. high foot-fall areas to target its prospects.

How do we measure a BTL campaign?

- Sales achieved at place of activity.
- New customer acquired at the site.
- Conversion rates on site (at place of activity).
- Impression estimates via foot-falls.
- Open rate of email campaigns.

TTL can help brands use an integrated approach to advertise products to both mass & focused markets together.

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Example of Vodafone

As part of ATL advertising, Vodafone books key places for hoardings of its upcoming initiatives.
For example: hoardings at airports, High streets, City Road, etc.

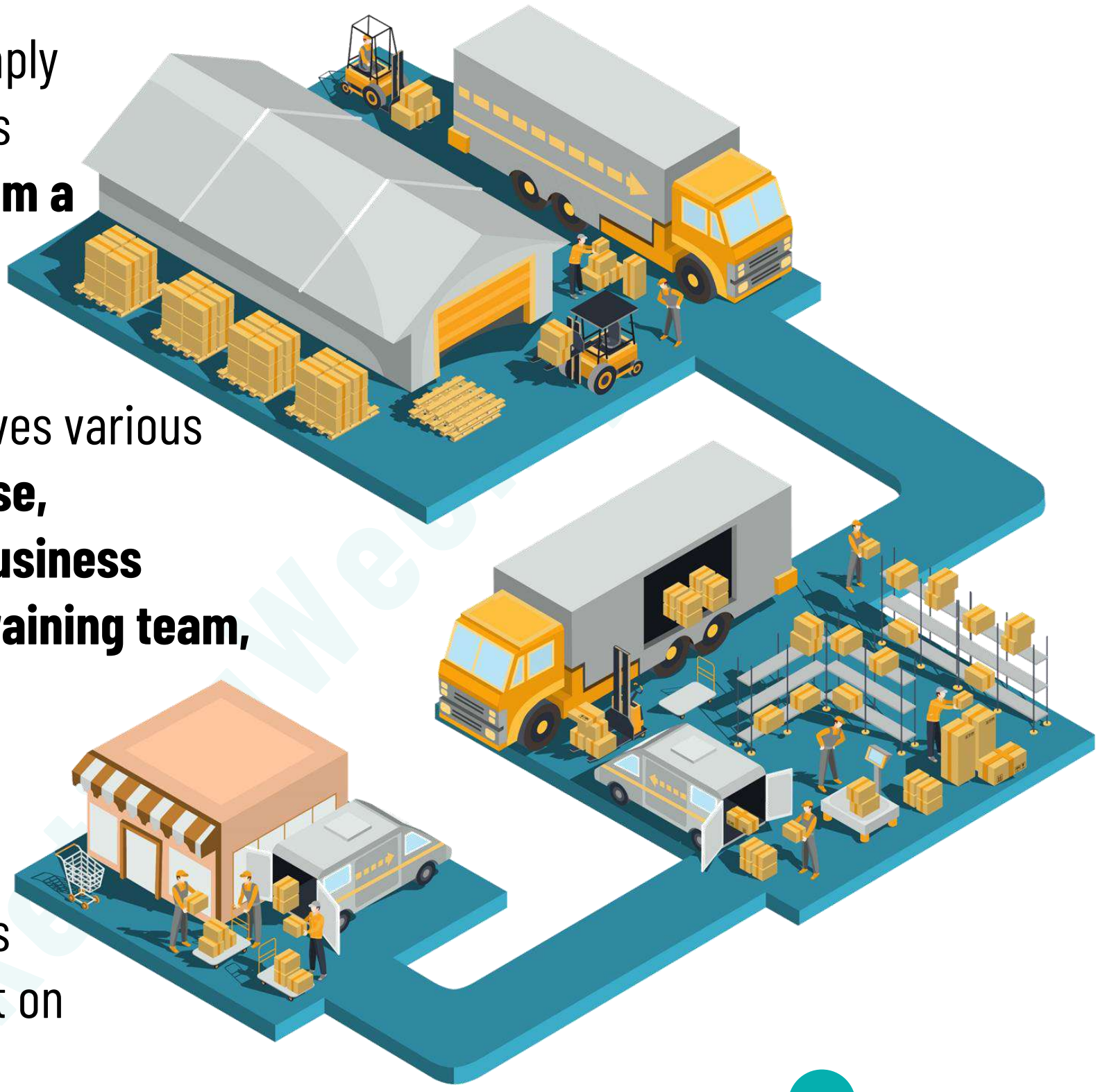
For BTL advertising, you will often see a booth of Vodafone inside the malls.

Interesting Read: Concept of Future DOOH!

Example for TTL - Uber Booths outside airports/Ads

Sales & Distribution Management

Sales & Distribution (S&D) is simply a process involving all the things from taking a **finished good from a factory to the customer.**



Sales & Distribution (S&D) involves various departments such as **Warehouse, Logistics, CRM, Sales force, Business development team, Product training team, Trade marketing team,** Etc.

Let us understand S&D with this simple flow-chart. More about it on next Page.

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SALES & DISTRIBUTION

Explained

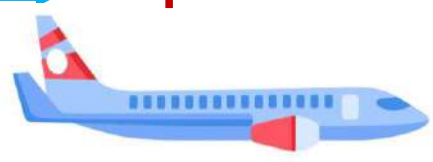
Factory

Transportation of Finished Goods using Carry & Forwarding (C&F) Agents

Warehouse/ Depot

Exports happen via port (or Dry port) after regulatory clearance

Exports



Carrying & Forwarding (C&F) agents provide transportations

B2B & Direct Distribution

General Trade

(For mass distribution)

Modern Trade

(E.g. BigBazaar/Dmart)

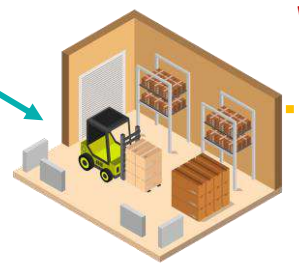
Ecommerce

Stockist (Urban)

Wholesaler

Super-Stockist (Rural)

Wholesaler



Rural Distributor

Consumer

It is called Primary Sales. It is between company & Distributor/Stockist/Channel partners

It is called Secondary Sales. It is between Distributor/Stockist & Retailer/Dealer

It is called Tertiary Sales. It is between Retailer/Dealer & Consumer

Margin: Each Channel involved gets the margin. Margin varies across industry & company.

Download HD PDF of the infograph here:

Terminology Of Sales & Distribution

Warehouse/Dep

It is a place where company stores their finished goods. Goods are then dispatched from such depots to various places.
Ideally a company should keep multiple warehouses to improve wait-time for order delivery.

Carrying & forwarding

Party that provides logistics solution to companies in dispatching their goods to various locations are C&F agents. They charge on basis of distance as well as delivery speed. Also charge may increase if your product needs specific temperature condition.

Modern Trade:

Organized trade stores such as Bigbazaar, Dmart, More, etc. are called modern trade. Companies directly provide them goods, thereby eliminating distribution margin charges
This allows them to pass on distributor margin to customers by means of discounts & schemes. Disadvantage of MT is that it lacks the convenience of neighborhood stores.

Stockist:

Stockist or Distributor operates in Urban geographies. They provide goods received from company warehouse to various retailers.
They also sell bulk quantity to wholesaler to increase its distribution reach & save logistics cost for serving low value outlets.

Super Stockist:

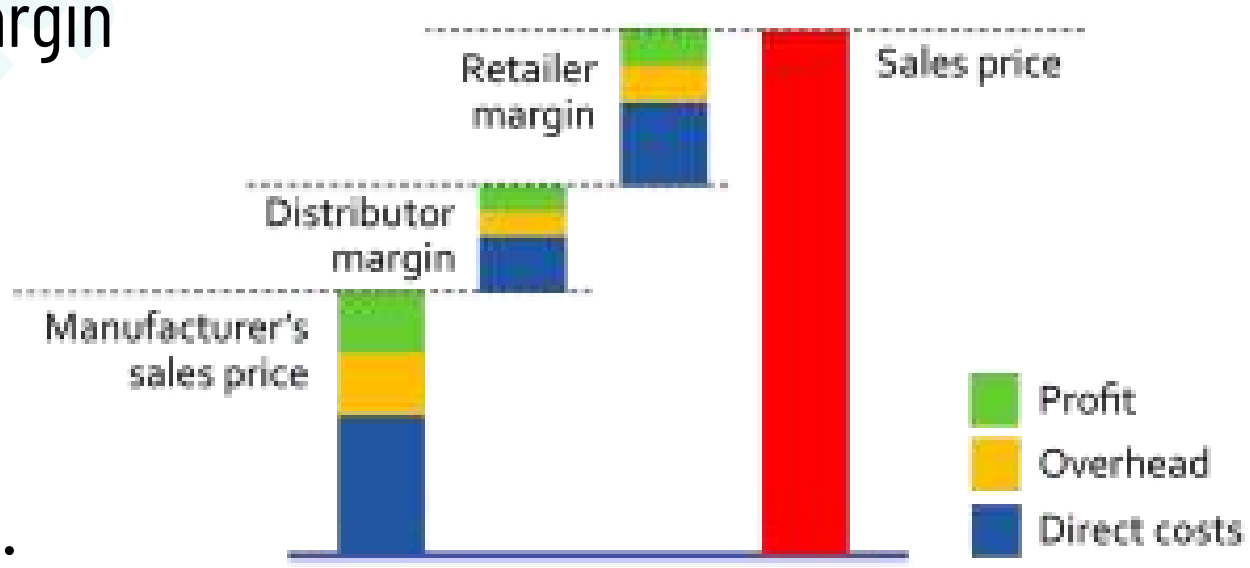
Usually such distribution works in rural geographies where 1 big super-stockist provide bulk quantities to various rural distributors/Wholesalers.
Super stockist helps company reach deep rural areas.
Various incentives such as freight charges are paid extra for extended geographies.

Wholesaler:

They usually operate with multiple brands & hence they can afford to provide service to smaller outlets & remote markets.
Companies discourage wholesaler concept as it reduces Market Operating Price (MOP). MOP is what retailer pays to distributor.

Concept of Margin:

Every channel involved retains a specific margin so, each stakeholder earns a profit out of it.



E.g. 5-star costs 5 Rs. at a retail store.

C&F agent gets 1% margin of 5 Rs. = 0.05 Rs.

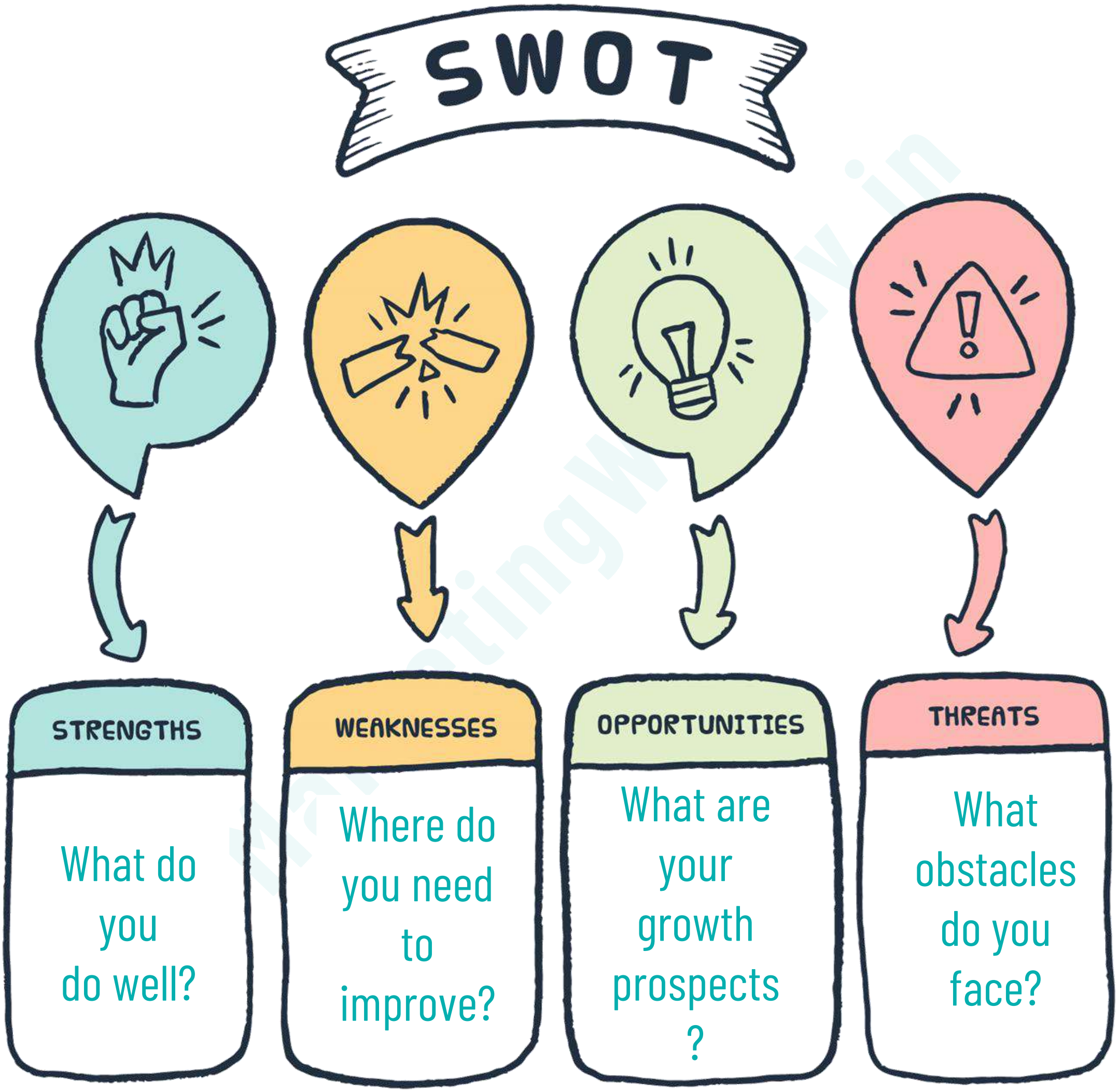
Distributors/Stockist get 2% margin of 5 Rs. = 0.10 Rs.

Retailers get 5% margin of 5Rs. = 0.25 Rs. (Sometimes in form of an extra unit). So

total money earned by them = 0.05 + 0.10 + 0.25 = 0.40 Rs. earned by all collectively

Interesting Read: Why Colgate is a Market Leader in Oral Care?

SWOT ANALYSIS, helps you develop business strategy



STRENGTHS

Include things that your company or project does **extremely** well.

E.g. **Brand** attributes, **people**, strong **leadership** etc.

WEAKNESSES

Include things that your company is not doing well or **needs improvements**

E.g. Shortage of **skilled** people, **financial** limitations or lack of clearly defined **USP**.

OPPORTUNITIES

Include everything you could do to **grow** as a company. All **possibilities**

E.g. Tapping other **markets** to improve the sales, using advanced **technology** for better results.

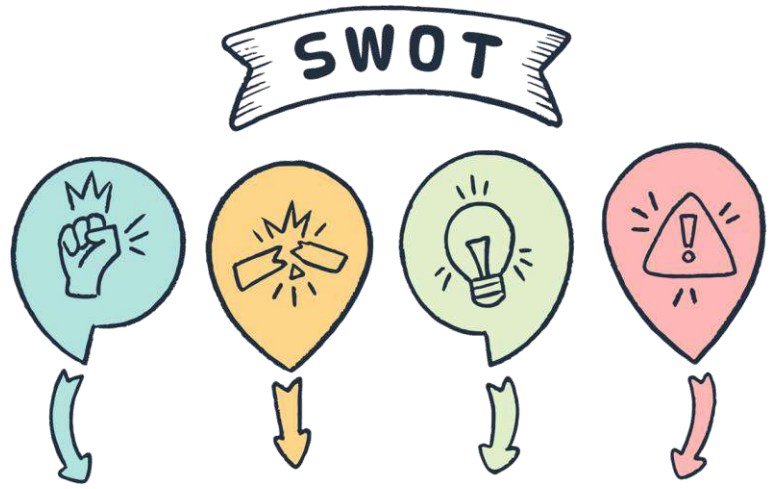
THREATS

Include things that pose a **risk** to the company.

E.g. Emerging **competitors**, **financial** risks, changes in regulatory **law** etc.

Interesting Read: : A different approach to SWOT

Unilever



STRENGTH

- Extensive distribution network
- Innovative FMCG company
- Brand visibility
- Products with presence in over 20 consumer categories

WEAKNESSES

- Limited market share due to presence of strong FMCG brands
- Faced controversies like skin lightening cream
- Market Saturation

OPPORTUNITIES

- Improve penetration in low performing portfolio such as Oral Care & Deodorants
- M&A to strengthen the brand
- Increasing purchasing power of people thereby increasing demand

THREATS

- Competition from local products like Patanjali
- Increasing competition amongst other FMCG companies
- Portfolio such as Oral care & deodorant segment losing market share

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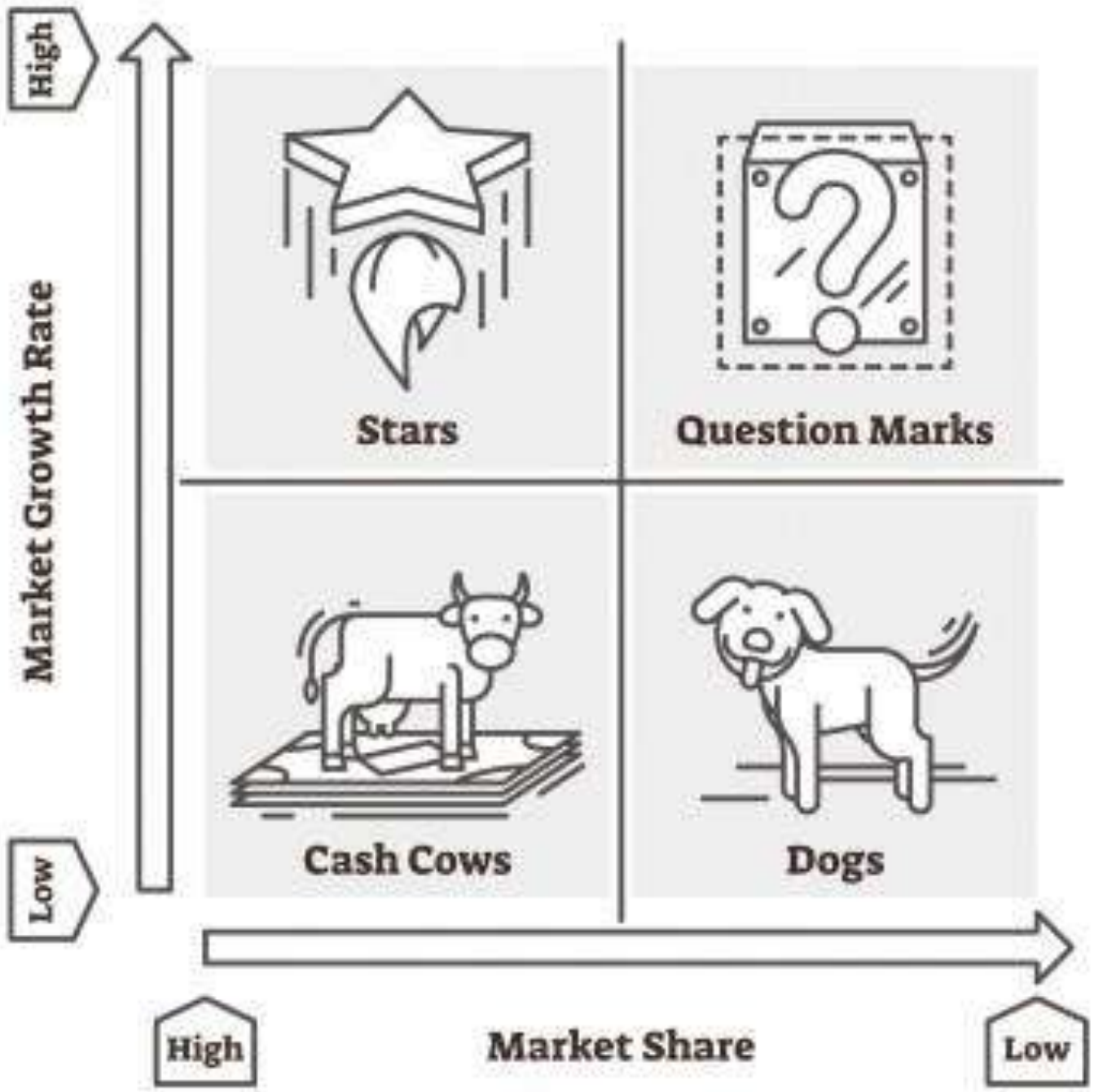
BCG MATRIX

The Growth-Share Matrix



Rapid Growth and Expansion

Ability to Fund The Question Marks and Stars

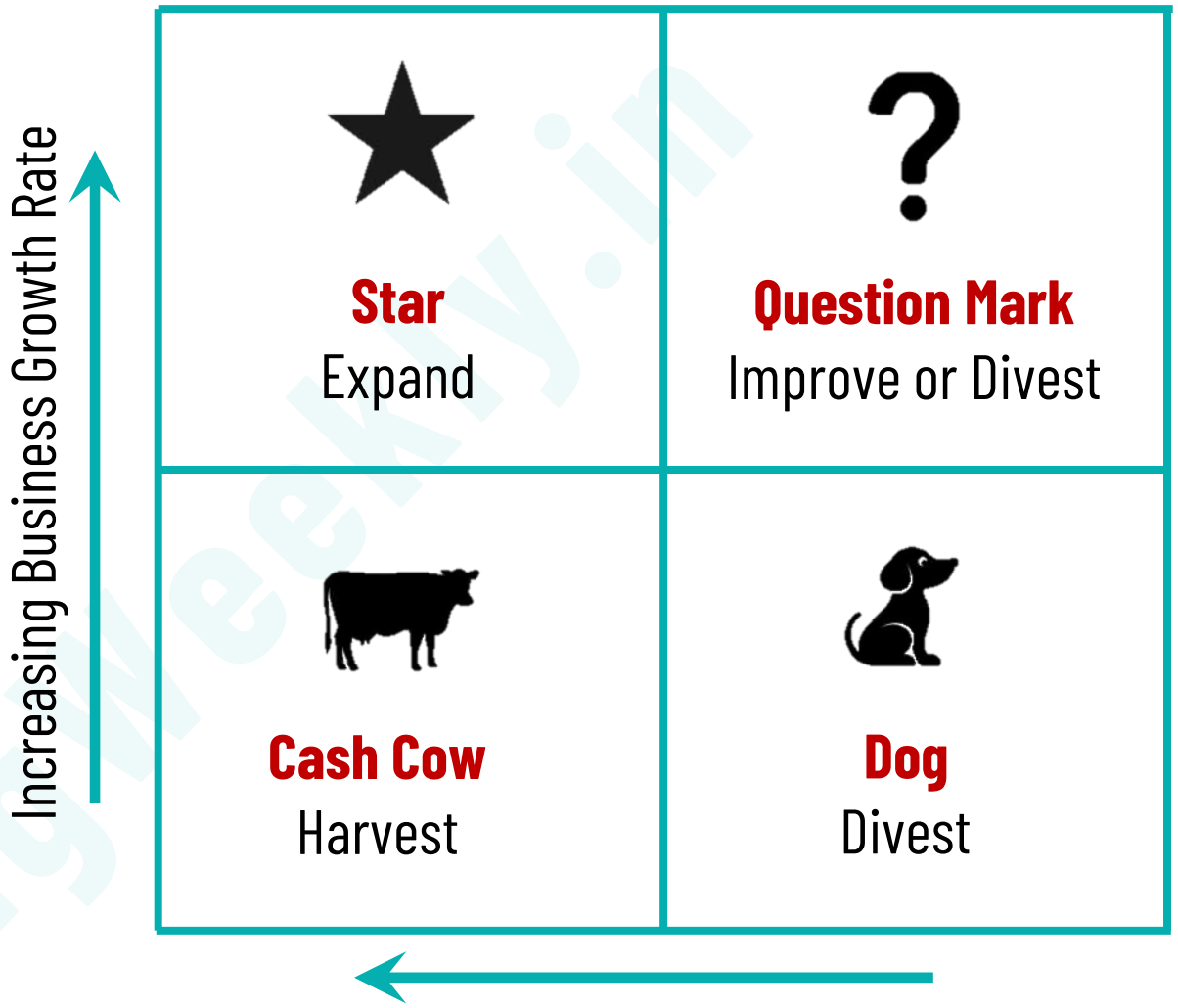
New Ventures - Risky
Few Become Stars other Divested

Low Market Share And Growth
Consider Divestment

BCG MATRIX

The BCG matrix (or Growth-Share Matrix), is a planning tool used to evaluate the Strategic position of a business brand portfolio and its potential. It classifies business brand portfolio into four categories on the basis of industry attractiveness (growth rate of that industry) and competitive position (relative market share).

The BCG analysis helps the company in deciding which entities in the business portfolio are actually profitable and which are not. This helps businesses identify what it should concentrate on and what gives it a competitive advantage over others.



Relative market share: Represented by the horizontal axis. Higher market share results in higher cash returns. The mid-point is generally set at 1.0.

Market growth rate: Represented by the vertical axis. Higher market growth rate might lead to higher returns in future, but this requires investment to stimulate further growth. So, this would lead to higher cash usage.

4 Categories of the BCG Matrix

Stars: High Market share
High Growth

• .The business units or products that have the best market share and generate the most cash
are considered stars.
• Monopolies and first-to-market products are frequently termed stars.
• However, because of their high growth rate, stars also consume large amounts of cash.
This generally results in the same amount of money coming in that is going out.
• Stars can eventually become cash cows if they sustain their success until a time when the
market growth rate declines.
• Companies are advised to invest in stars.

Question Marks: Low Market Share
High Growth

• Question marks are growing rapidly and thus consume large amounts of cash, but because they have low market shares they do not generate much cash. The result is a large net
cash consumption.
• They have the potential to gain market share and become a star, and eventually a cash cow when the market growth slows.
• If the question mark does not succeed in becoming the market leader, then after perhaps years of cash consumption it will degenerate into a dog when the market growth
declines

Cash Cows: High Market share
Low Growth

• Cash cows are the leaders in the marketplace and generate more cash than they consume.
• They provide the cash required to turn question marks into market leaders, to cover the
administrative costs of the company, to fund research and development, to service the
corporate debt, and to pay dividends to shareholders.
• Companies are advised to invest in cash cows to maintain the current level of productivity,
or to "milk" the gains passively.

Dogs: Low Market Share
Low Growth

Dogs have low market share and a low growth rate and thus neither generate nor consume
a large amount of cash.
• They are cash traps because of the money tied up in a business that has little potential.
• Such businesses are candidates for divestiture.
Strategies for Dogs:
• The company can either divest the product altogether.
• Product can be revamped through rebranding / innovation / adding features etc.

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Few Strategies for BCG Products:

Question marks (Low market share, High growth prospects)

• Question marks must be analyzed carefully in order to determine whether they are worth the investment required to grow market share.
• Companies are advised to invest in question marks if the product has potential for growth, or to sell if it does not.

Stars (High market share, High growth prospects)

All types of marketing, sales promotion and advertising strategies are used for Stars because of the high competition and rising market share to increase and retain market share.

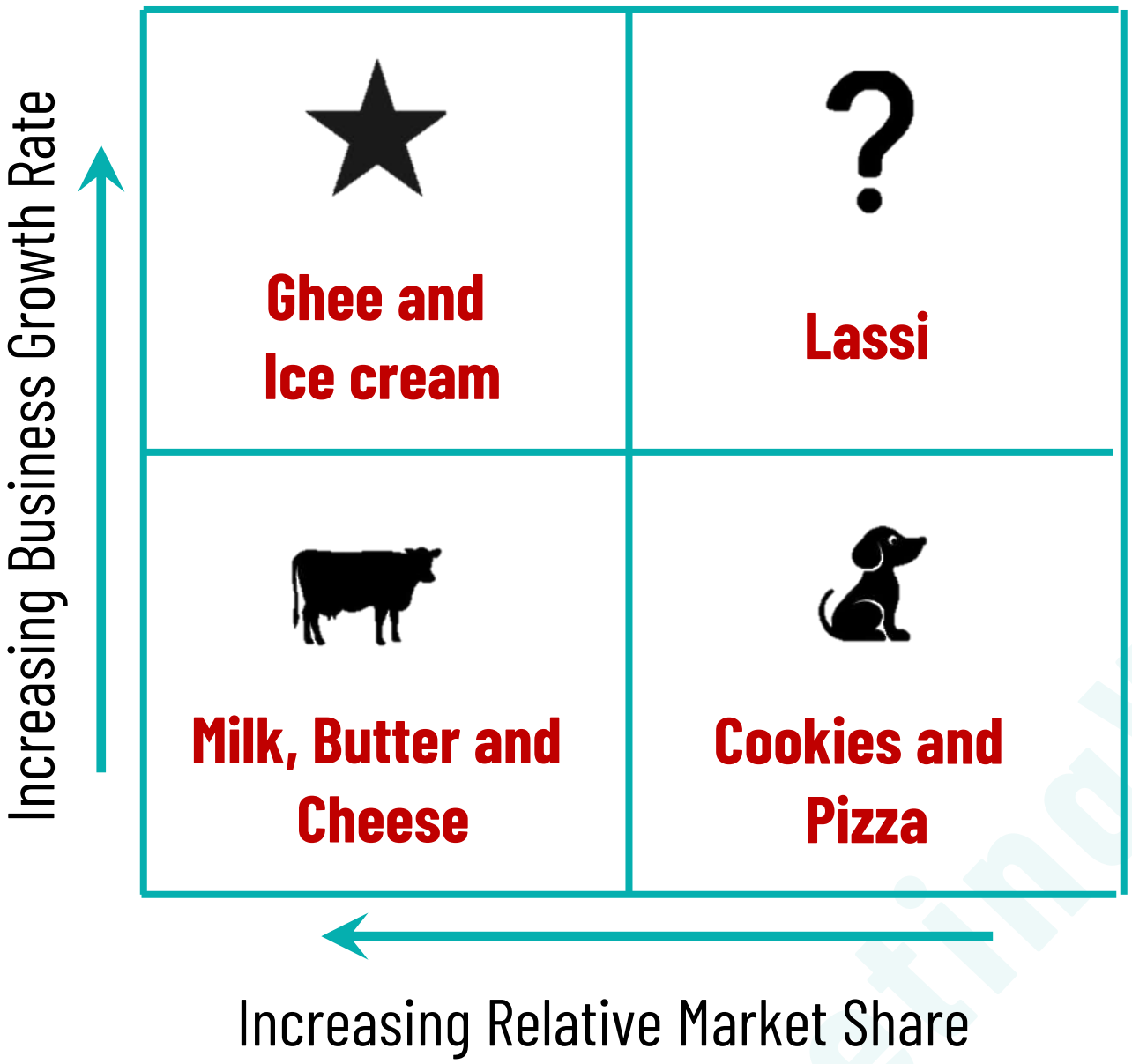
Cash Cows (High market share, Low growth prospects)

• Strategy generally includes retention of the market share.
• Thus customer satisfaction programs, loyalty programs and other such promotional methods form the core of the marketing plan for a cash cow product.

Disadvantages of BCG Matrix:

• The model uses only two dimensions (i.e. growth and share) to assess competitive position, others are ignored.
• More emphasis on cost leadership rather than differentiation as a source of competitive advantage.
• A high market share does not necessarily lead to profitability at all times.
• Assumes that each business unit is independent of the others. In some cases, a business unit that is a "dog" may be helping other business units gain a competitive advantage.

BCG Matrix of Amul



Amul has diversified their offerings, entering into different milk and milk product markets, let us understand BCG Matrix of Amul.

Cash Cows :

The 3 products mentioned in the figure (milk, butter, cheese) generate steady, high revenue. They are the "flagship" products of the brand.

Stars:

Amul invests a lot of cash coming from cash cow into star-product promotions. Amul Ice Creams have targeted & appealing ads in order to improve awareness

Question Marks:

Amul Lassi falls under this category.
Considering the increasing demand for healthy products, this category shows a huge potential to grow.

Dogs:

Due to the heavy competition & limited innovation in these products, it's difficult for Amul to gain market share & generate huge revenue.

BCG Matrix of Amazon

Increasing Business Growth Rate

Kindle

Fire TV

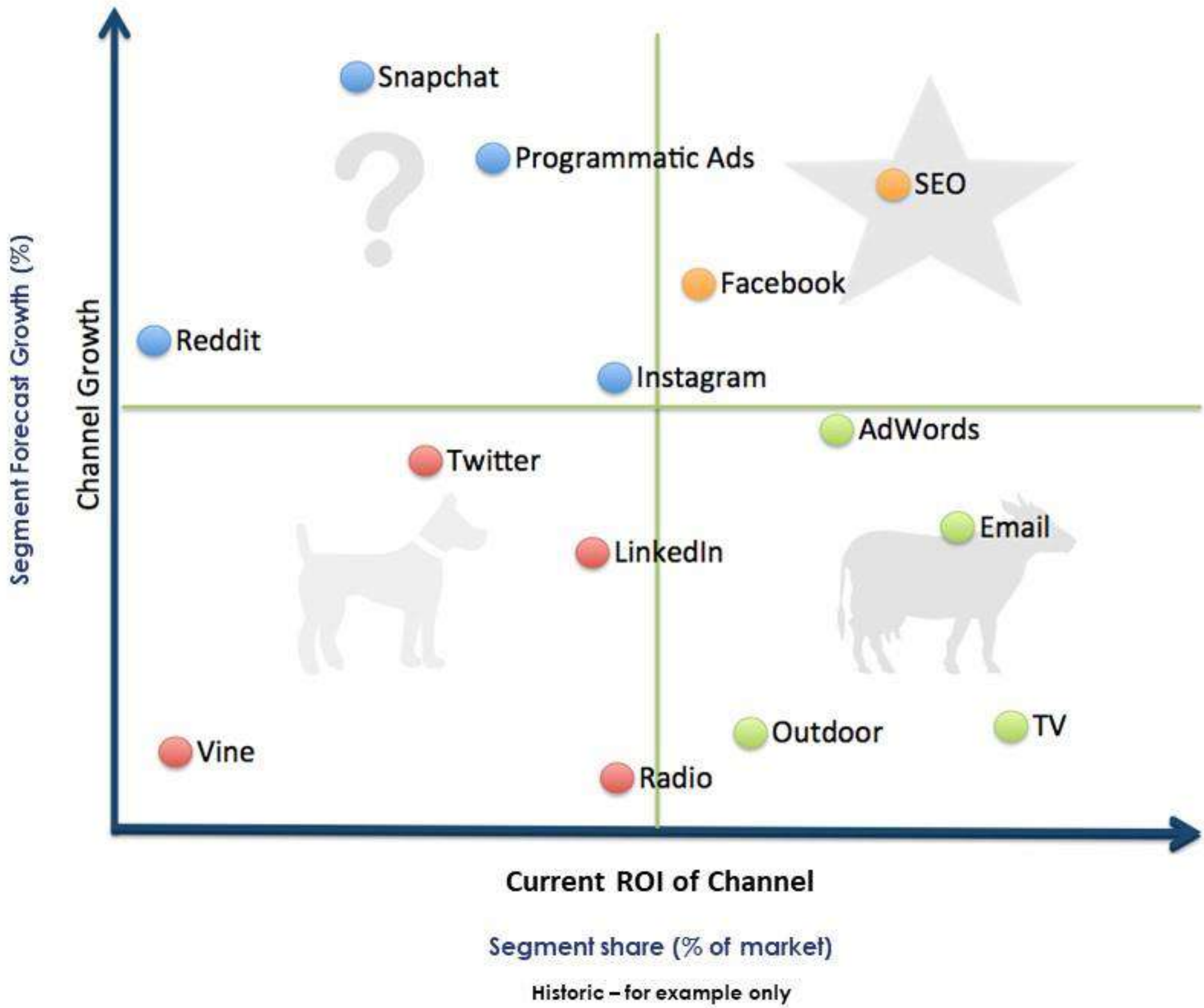
amazon prime

Amazon Video

Alexa

Music

Increasing Relative Market Share



Interesting Read: [BCG Matrix on the World of Ice Cream]

ANSOFF MATRIX

Ansoff Matrix is vital for strategic planning to find out opportunities that can help grow business by developing new products & services or tapping into new markets. Also known as **Product-Market Matrix.**
It is a tool used by the brands to plan and analyse their growth by putting their product portfolio (existing or new) in different categories.

The Entire product portfolio of a brand can be divided into one of the 4 categories mentioned below:

Market Penetration: Increasing sales of existing products to an existing market.

Market Development: Entering a new market using existing products.

Product Development: Introducing new products to an existing market.

Diversification: Entering a new market with the introduction of new products.

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ANSOFF MATRIX

The Ansoff matrix provides four different growth strategies:
Market Penetration

- This involves increasing market share within existing market segments. This can be achieved by selling more products/services to established customers or by finding new customers within existing markets.
- The risk involved in its marketing strategies is usually the least since the products are already familiar to the consumers and so is the established market.

The Entire product portfolio of a brand can be divided into one of the 4 categories mentioned below:

Product Development:

- Product Development involves developing new products for existing markets. It involves thinking about how new products can meet customer needs more closely and outperform the products of competitors.
- It can also involve the modification of an existing product so that it can appeal more to the already existing market.
- It is slightly riskier, because you're introducing a new product into your existing market.

Example: ITC introduced ready-to-eat gourmet cuisine 'Kitchens of India' which specialises in bringing to life age-old Indian dishes from across the country, especially from the gourmet cuisines of Dum Pukht, Bukhara and Dakshin. ITC developed this new product for an existing RTE market.

Market Development

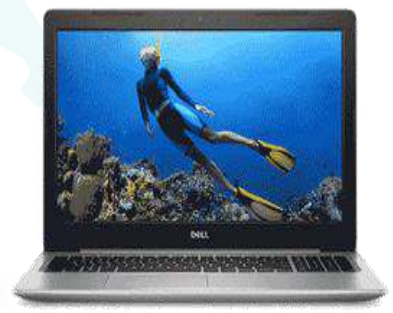
• This strategy entails finding new markets for existing products. Market research and further segmentation of markets helps to identify new groups of customers.
• This strategy assumes that the existing markets have been fully exploited thus the need to venture into new markets.
• There are various approaches to this strategy, which include: New geographical markets, new distribution channels, new product packaging, and different pricing policies.
Example: ITC's Agri Business Division, has conceived e-Choupal, an initiative by ITC to link directly with rural farmers via the Internet for procurement of agricultural and aquaculture products. This will help develop the market in the rural sector

Diversification

• This involves moving new products into new markets at the same time.
• It is the riskiest strategy among the others as it involves two unknowns, new products being created and the business does not know the development problems that may occur in the process. Additionally, you're introducing a new, unproven product into an entirely new market that you may not fully understand.
• There are two types of diversification
- Related diversification: This means that the business remains in the same industry in which it is familiar with.
- Unrelated diversification: In this, there are usually no previous industry relations or market experiences. One can diversify from a food industry to a mechanical industry for instance.

Example: Coca Cola is using a number of strategies including introduction of new products in existing markets and introducing products in new segments to increase its market share.

ANSOFF matrix of XIAOMI

	EXISTING	NEW
	Product	
EXISTING Market	SMARTPHONES POWER SUPPLIER EARPHONES **MARKET PENETRATION**	MI TV  LAPTOP **PRODUCT DEVELOPMENT**
NEW	SMART WATCH IP CAMERAS **MARKET DEVELOPMENT**	DRONES ELECTRIC SCOOTER VR HEADSET **DIVERSIFICATION**

Marketing Weekly.in

Interesting Read: Where will Apple's next trillion come from?

PRICING STRATEGIES

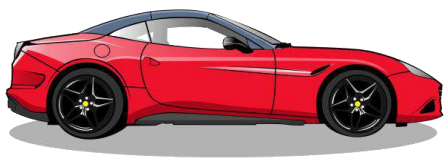
Pricing Strategies

Price is the total amount that a consumer pays for a product/service.

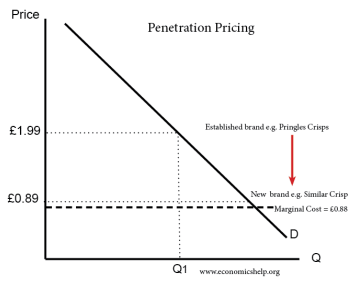
Companies tend to determine the optimum price for their product/service based on the market share, positioning, competition and the perceived value of the product.

The Same products can employee different pricing strategies over a period of time.

Premium Pricing



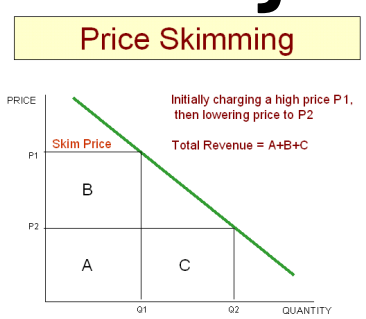
Penetration Pricing



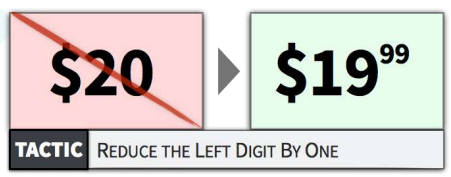
Predatory Pricing

Geographical Pricing

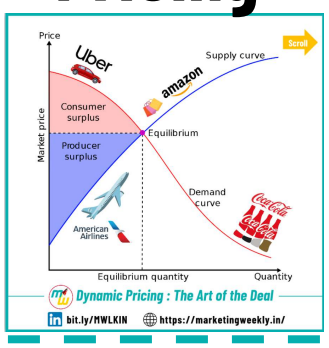
Skimming Pricing



Psychological Pricing



Dynamic Pricing



Bundle Pricing

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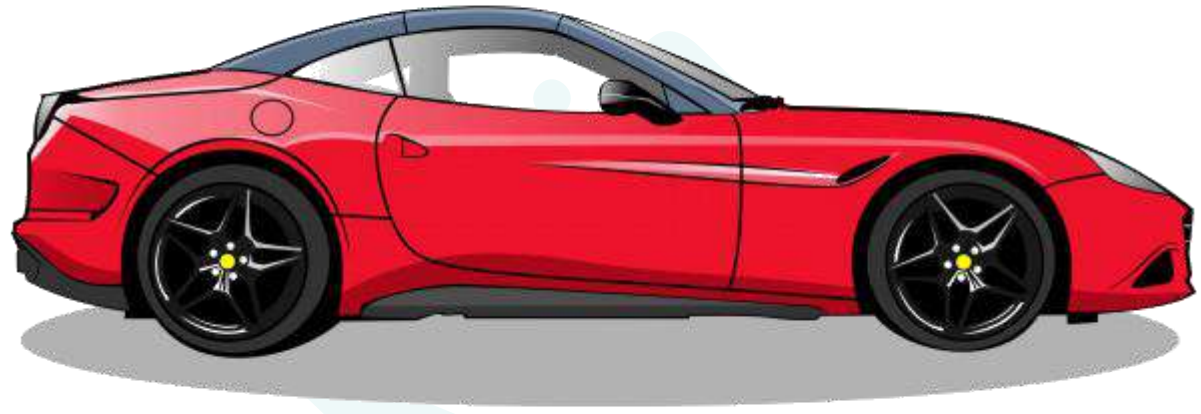
Index

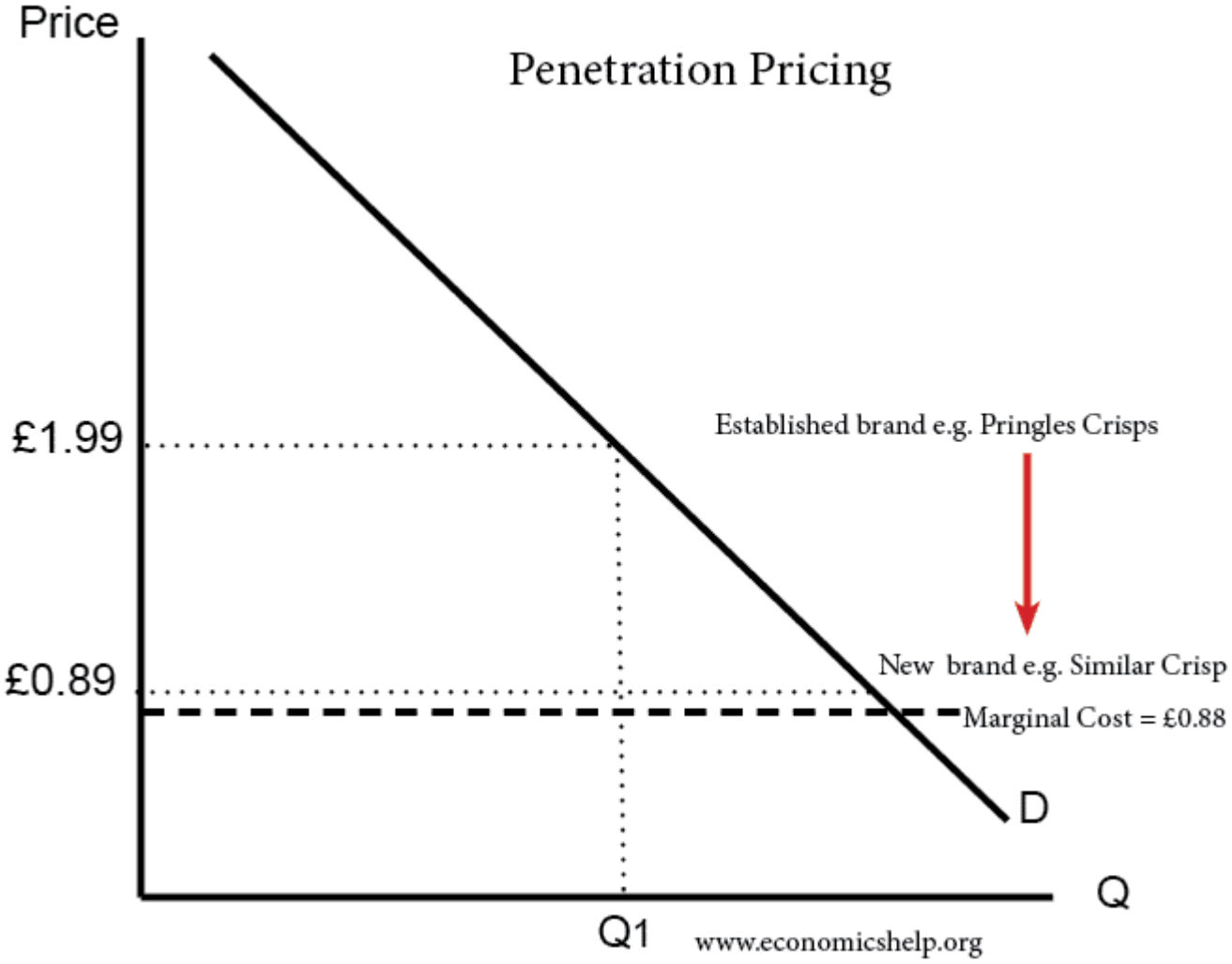
Premium Pricing

- Product/Service is unique
- Perceived Benefit of the product is high
- High competitive advantage must exist with the marketer
- E.g. Ferrari, iPhone, Gucci



Penetration Pricing

- Setting the price low with the goal of attracting customers and gaining market share
- Price is raised once market share is gained
- Typical in Indian Aviation Industry



Predatory Pricing

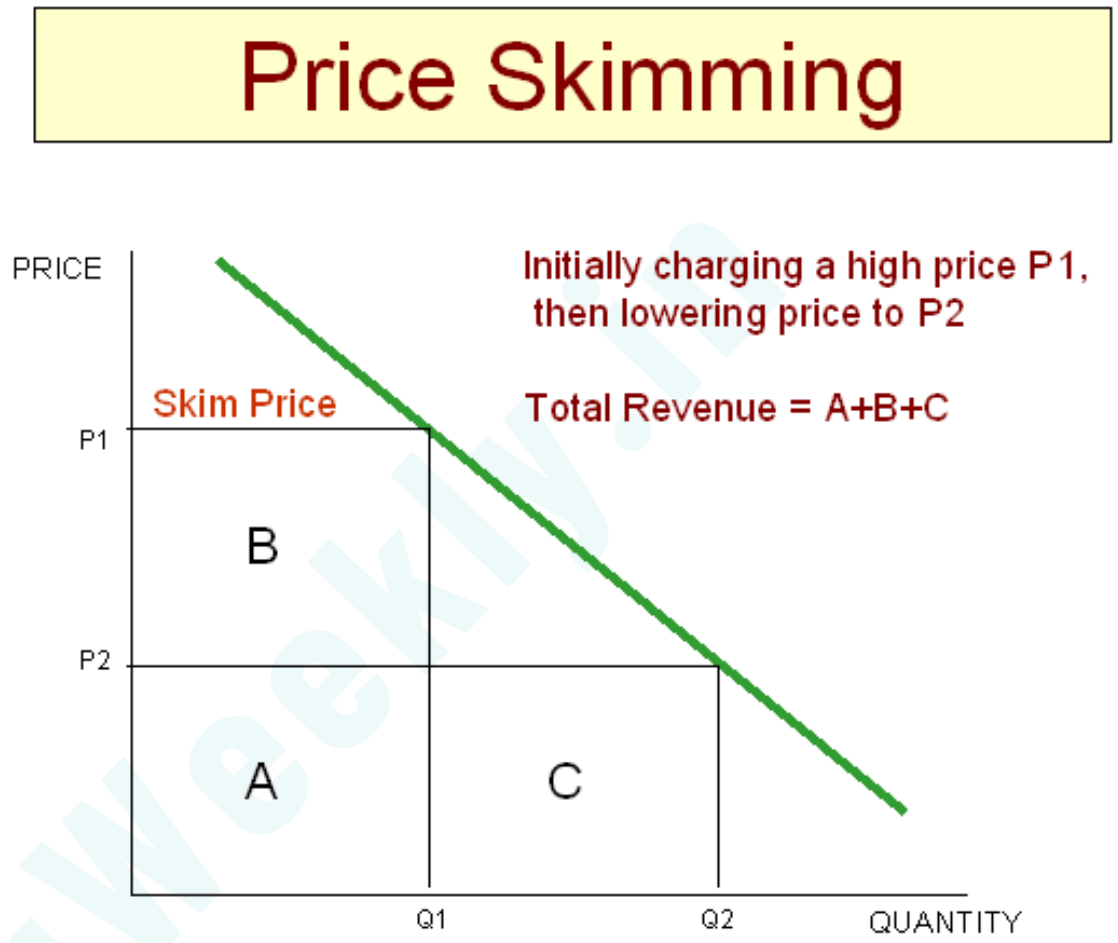
- Selling at extremely cheap rate to quickly increase the market share
- Works for service based industries like Telecom, Insurance, Banking, IT etc.
- Law may curtail & punish if found it anti-competitive

Geographical Pricing

- The price variation in different parts of the world can be a business strategy or forced upon by the local market
- It usually occurs due to difference in PPP, taxes, duties etc
- Example is Gasoline & Alcohol

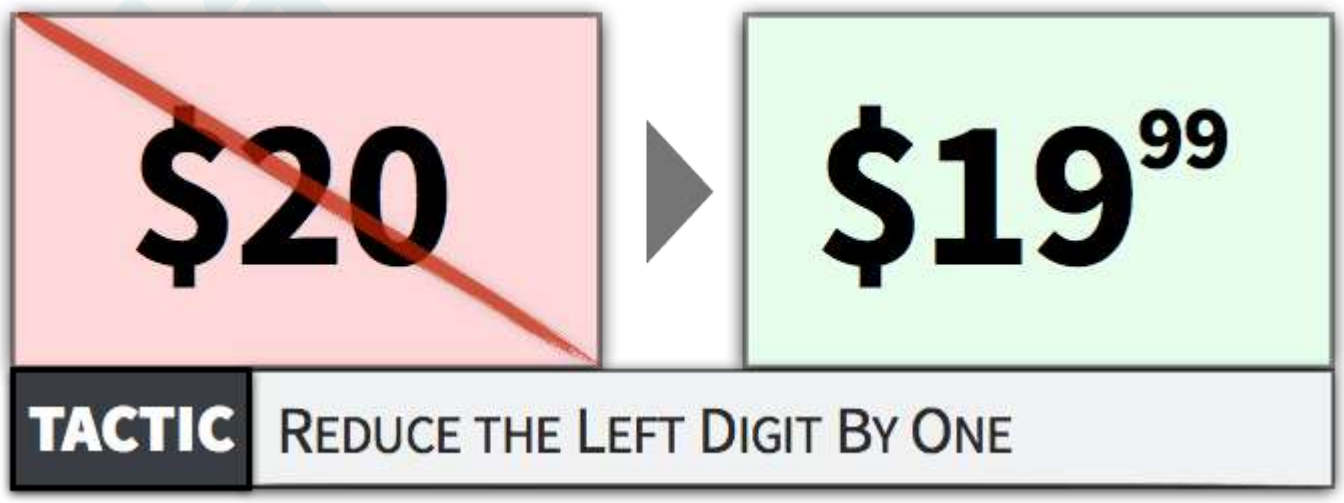
Price Skimming

- Charge a high price initially because product is unique and you have a competitive advantage
- Advantage is not sustainable and eventually price is reduced due to enhanced competition
- Flagship Smartphones & other electronics



Psychological Pricing

- Marketer wants to entice customer into thinking that product is cheaper
- Product is available at Rs 199/- instead of Rs 200

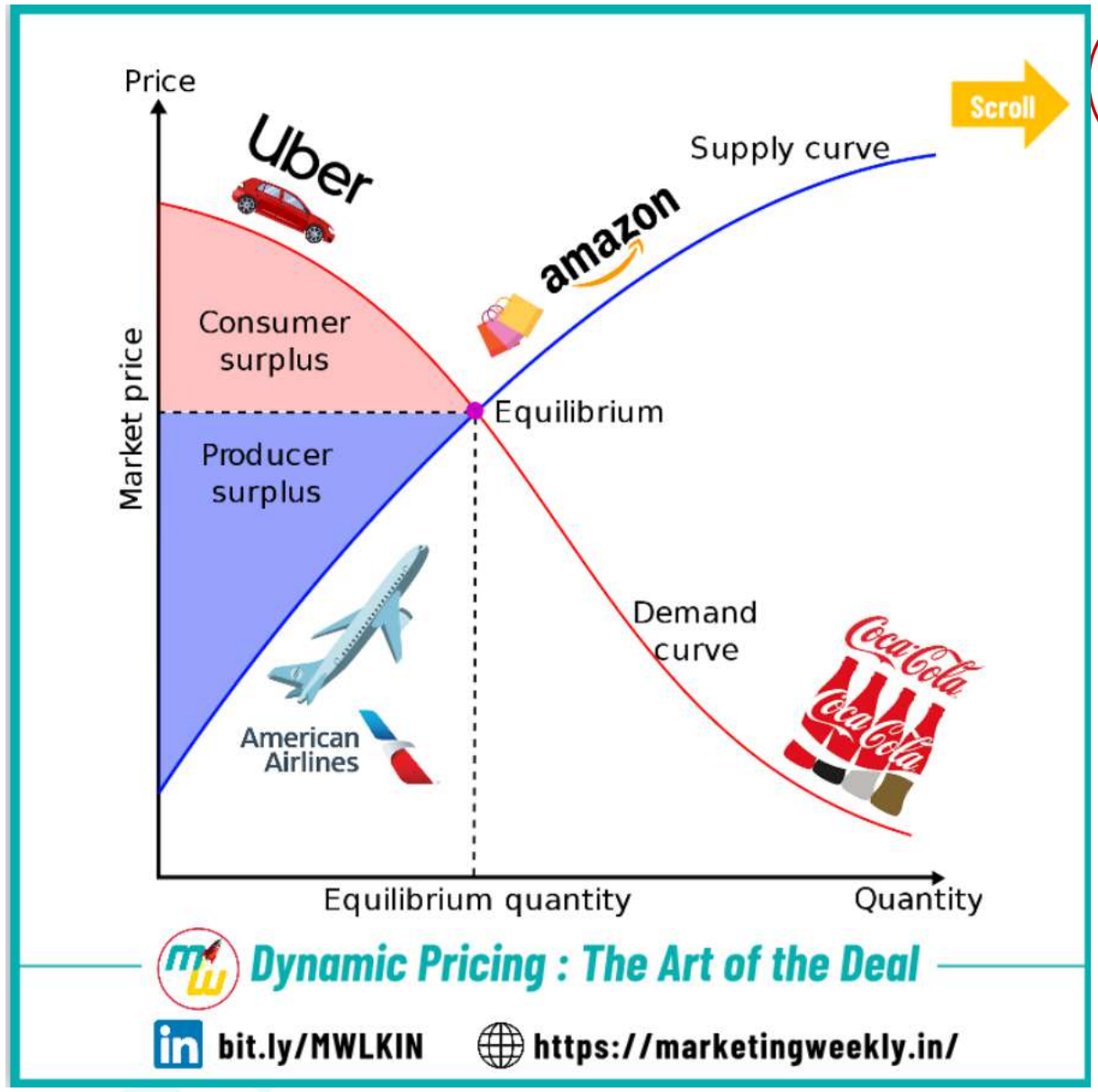


Interesting Read: Psychological Pricing

Dynamic Pricing

- Pricing of Airlines & Hotel keeps on changing based on current availability

- It helps them to optimize revenue at the same time keep demand intact because of low pricing during low days.



Captive Product Pricing

- If products have complements, the core products are generally offered at a lower price while the captive products which are necessary to use the core product are priced highly

- E.g. Razors and Blades, Printers and Cartridges

Bundle Pricing

- Sellers combine several products in the same package
- Can be a part of sales promotion
- Can be used to dispose off inventory

B2C (Business to Customer)		CATEGORY		B2B (Business to Business)
Selling products to customers (**Individuals**)				Selling products to companies or **firms**
Sale (Bill) amount are usually **small**				Sale (Bill) amount are usually **Large**
Driven by **promotions** & panache				Driven by **efficiency** & cost effectiveness
Customers want to be **entertained** (elated) about product				Firms want to be **educated** (Informed) about products
Relationships are **short-termed**				Long term **Relationships** are established between firms
Decision making is **simple**				Decision making involves **multi-level** meetings
Centered on desires & **gratifications**				Centered on **Logic** & rationale

Interesting Read: Strategy guide for B2B

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A type of business model that facilitates interaction between customers. Customer to customer businesses provides individuals with a place to converse, exchange and interact with other people. Many C2C businesses have online operations. Online auctions and classifieds such as Ebay and Craig's List are examples of very successful customer to customer business models. These sites don't look to directly sell goods to their members, instead the customers are exchanging with other customers.

Difference between marketplace and inventory model

Marketplace Model: Marketplace model of e-commerce refers to providing an information technology platform by an e-commerce entity on a digital and electronic network to act as a facilitator between buyer and seller. The main feature of the market place model is that the e-commerce firm like Flipkart, Snapdeal, Amazon etc. will be providing a platform for customers to interact with a selected number of sellers. When an individual is purchasing a product from Flipkart, he will be actually buying it from a registered seller in Flipkart. The product is not directly sold by Flipkart. Here, Flipkart is just a website platform where a consumer meets a seller. Inventory, stock management, logistics etc. may or may not be actively done by the ecommerce firm.

Inventory Model Inventory model of ecommerce means an ecommerce activity where inventory of goods and services is owned by e-commerce entity and is sold to the consumers directly. The main feature of inventory model is that the customer buys the product from the ecommerce firm. He manages an inventory (stock of products), interfaces with customers, runs logistics and involves in every aspects of the business. Alibaba of China is following the inventory model.

FLAT SALES FUNNEL INFOGRAPHIC

Interesting Read: [Community Marketing – a focus on customer retention]

Purchase Funnel: The purchase / purchasing funnel is a model which describes the theoretical customer journey from the moment of first contact with your brand to the ultimate goal of a purchase.

Digital Marketing Funnel:

1. Engagement :This stage of the digital marketing funnel is concerned with ensuring that customers' interactions with your brand are positive and that they're open to future interactions.
2. Education : It is specifically, helping potential customers realize that they have a problem that you can solve for them.
3. Research : At this point, marketing still isn't focused on selling a product, but rather on helping customers identify how they can benefit from solving the problem.
4. Evaluation : Customers may be looking at multiple competing solutions to their problem, so your focus should be on showing customers why your product is their best solution.
5. Justification : The justification stage is about finding ways to overcome objections, obstacles, or inertia. Perhaps the customer isn't the one with the ability to make buying decisions.
6. Purchase : The purchase stage is all about the sale.
7. Adoption : Adoption, the first post-purchase stage of the digital marketing funnel, necessitates making good on your promises, so that the customer has a good experience with your product.
8. Retention: Satisfied customers become repeat customers. To retain customers, give them help when they need it and provide them with educational materials on how to get the most out of your product.
9. Expansion: This might mean selling customers additional products or services, upgrading their service, or getting them interested in a completely different product that solves a different problem.
10. Advocacy : Extremely satisfied customers can help you expand your customer base further. They become brand advocates and do part of the work of selling your product to their peers, colleagues and friends.

Product Life CYCLE

Product life cycle refers to the length of time from when a product is introduced in the market until it's removal from the shops/Stopped production.

PLC is classified in 4 or 5 stages.

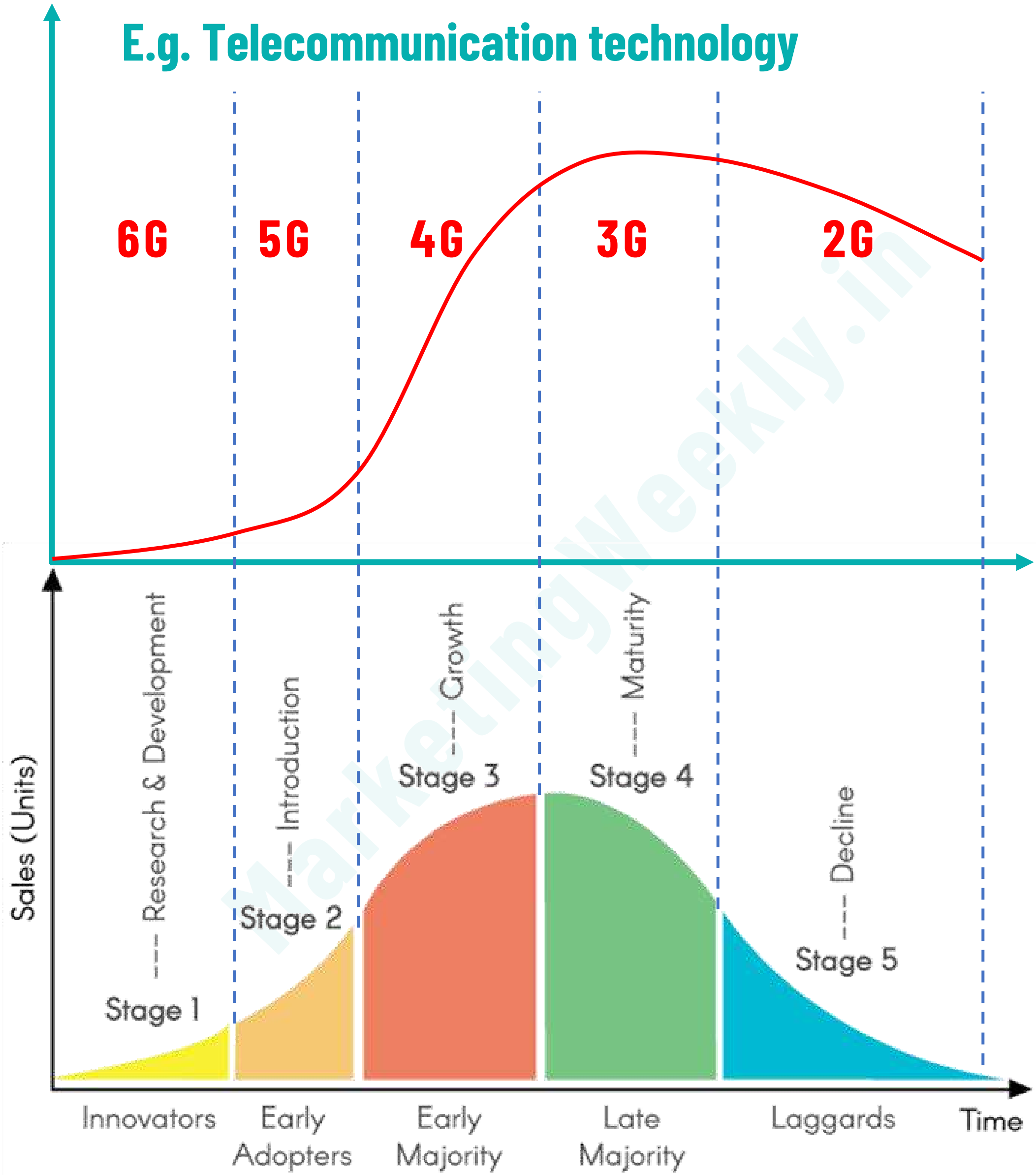
1 & 2 : R&D and Introduction
3: Growth Phase
4: Maturity
5: Decline

Few KPIs are stated in below graph from Kotler.

Characteristics	Introduction	Growth	Maturity	Decline
Sales	Low Sales	Rapidly rising	Peak	Declining
Costs	High cost per customer	Avg cost per customer	Low cost per customer	Low cost per customer
Profits	Negative	Rising	High	Declining
Customers	Innovators	Early adopters	Middle majority	Laggards
Competitors	Few	Growing	Starting to decline	Declining

Adopted from: Kotler, Marketing Management

E.g. Telecommunication technology



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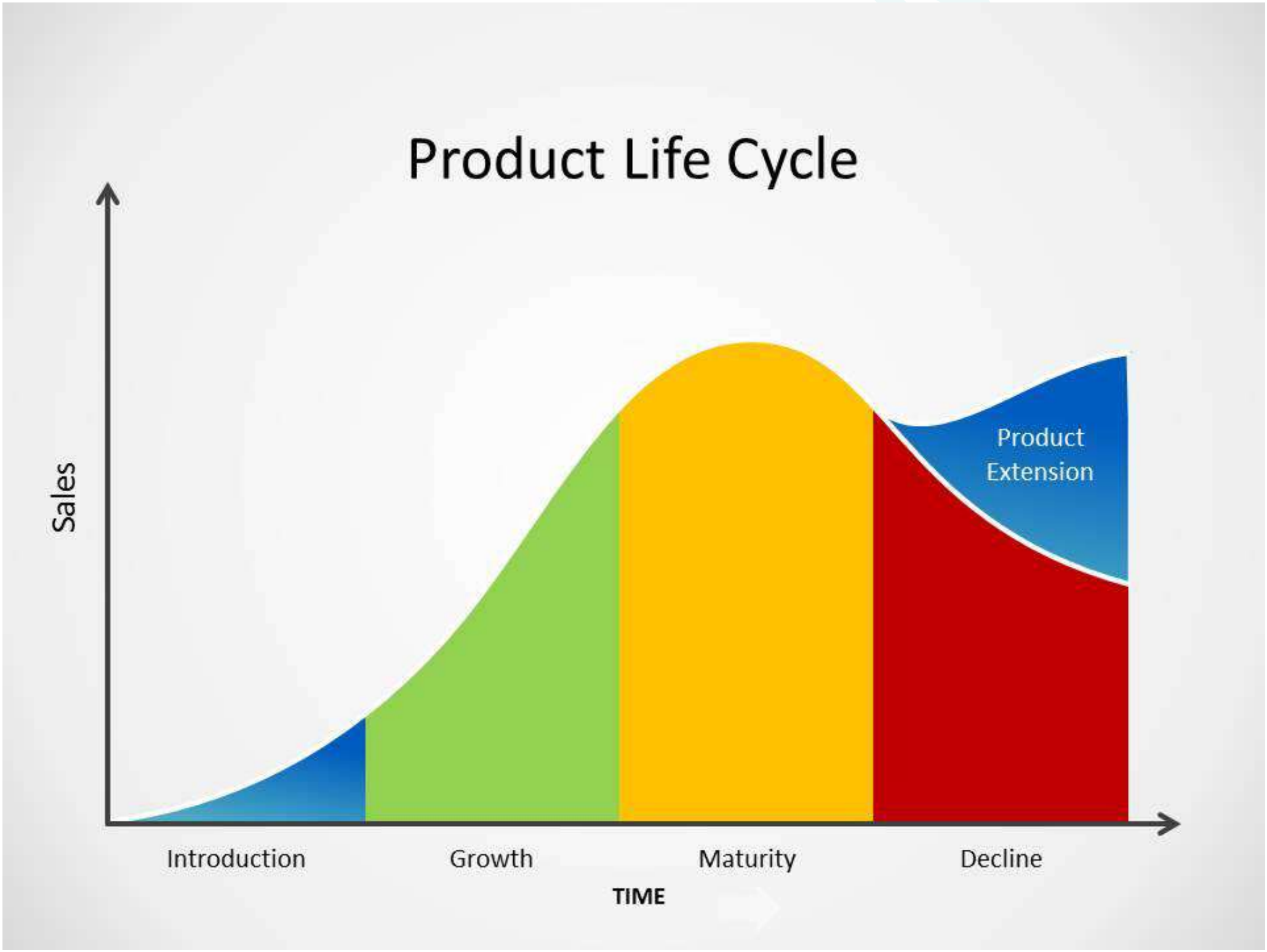
PLC Extension

When **Hyundai's Creta** started losing against **Kia Seltos**, Creata launched its new Facelift version.

Another example: After success of **Tata Tiago,** they entered premium hatchback segment with **Altroz** to fend off **Maruti's Baleno**.

Check-out how Microsoft expanded its **Microsoft Office suite**?

You will get the idea ☺



Interesting Read: : Product LifeCycle of Apple's iPod

Hello!
BRAND

What is a BRAND?

In order to find a Job, the first thing you do is build a CV.

What does the CV represent? It represents an image of you, a perception, **a promise that will be fulfilled once you are hired**.

This is your brand!!

A brand is a **perception that the customers have about** your product or service. It is an emotional and psychological bonding between your customer and your brand.

A trademark is a brand name that is **legally differentiated** from all the other brands.

For Example: **Coca Cola is a trademark.**

Interesting Read: Iconic Ads of Pidilite

There are two terms sometimes alternately used to talk about a brand: Brand image and Brand experience. In marketing terms, **they have two distinct meanings**.

Brand Experience is the **sum total of all contact points** with the brand. For example: Advertisements, Buying, Using, Longevity, etc.

Brand Image is a virtual construct of a brand inside the minds of the customer; it is the **sum total of all the expectations** that a customer has about the brand.

Different brand elements that make a brand:

- ✓ Name
- ✓ Logo
- ✓ Theme
- ✓ Shape
- ✓ Graphics
- ✓ Colour
- ✓ Sound
- ✓ Movement
- ✓ Smell
- ✓ Taste

Example

Amazon has been one of the most **valuable brands** in the recent years because it has maintained its core brand values – **ease of use, speed, agility-** even while diversifying.

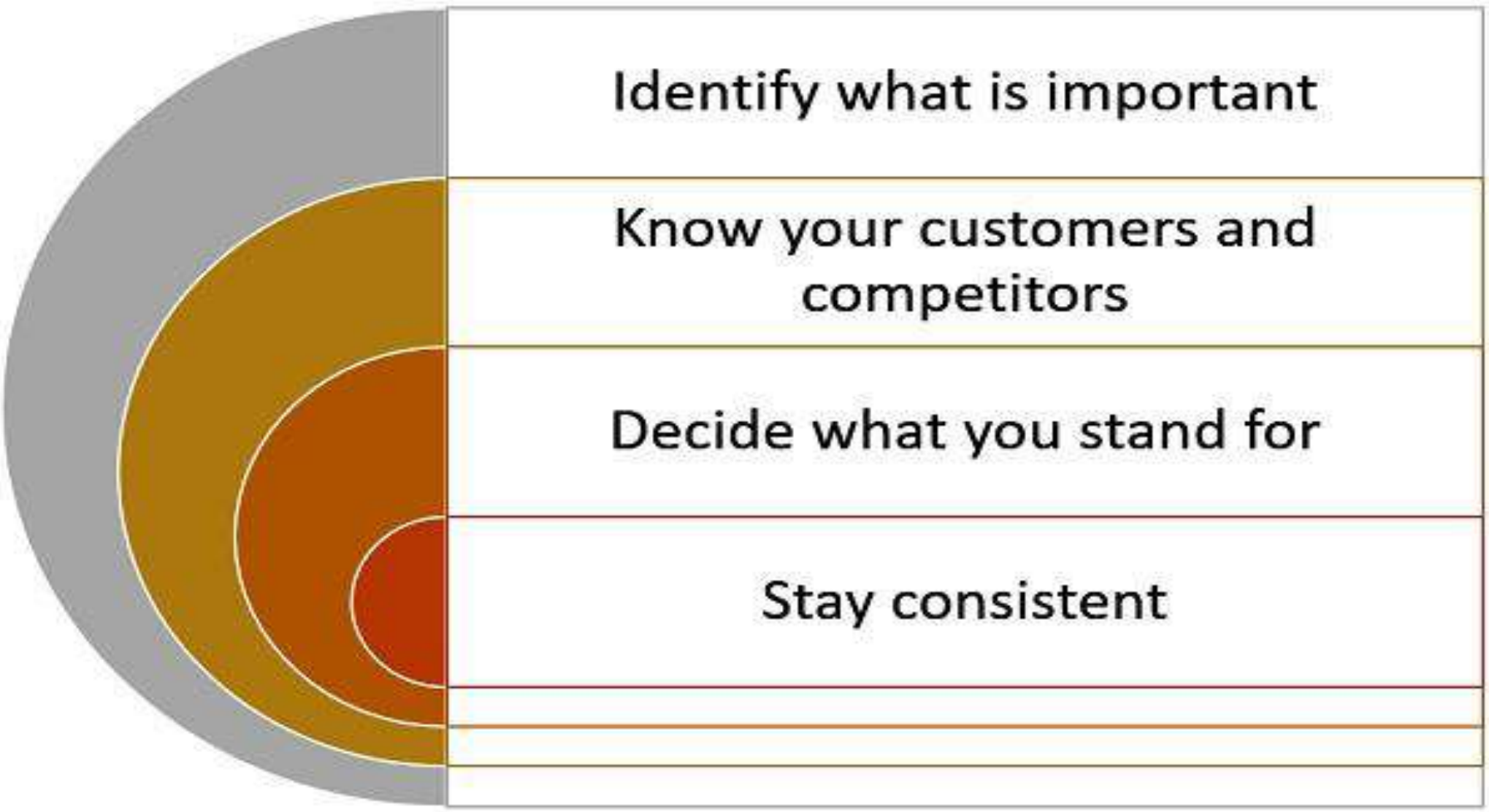
Closer home, **Reliance Jio in just 4 years** has created an enviable brand image that is rooted deeply in **India, celebrating its vibrancy, diversity and happiness.**

BRAND VALUE

Brand value, is the **financial worth** of the brand.
To determine brand value, businesses need to estimate how much the brand is worth in the market – in other words, how much would someone pay for your brand name.

We can also define it as- The difference between what a customer pays for getting the branded product, i.e. from the brand point of view, and a similar product without a revered brand name.

The main steps for creating brand value are:



Brand value vs Brand Equity:

There is often a confusion between both these terms.

The following table explains the difference between both the terms:

Basis for Comparison	Brand Equity	Brand Value
Meaning	Brand Equity is the worth of the brand that a firm earns through consumer consciousness of the brand name of the specific product, instead of the product itself.	Brand Value is the economic worth of the brand, wherein the customers are readily willing to pay more for a brand, to get the product.
What is it?	Attitude and Willingness of the consumer towards the brand.	Net present value of forecasted cash flows
Derived from	Customers	Product and Service Quality, Channel relationships, Availability, Price and Performance, Advertising, etc.
Indicates	Success of the brand	Total financial value of the brand.

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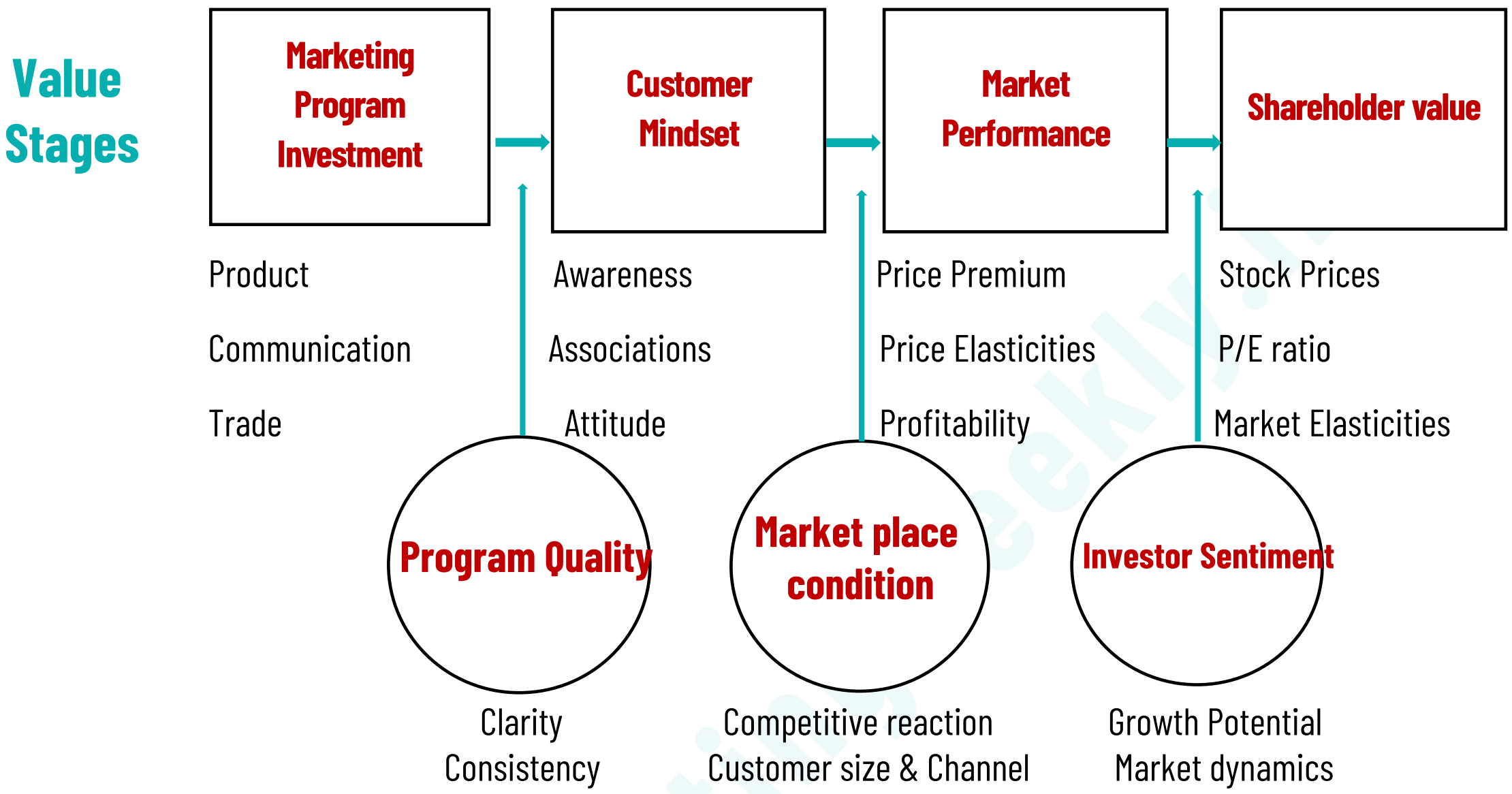
The Brand Value Chain



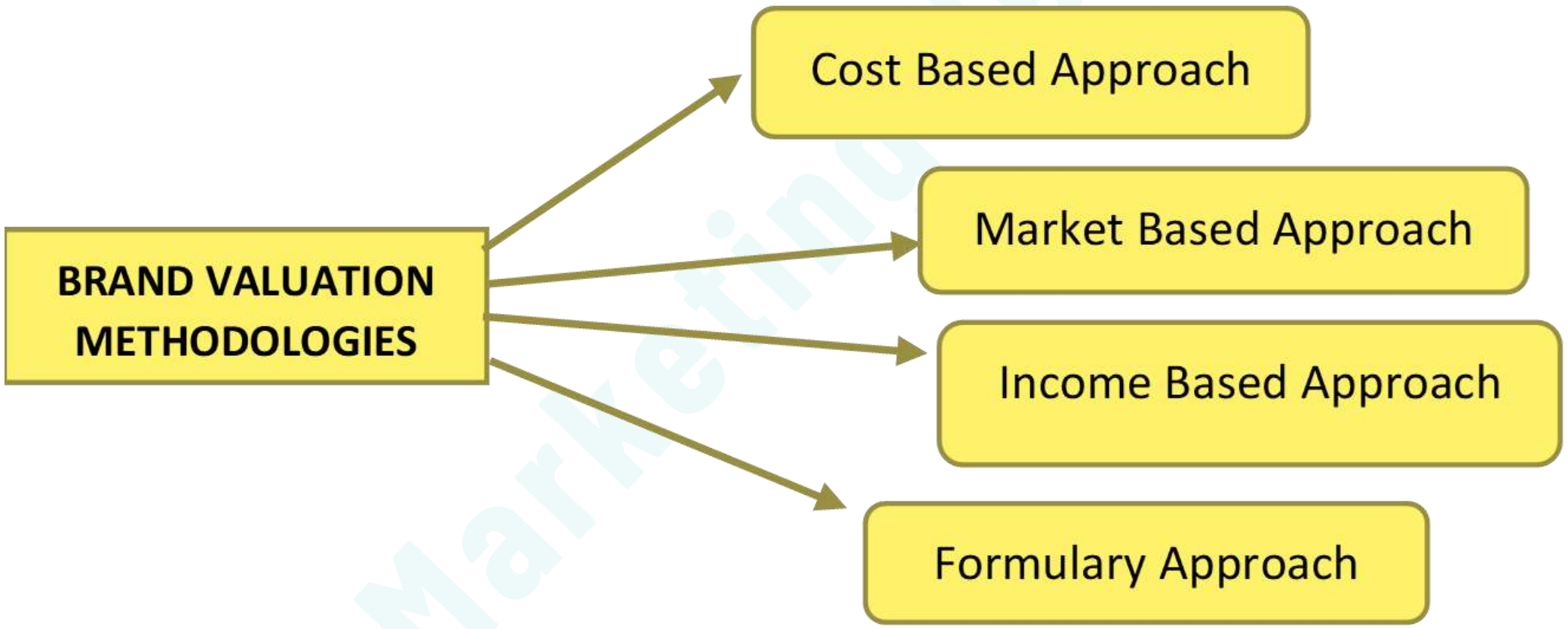
Brand value creation begins when the firm targets actual or potential customers by investing in a marketing program to develop the brand, including product research, development, and design; trade or intermediary support; and marketing communications.

Based on the initial efforts put in, the firm tries to assess- customers' mindsets, buying behaviour, and response to price which is subject to change as a result of the marketing program.

The investment community will then consider market performance, replacement cost, and purchase price in acquisitions (among other factors) to assess shareholder value in general and the value of a brand in particular.

Other important factors which contribute to the brand value are the -Marketing Program Quality, Market place condition, and the general Investor sentiment

Methodologies to calculate brand value:



MOST VALUABLE BRANDS OF THE WORLD:

Interesting Read: The Eyewear Industry's King - Luxottica

Game of Brands

Brand Rivalry

May the best brand win!

What is Brand Rivalry?

It can be defined as the competition between brands offering similar line of products to the same target audience at similar prices with the goal of increasing market share and overall revenue.

Types of Rivalry

To win potential customers

- The idea is to win new potential customers who haven't bought yours or you competitors products yet.

To win rival's customers

- The idea is to win the rivals' customers whilst preserving the brand's original customers.

To win sales from shared customers

- The idea is to win large share of sales from customers that have subscribed to multiple providers.

MarketingWeekly

Famous brand rivalries

VISA vs Master Card

Ever since the plastic money made way in people's lives, these two financial service providers havebeen giving competition to each other head-on.

Marvel vs DC

These two companies took their rivalry to another level by publishing a comic series named 'Marvel vs DC' to show open rivalry between the superheroes.

Famous brand rivalries

McDonald's vs Burger King

Serving the same customers atsimilar prices, Burger King and McDonalds have taken a dig at each other time and again especially over their hamburgers.

Coke vs Pepsi

With their innovative marketing campaigns, these two famous soft drink giants are able to attract customers even after the customers' focus shifted towards healthier drinks

Benefits of Brand Rivalry

Builds Loyalty

Rivalries help brands get customers take its side and discourages them from using competitors' products.

Gains sympathy

Rivalries help smaller brands or start- ups get sympathy votes from its customers

Attracts attention

If a rivalry become controversial, it brings in free publicity and word of mouth promotion.

Drawbacks of Brand Rivalry

Competitor benefits

Rivalries can also provide visibility to a brand's competitor which can give them attention.

Competitor improvement

Rivalries increase your competitors' brand awareness even if you're pointing at its flaws.

Awakening sleeping brands

When brands bite more than they chew, they can even lead to awakening of the sleeping brands.

Brand Personality

Brand Personality

To know about Brand Personality, first you have to know:

What is personality?

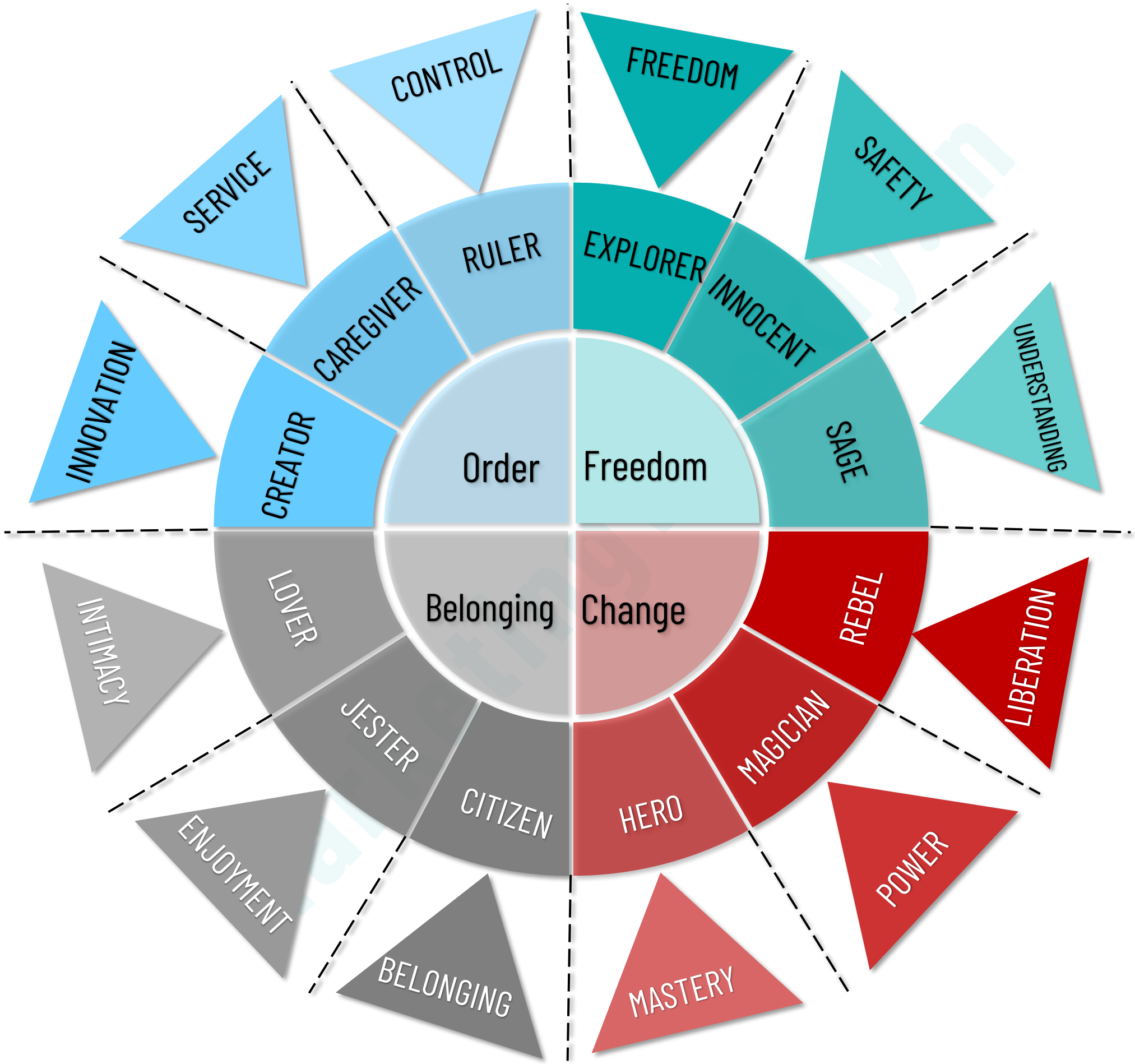
Combination of characteristics that form an individual's distinctive character, in short, an identity. A brand is also an identity at the end of the day, **something about the brands that we connect with.**

You must have heard people say that they ♡ 'love' Coca-Cola, or 'can't live without' 📱 Apple's iPhone, won't buy ketchup from anyone, but Heinz

80% of us make decisions before we're rationally aware of them. Instead, our feelings for specific companies are based around one very important concept: our archetype. More precisely, they come from the personality as our '**archetype**'.

"When properly identified, brand archetypes will reflect the personality of brands and serves to better align personality type with specific Customer Personas"

12 Brand Archetypes



12 Brand Archetypes - Explained

The Explorer

> Recognizes the boundaries around them, they don't let those restrictions stop them

BRAND	WHAT CUSTOMERS FEEL
Motivates to walk on your own path Encourages others to step outside of their comfort zones and follow their heart	Motivated to never settle Encouraged to learn from mistakes Admires the brand courage

BRAND

Jeep

Corona Extra

The North Face

Red Bull

Starbucks

NASA

The Innocent

> Loves simplicity and are built around the ideology of spreading joy

BRAND	WHAT CUSTOMERS FEEL
Positive and kind vibes through brand experience Builds trust and connections through honest and nostalgic views	Wants to live a beautiful life Takes life easy, smile Feels safe and beautiful inside

BRAND

Coca-Cola

KFC

Nintendo

Dove

McDonald's

Herbal Essences

12 Brand Archetypes - Explained

The Sage

> Celebrates curiosity while sharing knowledge with others

BRAND

Encourages customers to think in new ways

Message is always factual, without unnecessary emotions

WHAT CUSTOMERS FEEL

Absorbs the knowledge

Digs deeper in the solution finding

Considers the brand as a teacher, a mentor

BRAND

Forbes Google The New York Times NATIONAL GEOGRAPHIC BBC MAYO CLINIC

The Rebel

> Goes above and beyond to create something unique for its target audience, and often they inspire an almost cult-like following

BRAND VOICE

Honest, raw and loud

Speaks fearlessly about topics that can be scary, inconvenient or controversial

WHAT CUSTOMERS FEEL

Experiences the uncommon

Thrilled

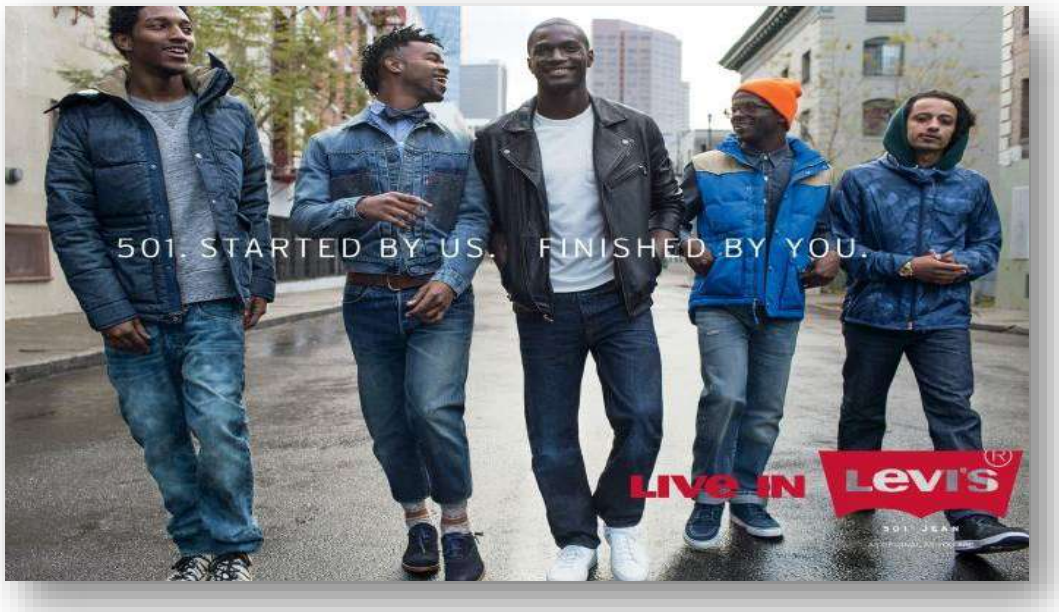
Feels safe and beautiful inside

BRAND

HARLEY-DAVIDSON URBAN OUTFITTERS DIESEL NETFLIX LUSH FRESH HANDMADE COSMETICS Virgin

Check the remaining 10 Brand Personalities Here

Campaigns example



BRAND IDENTITY PRISM

BRAND IDENTITY PRISM

Before digging into the details of the Brand Identity Prism, let us understand brand association. What comes to your mind when you think of **Coca-Cola** ? Happiness? Refreshing? The iconic coke bottle? Young and socializing? Whatever you think, but most of us would associate positively with Coke.

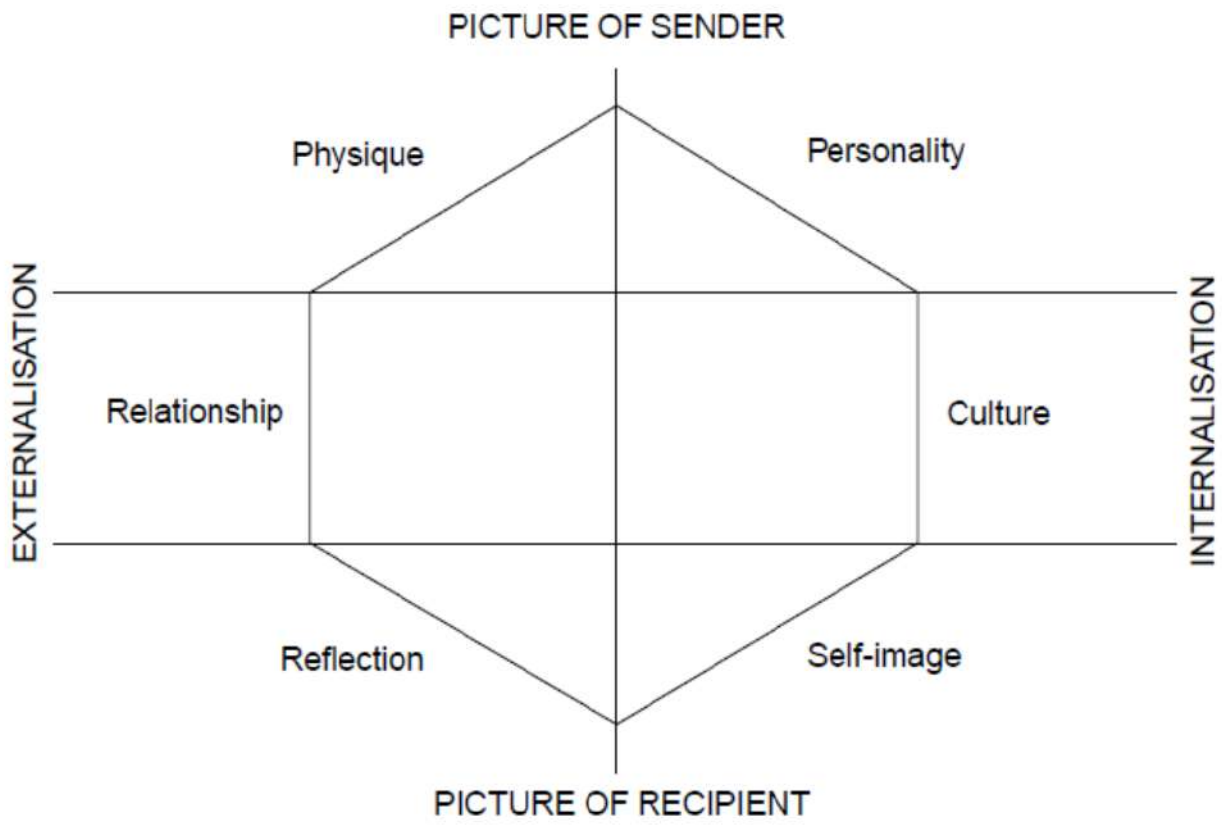
And why so?

The answer is simple: Coca-Cola has done a brilliant job in establishing itself as a positove brand no matter how harmful the drink could be.

The Brand Identity Prism is a hexagonal diagram that helps us understand how the different elements of a brand relate to each other.

It was a term coined by **Jean- Noel Kapferer in 1996**. According to Kapferer:

"Strong brands are capable of weaving all aspects [of the prism] into an effective whole in order to create a concise, clear, and appealing brand identity."



Let's discuss each element of the Brand Identity Prism:

Physique - Physique is the physical characteristics and iconography of the brand. It is the basis of the brand which visually represents the brand's aspirations and how you wish it to be perceived.

Personality - How a brand communicates with the outside world through its tone of voice, design and copywriting.

Culture – The principles and the values on which the brand bases its behavior

Relationship - The understanding between the brand and its customers, and what the customer hopes they are getting from the brand beyond the actual product or service.

Reflection - The stereotypical user of the brand. A brand is likely to have several buyer personas but they will have a go-to subset of their target market that they use in their messaging.

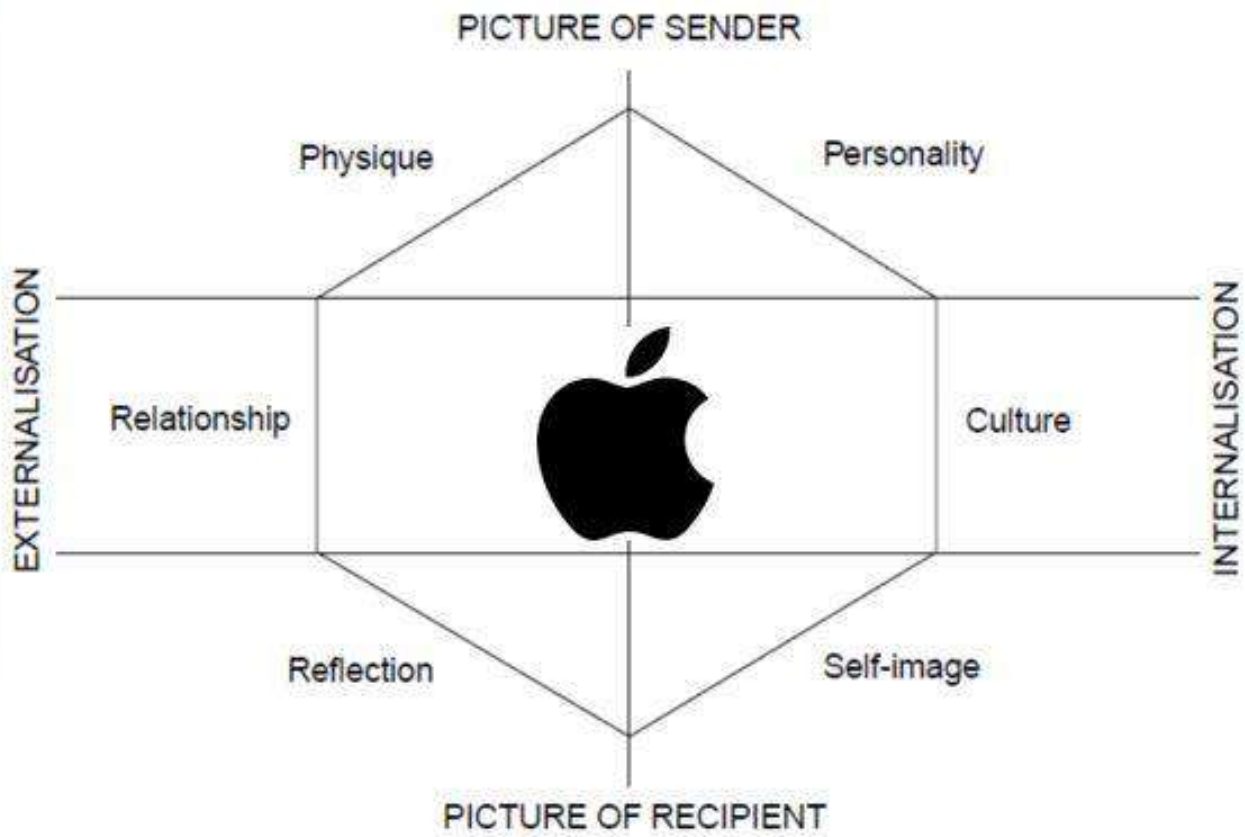
Self-image - How the customer perceives their ideal self. By understanding a customer's 'ideal identity' – what they aspire for and how they tend to look and behave ideally – brands can target their messaging accordingly

Brand Identity Prism for APPLE

Physique:
Micro-computers, All purpose

Relationship:
Liberation, Friendly

Reflection:
Young minded, Autonomous



Personality:
Intelligent, creative, cool

Culture:
Changing the organization, The Valley culture

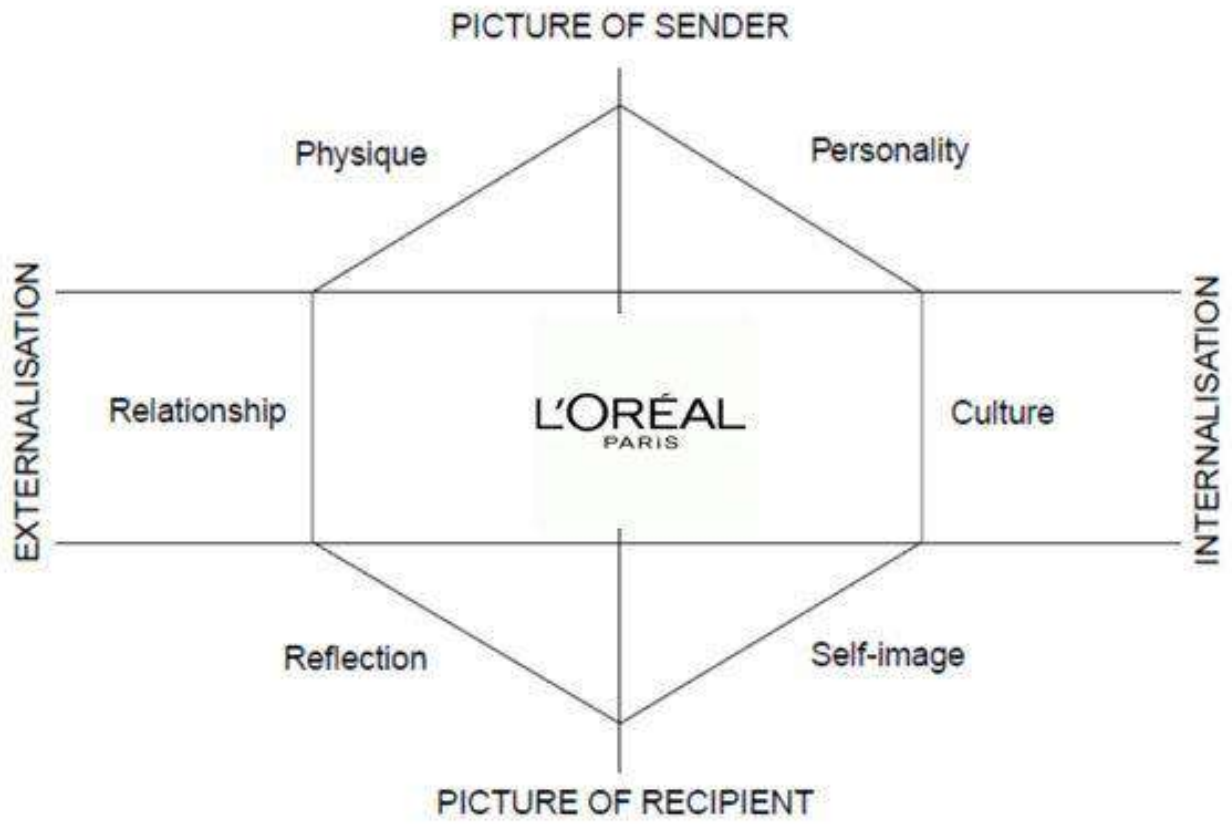
Self-Image:
Self enhancement

Brand Identity Prism for L'Oréal

Physique:
Beauty product for women

Relationship:
Trust and Respect

Reflection:
Beauty Expert



Personality:
Attractive woman, Modern

Culture:
Innovation

Self-Image:
Confident, Independent

Interesting Read: LoveMark in Marketing

RURAL MARKETING

Rural Marketing

The process of planning, and executing the conception, pricing, promotion, and distribution of ideas, goods, and services to create exchange (for rural segments) that satisfy individual and organizational objectives.

*Adapted from AMA definition of marketing

MarketingWeekly.in

Understanding today's rural consumer

Open to new experiences with increasing disposable income

High utility orientation & value-seeking from each purchase

Open to be connected through digital channels

Price-sensitive but willing to spend on trusted brand

Majority shopping is done on special occasions

Aspires to mirror his urban counterparts

Strongly attached to local culture & language even on social media

MarketingWeekly.in

4 As - The key factors in a rural market

Availability

Planned trade -off between distribution cost & market penetration to ensure product reaches remote areas.

Acceptability

Modifying the product according to the rural conditions and facilitating ease of usage to make user comfortable with using the product

Awareness

Using traditional ATL marketing activities like TV/Radio ads to improve brand recall & connection

Affordability

Lower SKUs to prompt low-risk trials, along with convenient loans or money-lending facilities for bigger purchases

MarketingWeekly.in

Tweaking the marketing mix for the rural market

Product strategies

- Modifying product design to provide convenience of usage to the rural market
- Smaller SKUs to improve trials for first-time users
- Improving sturdiness & power to improve attractiveness to a rural consumer
- Increasing utility over fancy features to provide maximum ROI
- Adaptive brand-building according to the audience tastes & preferences

LG Electronics introduced Sampoorna TV aimed at rural audience, India's first TV with a Devanagari script on screen display for vernacular languages

ISPAT industries branded its galvanised corrugated sheets as "ISPAT Kavach" & Tata Steel branded their product as Tata Shakti in order to connect strongly to rural audience & improve top of mind recall

Tweaking the marketing mix for the rural market

Pricing strategies

- Differential/reduced pricing as compared to urban areas
- Low Unit Price (LUP) packing or "paise packs" of even premium brands
- No-frills Economy pricing – Coinage pricing, value pricing
- Discounts for special events according to local festivals & events
- Schemes for retailers like offers & quantity discounts to increase loyalty
- Credit facilities & promotional offers according to agricultural cycle
- Free gifts that provide additional utility
- Bundled pricing to promote maximum value for money

HDFC Festive treats is the rural phase of HDFC's financial services, where rural and semi-urban consumers will be able to avail offers specially created for them, like discounted processing fees for loans, reduced EMIs and discounts on 1000+ brands.

CavinKare introduced 4ml sachets of Chik shampoo priced 50 paisa each at a time when other shampoos were sold in Rs.2 packs

Tweaking the marketing mix for the rural market

Distribution strategies

- Local Markets/ Haats to reach out to maximum number of consumers
- Fairs & festival grounds/melas to grab high attention
- Wholesalers and kirana retailers to reach out to all neighbourhoods
- Vans/ mobile traders in order to have deeper penetration into remote areas
- Syndicate Distribution to sell & distribute non-competitive goods together through a common distribution channel
- Hub & Spoke model of distribution to cover dispersed crowds
- Self-help groups who can be employed for door-to-door selling
- Exclusive bazaars/ retail outlets like ITC e-choupal

Dabur Pudinhara set up 22ft tall Pudinhara bottle along with Thandak zone in Nauchandi mela which is a festive congregation of several villages.

Hindustan Unilever Limited

Shakti Shakti

HUL's rural sales promoters educate women in villages on distribution & selling of HUL products through Project Shakti

Tweaking the marketing mix for the rural market

Promotion strategies

- Mass media like television, radio, films, newspapers & magazines in local languages
- Rural-specific media like audio-vans, posters, pamphlets
- Door-to-door selling through trained salesmen/locals
- Outdoor campaigns with billboards, painted walls
- Entertainment programs like folk dance, street play, puppet-shows
- Mobile publicity vans with short film screening capacity
- Loudspeaker announcements & posters at festivals/ melas/ local markets
- Utilising the opinion leader (Village head or any other respected person in the village) as a promoter
- Word-of-mouth promotion facilitated through referral schemes
- Product demonstration & free sample distribution in public gatherings

"Thanda matlab CocaCola" gave the beverage company a breakthrough in rural Indian market. Coca-Cola also launched Accessibility campaign to bring the smallest SKU at Rs.5, competing with other drinks like tea & lemonade

Asian Paints promoted Utsav paint category by painting the Mukhiya/post office of a village 6 months before the launch, and organising painters meets

RESPECT OUR HUMAN RIGHTS!
WE WANT A BETTER WORLD
LET'S CHANGE THE FUTURE
FIGHT FOR A BETTER TOMORROW
NO JUSTICE NO PEACE

Cause

Forms of cause marketing

Volunteerism

Rather than asking for a donation, businesses will ask if customers will volunteer their time to a certain organization

Point of Sale Campaigns

A donation requested at the POS by a corporation but made by the customer

Transactional Campaign

A corporate donation triggered by a consumer action (e.g. sharing a message social media, making a purchase, etc.)

Portion of Purchase

Businesses donate a portion of their sales to a nonprofit or cause

Pin Ups

Primarily for in-house use. Customers will donate and fill our their name on paper icon, which will then be hung up in the store

Digital Engagement

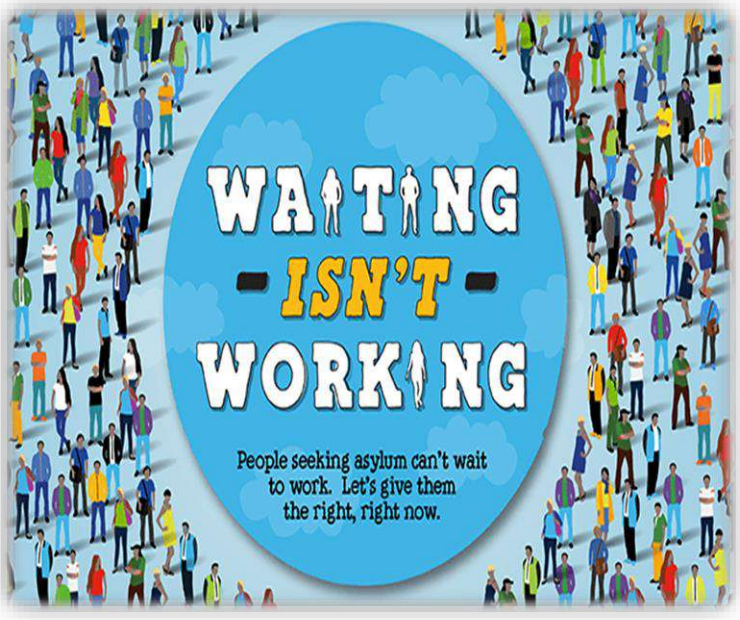
Businesses create a "digital experience" using social media

Buy One Give One

Businesses will donate a product with comparable value to a designated product based on each sale of that product

Cause marketing in the time of COVID 19

"We're all in this together." That is the message many companies are communicating to customers and the general public while the world grapples with the COVID-19 health crisis



Ben & Jerry's – #LiftTheBan, partnered with Refugee Action as part of the Lift the Ban coalition

Facebook is offering $100 million cash + $100 million in advertising credits to publishers

Cadbury's – Donate Your Words, joined with Age UK to fight loneliness, especially in this COVID times

Burger King offers 2 free kids meals with any meal purchase during coronavirus crisis

Examples

TATA Tea "**JAAGO RE**"

- This campaign took up social activism allowing the company to connect with issues such as voter registration, corruption and women's rights
- Before this campaign TATA Global accounts for 18.7% of market share and ranked number 2 after HUL (21.5% market share).
- Post this campaign launch they captured the number **#1** position with **22%** (currently at 19%) market share

Lifebuoy "**GONDAPPA**"

- Once a week, a volunteer visit homes to make the villagers aware of the need to wash their hands with soap
- Overall diarrhea incidence reduced from 36% to **5%**
- The campaign has reached out to 180 Million people
- **Why? –** Diarrhea alone killed **13%** of children under the age of five and as per UNICEF, **31%** of children have access to basic sanitation

Interesting Read: Brand Activism

Examples

Coca-Cola 5by20

Coca Cola "**5BY20**"

- Program to help 5 million female entrepreneurs — from fruit farmers and artisans to recyclers and retailers —become part of our value chain by 2020
- **3.2 million** women in 92 countries have started businesses as part of our 5by20 program

HORLICKS "**AHAR ABHIYAN**"

- The campaign will aim to address issues of malnutrition among the youth. Under the campaign, a contribution of Re 1 will be done towards the initiative from the sale of Horlicks in the state
- **14%** lift in sales, because of this campaign (in West Bengal)

Examples

P&G "**PROJECT SHIKSHA**"

- Provide children from underprivileged backgrounds access to holistic education. Focused efforts in three main areas - improving education infrastructure, empowering marginalized girls through education and improving learning outcomes.
- Launched in 2005, raised over **Rs 22 Crore** for the cause
- Overall sales increased by **5** times

Gillette "**THE BEST MAN CAN BE**"

- Launched on January 13, 2019 with the digital release of a short film entitled We Believe: The Best Men Can Be, to address negative behavior among men, including bullying, sexism, sexual misconduct, and toxic masculinity
- Amassed over **11 million** views in just eight months

Examples

Vistara "**FLY THE NEW FEELING**"

- Partnered with Salaam Baalak's trust which is a non-profit, as well as a non-governmental organization, is providing support to street children of Delhi and Mumbai to fly 12 kids on its first flight ever

Mahindra "**SEED THE RISE**"

- A digitally-driven crowd-funding campaign to enhance the lives of farmers
- Got donations amounting to INR 1 crore and will be utilized for farmer welfare through five carefully hand-picked projects in collaboration with Four NGOs

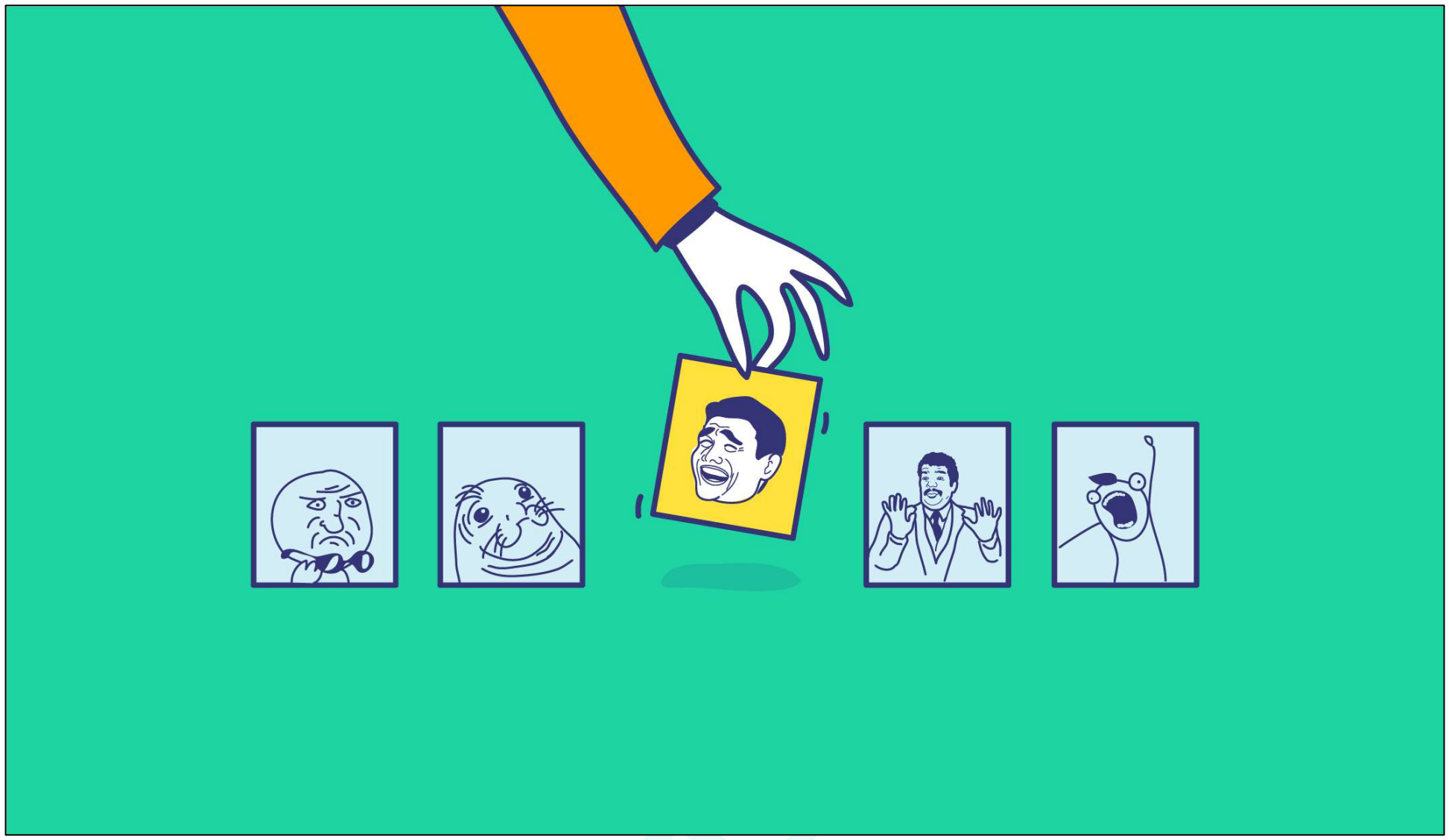
Nestle "**EDUCATE THE GIRL CHILD**"

- In partnership with Mumbai-based education reform non-profit Nanhi Kali in late 2016 in order to Educate the Girl Child in a long term project of the same name

Interesting Read: Brand Activism

MEME MARKETING

MEME MARKETING



The word meme coined from a Greek word ‘mimeme’ which means "to imitate".

It was first used by Richard Dawkins in his book **The Selfish Gene** in 1976. He argued that virality didn’t just apply to infectious diseases, but also to anthropological settings.

He defined a meme as any shareable cultural artifact that spreads through like wildfire.

Memes are also considered as cultural analogues to genes as they self-replicate, mutate, and respond to selective pressures.

MEMES - the future of social marketing:

Meme marketing is a kind of marketing in which memes from various mediums like word of mouth and social media networks are used to fulfill marketing goals.

It is the practice of using users to promote a brand or product by creating appealing, engaging, and fast-spreading news or content.

Millennials spend over 200 minutes online every day.

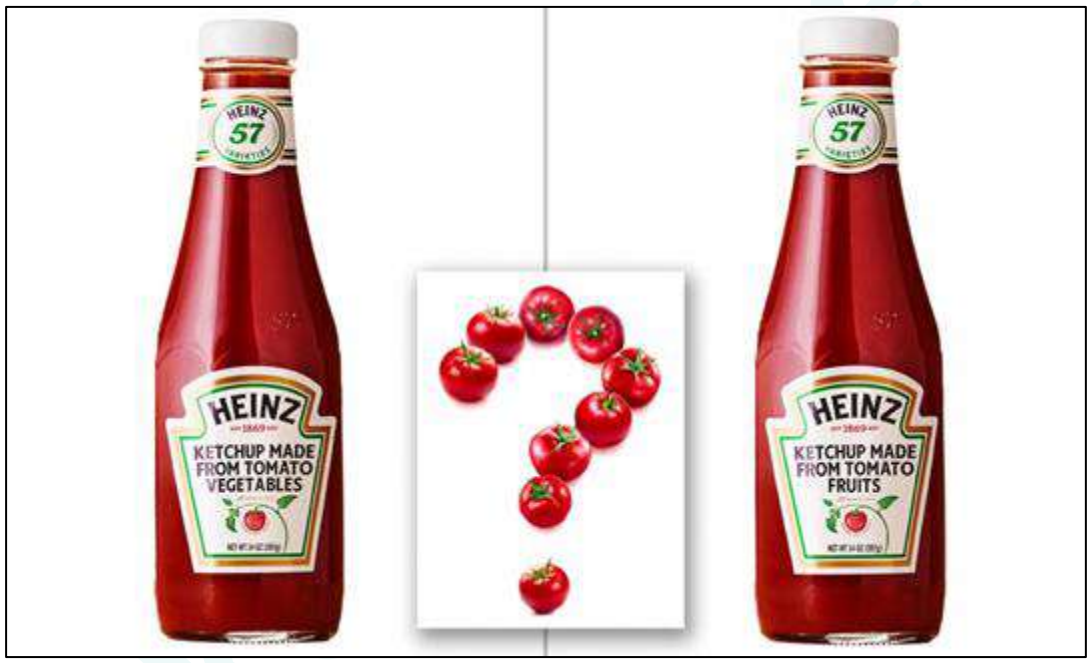
Memes are so prolific that millennials and Gen Z are laughing and sharing thousands of memes everyday.

This gives brands plenty of opportunities to engage with their audience.

The drawback of traditional brand marketing on social media is that it often has low interaction. People tend to skip over lame, commercialized content and get to their normal proceedings.

Gen Z is very ad-averse. They can smell promotion from a mile away, and they aren't having any of it. Memes aren't overly promotional -- they make people laugh with a casual reference to your brand.

How Heinz used MEME marketing

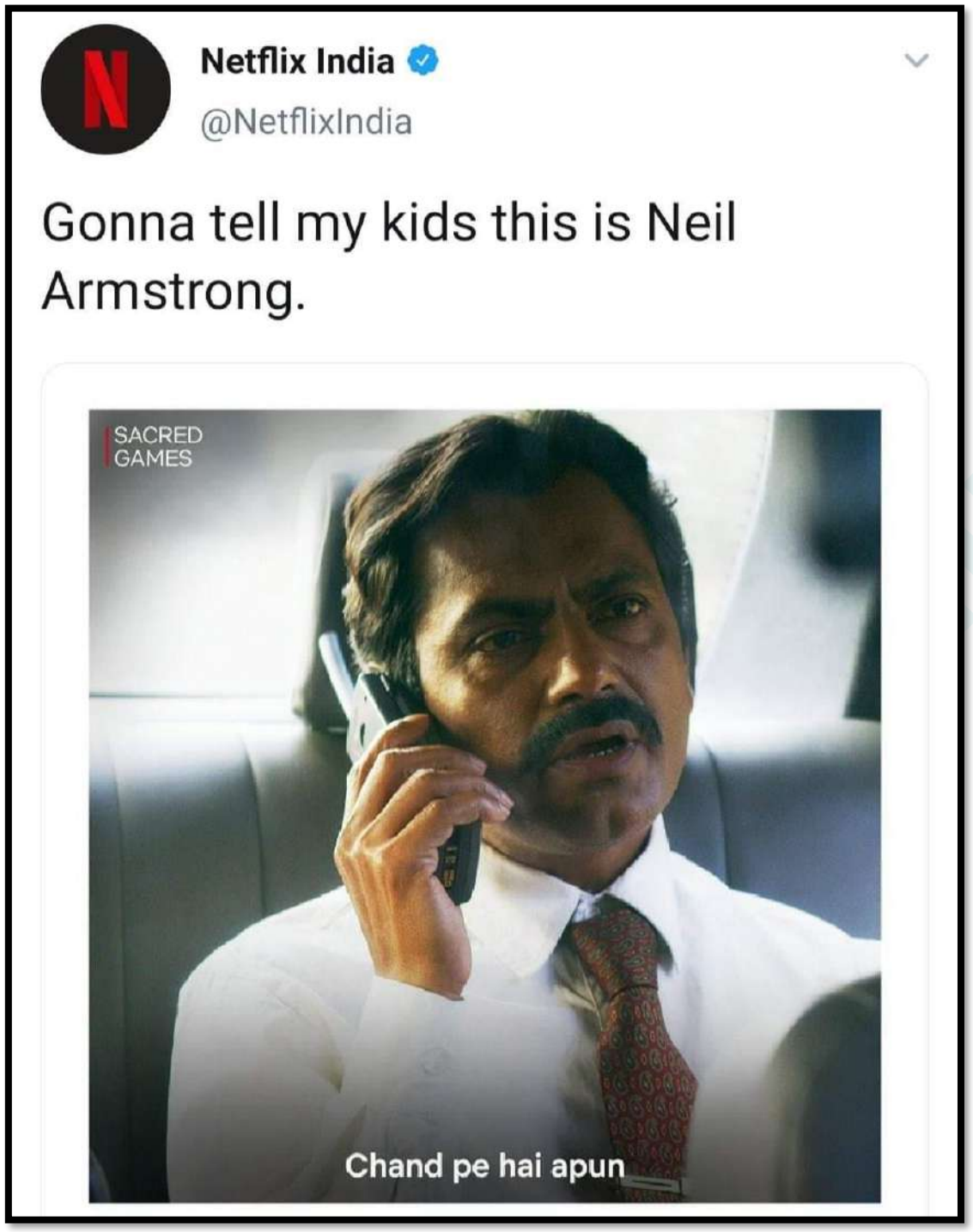


Heinz is a perfect example of meme creation in action. The condiment brand wanted to increase brand awareness and engagement on its social media. It implemented a meme marketing campaign which **earned 4 million impressions with 80k engagements.**

Heinz cleverly fed into the timeless debate on tomatoes being a fruit or a vegetable. They asked people to take sides with hashtags and posted graphics saying, "If you had to decide right now if a tomato is a fruit or a vegetable?"

Netflix has majored in meme marketing

FOMO TRIGGERED



MEME-JACKING

When Zomato started a meme trend and others followed it

Important elements of Meme Marketing:

Be native. It is very important that a digital native is writing and sharing memes from the brand so the lingo is on point. Otherwise, the audience will immediately pick up that the brand is trying too hard to be cool which will ultimately hurts the brand.

Be relatable. It's guaranteed that only a sliver of the population will understand a meme and it is not going to appeal everyone. So a meme should be directed towards the target audience and should cater to their interests.

Watch the timing. An existing meme should only be used if it is still trendy and if a new meme is created, the cultural climate should be right. Otherwise, it could come off as tone deaf and out of touch.

Conclusion:

Meme marketing not only helps brands increase their brand exposure but also drives their marketing goals, be it familiarize the target group with the product or bring traction on site.

Meme marketing as against to traditional as are relatively inexpensive, which is why brands are including meme marketing in their core marketing strategy.

But it is not everyone's cup of tea!

Though Meme Marketing appears to be an easy affair, agencies often struggle with it. The key to it is being relatable, funny and at the same time the brand shouldn't come off as trying too hard otherwise it can lead to a bad reputation.

Emotional Marketing

Emotional Marketing

Most customers' buying decisions are driven by emotions rather than logic, which makes emotional marketing important.

Emotional Marketing is a marketing strategy that uses basic emotions to elicit customer response. It tells a story that connects with the customers in a humane way. All the emotions are aligned with the brand's objective, vision, and mission. Emotional marketing leads audience tends to notice, remember, and later buy. They reach more audiences through shares on social media and results into brand loyalty.

First impressions (which last only a few seconds) make the best impressions. Emotional marketing can make great first impressions. If marketed wisely, the brand tends to stand out in the consumer's mind. Studies show that emotional marketing campaigns work twice as better as other marketing campaigns. Emotions are primarily divided into four broader groups, namely anger, sorrow, happiness, and surprise/fear.

Examples:

Happiness: Positive emotions like Happiness increase engagement. Android's "Friends Furever" showing pairs of different animals together in Harmony. This ad automatically brings a smile.

Sorrow: Sad news spreads faster and creates awareness among people.
WWF created an awareness campaign on how human actions lead to animal cruelty. How animals have been mistreated, and human interferences are affecting their habitat.

Anger: Negative sentiment like anger can have an immediate impact and can change the audience's perspective. Earlier, the phrase "Like a Girl" was mostly used in a belittling way. P&G's Always brand launched "LikeAGirl" Campaign. Through this campaign, the positive sentiment of Women empowerment was portrayed which attracted women all over the world.

Fear: Through fear, there will be a sense of urgency, and the audience will start acting immediately. Ads like Smoking is injurious to health and can cause lung cancer elicit fear.

Here are a few things that work well with Emotional marketing.

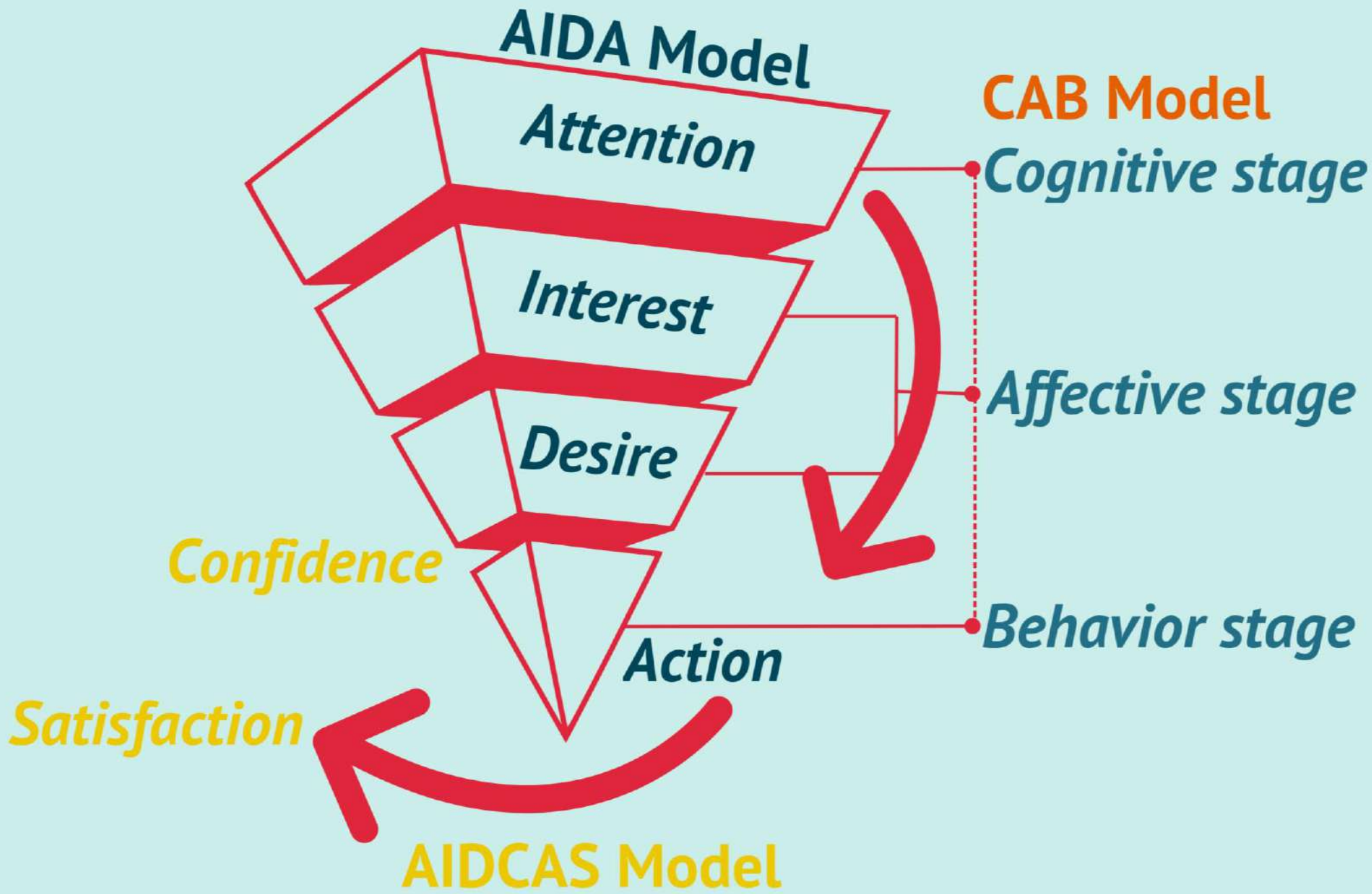
Colour psychology plays a huge role. A movement towards a good cause – One example is "One day without shoes" campaign started by TOMS.

Creating Viral campaigns – Dollar Shave club took an everyday problem and the advertisement (our blades are f*cking great) became viral overnight
Building a community through word of mouth

Interest Read: **Article**

AIDA Model In A Nutshell

AIDA stands for attention, interest, desire, and action. This is a model which is used in marketing to describe the potential journey a customer might go through, before purchasing a product or service. Variation of the AIDA model are the CAB model, and the AIDCAS model.



Credits: HubSpot

AIDA

AIDA is the acronym for Attention - Interest - Desire - Action. AIDA was developed by E. St. Elmo Lewis in 1898. AIDA Model is a linear series of cognitive thinking stages a prospective customer experiences while purchasing a product or a service. It is a marketing funnel leading to the final purchase of the product. It is popular in PR campaigns, digital marketing and sales strategies. It describes the journey of the customer from awareness of the product until the purchase.E. St. Elmo Lewis developed AIDA.

Attention - The first stage is for creating brand awareness about the product or service for the consumer. Customer's attention should be drawn through various marketing and advertising efforts.

Interest - Once the customer is aware of the product, the brand must work towards increasing the customer's interest level. The customer learns about the product benefits and if the brand fits their lifestyle. If interested, they want to research further. Detailed product information will be communicated through website, video, brochure, etc.

Desire - The customer builds an emotional connection with a particular brand and becomes a loyal customer. There will be a transition from "liking" to "wanting" the product. It is the desire to buy the product addressing the customer's needs

Action - It is the final stage in the AIDA model where the customer initiates action such as buying the product, purchase intention, shopping around, engaging in trial, etc.

Example: Suppose there is an offline store. Attention is running brand awareness campaigns months before the launch. Interest is offering a discount on first time purchase of the product and gauging how many customers were excited about it. Desire is that customers want to buy your products. Action is the customer comes to the store and purchases the product.

Criticism:

The post-purchase behaviour such as customer satisfaction, repeat purchase is not taken into consideration. Many external factors (excluding marketing efforts) affecting customer purchasing behaviour are not taken into account.

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Interesting Read: How Horlicks became a Market Leader?

World of Co-branding

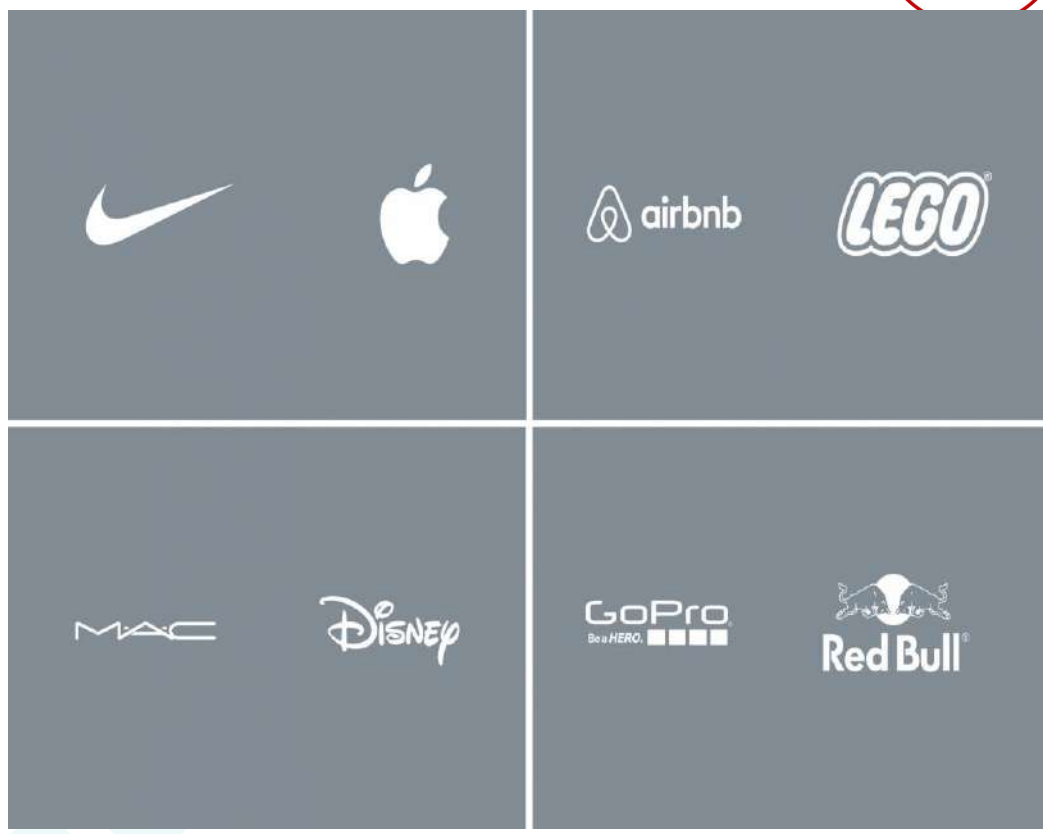
COBRANDING

In late **1990s and early 2000s**, many of us had this thought of a cricket team with **Indian batsmen and Pakistani pacers**. The thought of how brilliant a team would it be if it had Sachin, Sourav, Sehwag and Wasim, Waqar & Shoaib Akhtar.

So what we were hoping for was a "**new product**" – the Indo-Pak cricket team which was created by "**two different brands**" – the Indian Cricket Team and the Pakistan Cricket team thus creating a strategic alliance which benefits both. This is exactly what "**Co-Branding**" is!

Cobranding is the coming together of 2 or more brands in a **partnership** to create a product or to have a common promotional event.

E.g. Oyo Hotels partnering with Unilever for hygiene post Covid19



SOME CO-BRANDING EXAMPLES YOU SEE AROUND

As the *Brand Matters puts it* **– the main purpose is to create the value equivalent to 1+1=3,** that is to **increase** the cumulative market strength , profitability, cost savings and perceived value.

Advantages

- Increasing Customer Bases
- Creating New Audiences
- Creating Unique Experiences. For Example: **Nike+Ipod Sports Kit.**
- Increased brand awareness and **TOMA – Top-of-the-mind-awareness.**
- Sharing Risk or Losses.

Disadvantages

- Cross Contamination; Association of **Nike with Lance Armstrong's Livestrong brand** suddenly jeopardized **due to doping allegations** .
- Too many co-branding alliances can result in brand dilution

MarketingWeekly.in

Examples

PepsiCo-owned Lay's has partnered with brands like **Cadbury, KFC, Urban Company, Zomato, Spotify** for special co-branded packs with a custom gratitude message thanking the brand and the unsung heroes. The name of the campaign is **"HeartWork".**

Swiggy/Zomato offering discounts on payment of orders with **Amazon Pay or Phone Pe.**

Interesting Read: Cobranding in Marketing

Planogram

The art of Shelf-planning

PLANOGRAM: The art of shelf planning

What is planogramming?

Planogram is arranging products on the shelves in a way that maximizes sales.
The presentation of products in the store is as pivotal as the availability of a product.

Why planogramming is important?

A customer when unable to find the product will leave the shop without making a purchase. Therefore, proper product placement is of utmost importance for a retail shop.

How planogramming is done? (Techniques)

Product Sequencing: The way products are sequenced on a shelf can influence customer's decision making. Researches have proven that shoppers see from left to right most of the time therefore Highlighted products are kept on left.

Joint Family'Anokha Parivaar': Children(products) of parent(brand) stay together. Relatives(SKUs) though don't like each other wish to remain close.

MarketingWeekly.in

PLANOGRAM: The art of shelf planning

Belt-to-Eye level: Eye-level is buying level. High profit items are kept in this region which catches shopper's attention quickly
Toys & candies kept at lower level i.e. (Belt-to-eye level of kids) so that kids can see it & prod to buy
New arrivals always kept at eye-level

Vertical planogram: Related products of different brands placed at different shelf levels Packs are kept according to their size: bigger at higher level to smaller at lower

Horizontal planogram: products are placed horizontally on side by side shelves at same eye level. Customers can know about similar products from different brands.

Shop Layout: IKEA's store is designed like a maze to maximize average customer time in store.

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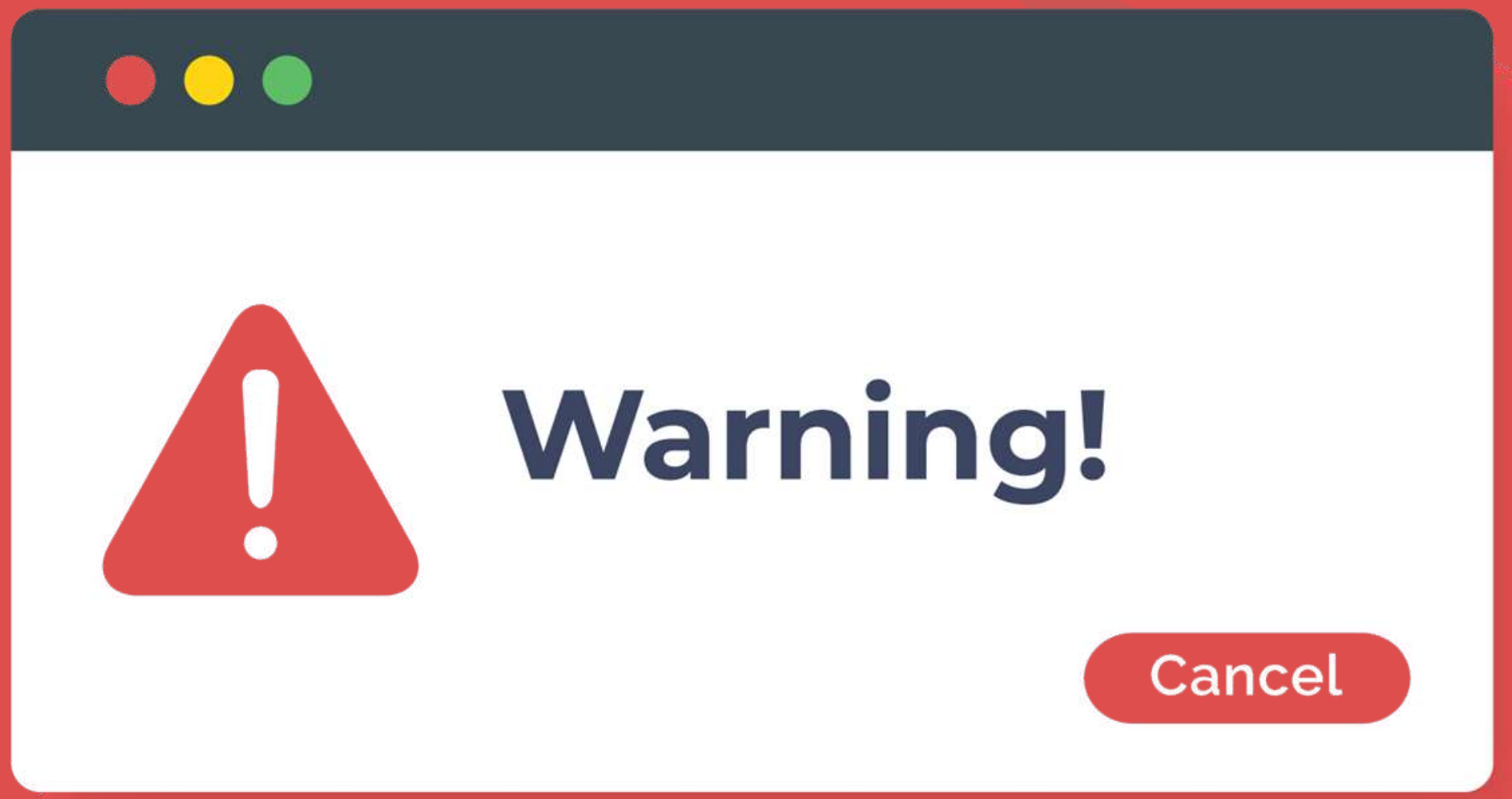
Impulsive buying example

Candies near cash-counter

Interesting Read: Examples of Planogram

Framing Effect

Things brands don’t want you to know!



What is Framing Effect?

Framing effect is a cognitive bias in which the brain makes decisions based on the way of information is presented to it. Marketers make use of this effect to influence the purchase decisions of their audience.

Ever entered a store looking for a sugary snack and ended up buying a chocolate that claimed to have '30% less sugar' ? Congratulations! You have been a prey to the Framing Effect!

Frame 1: Gain

The *Gain frame* highlights all the potential benefits that a customer can get while using a particular product.

Frame 2: Loss

The *Loss frame* such as scarcity or Fear of Missing Out prompts the customers to purchase a brand's products.

Frame 3: Statistics

A *statistical frame* can support your brand's argument in the most convincing manner and builds customer trust.

Frame 4: Emotions

An *emotional frame* is used by the brands to stress upon the importance of how their product can make its customers feel differently.

Interesting Read: The white lie of packaging

Concept of Surrogate Ads

Surrogate Marketing

Brands using Surrogate Marketing

Surrogate Marketing

Why don't we have ads that says "Desh ka No.1 Whiskey" or "Have a break, have a Marlboro"?

It is because they are prohibited to promote their products directly.

The Advertising Standards Council of India (ASCI) has banned the direct liquor and tobacco ad in the media and hoardings.

Thus, came in surrogate advertising- an escape route for these brands to promote their products.

Surrogate means "substitute" and surrogate advertising just do that. Advertisements that duplicate the brand image of one product to promote another product of the same brand.

These companies go out of their way to create innovative strategies to attract as much attention from consumers and communicate effectively to sell a product, service, or idea which they could not do otherwise.

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Surrogate Marketing

How they Promote these products?

Brand Extension: Bagpiper's Communicating Product is Soda, Music CDs, whereas the main product is Whiskey.
These brands also extend their product line to improve brand recall.

For e.g. Recently Budweiser forayed into clothing industry by Budweiser Streetwear Co. to make apparel and face masks in partnership with Myntra.

Proxy commercials: "Men Will Be Men" Ad always evokes the brand recall of Imperial Blue.

Promotion through movies: Products are promoted by Actor e.g. Vodka Martini "Shaken, Not Stirred" in James Bond movies

Social Media: Twitter, Facebook; Instagram- getting max engagements (2019). Philip Morris suspended its social media campaign upon criticism for company's use of young online personalities to sell its new "heated tobacco" IQOS device #IQOSambassador

- **Campaigns**: Whassup bud by Budweiser- which reminds people to check on friends and family during the lockdown period,
  Heineken's "Connectioff" -pitfalls of social distancing during CoViD-19 pandemic

- **Organizing events & Sponsorship**: Teachers Bravery Award, Manikchand Filmfare Awards, #BacardiHouseParty are sponsored to keep the brand etched in their customer's mind.

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Interesting Read: Greenwashing: Selling the Green facade

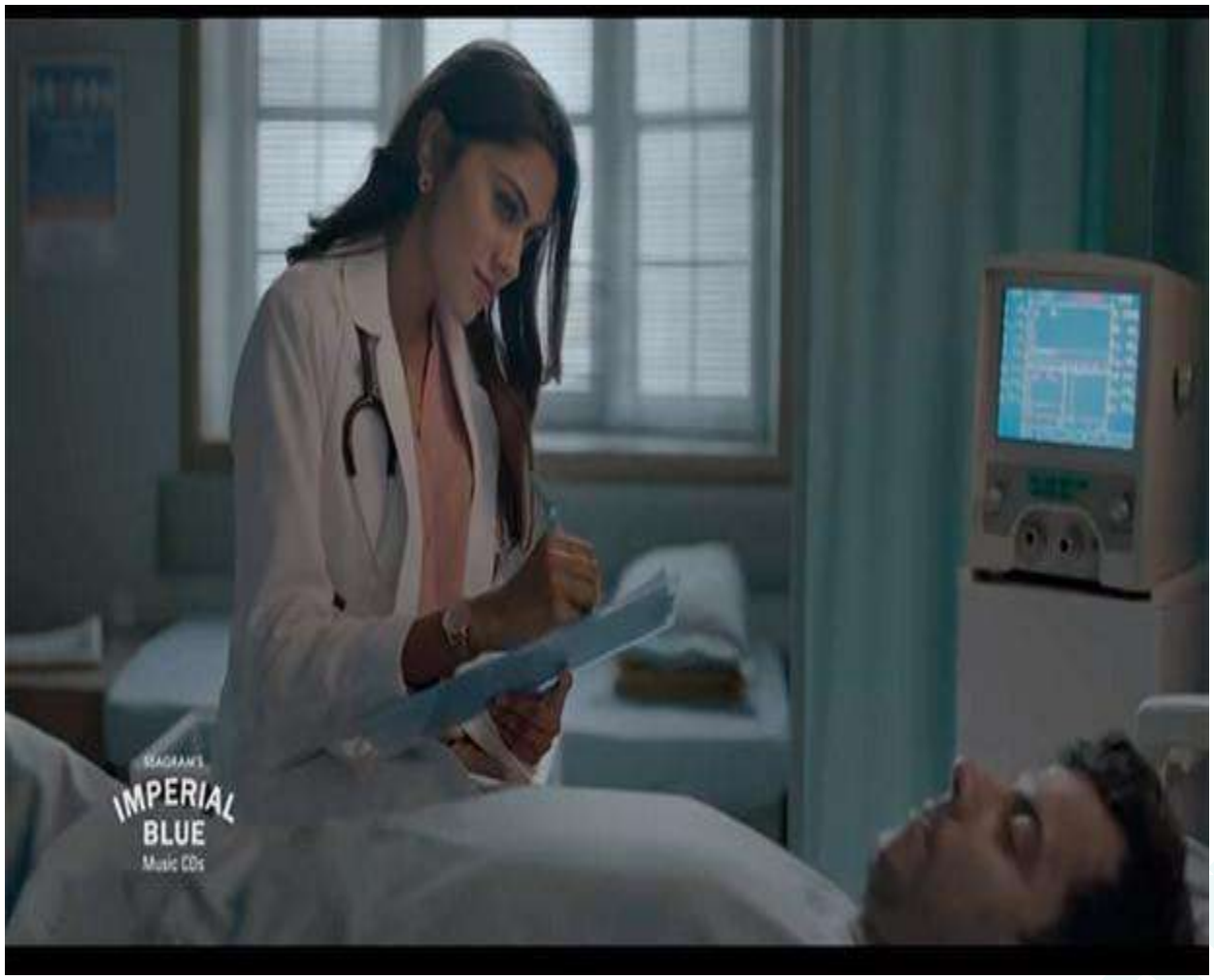
Surrogate Marketing

Brand Extension with examples

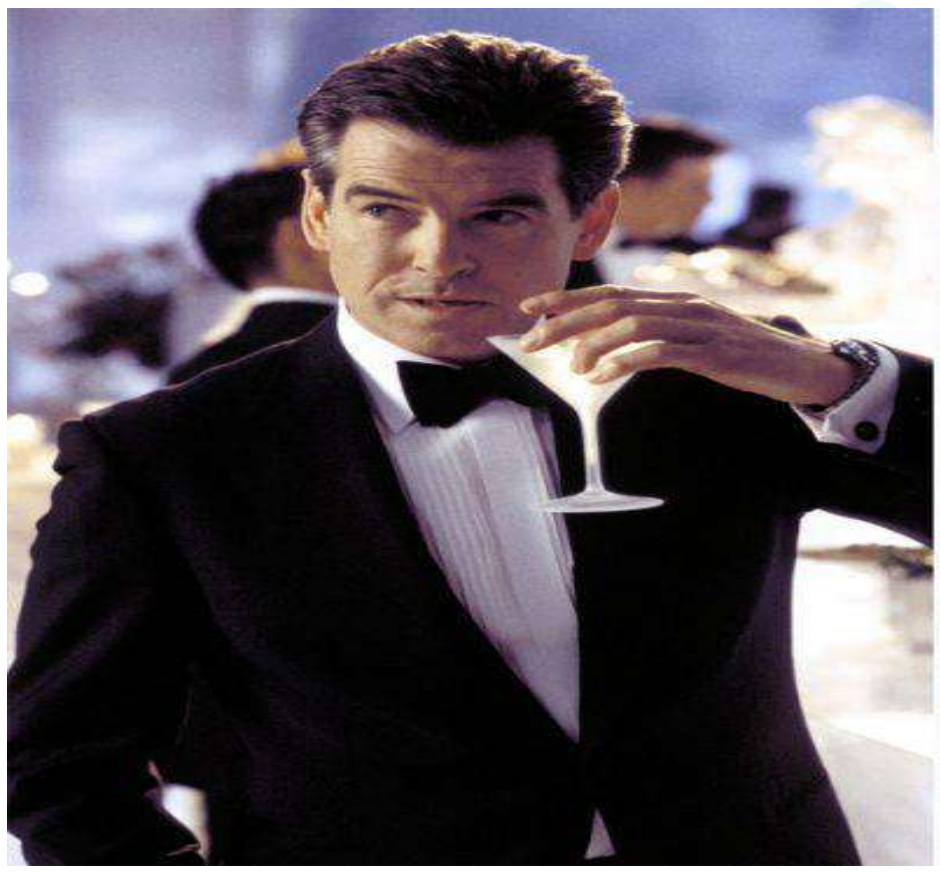
Main Product

Communicating Product

Proxy Commercials



Promotion through movies



Social Media Promotions

The Dalamore

IQOS Device promotion (2019)

Campaign & Sponsorship

Vimal Filmfare Awards

Heineken's "Connectioff"(2020)

Whassup Bud – Budweiser(2020)

Guerrilla Marketing

GUERRILLA MARKETING

Colgate delivering message right into user's tooth

Guerrilla marketing is all about unconventional communications. These tactics need a heightened imagination put into the campaign, lot of investment of time & energy.

This often happens in unexpected places but make a high-impact impression.

But,

Executing a memorable guerrilla marketing campaign isn't as easy as we speak. ~ -

- Interruption

- Surprise etc

And if you don't just get the right mix of creative, shocking & so cool elements together, it has higher chance of backfire.

We'll start with some basics around where it came from and how it works, followed by an examination of how it can be carried out successfully.

Before that,

Roots of Warfare

The term was inspired by guerrilla warfare which is a form of irregular warfare and relates to the small tactic strategies like ambushes, sabotage, raids, and elements of surprise used by armed civilians.

Guerrilla marketing is often best understood when it's observed, hence you understand without much context, the whole idea of guerrilla marketing can be a little confusing, so let’s see it along with some examples.

Types of Guerrilla Marketing

Outdoor Guerrilla Marketing

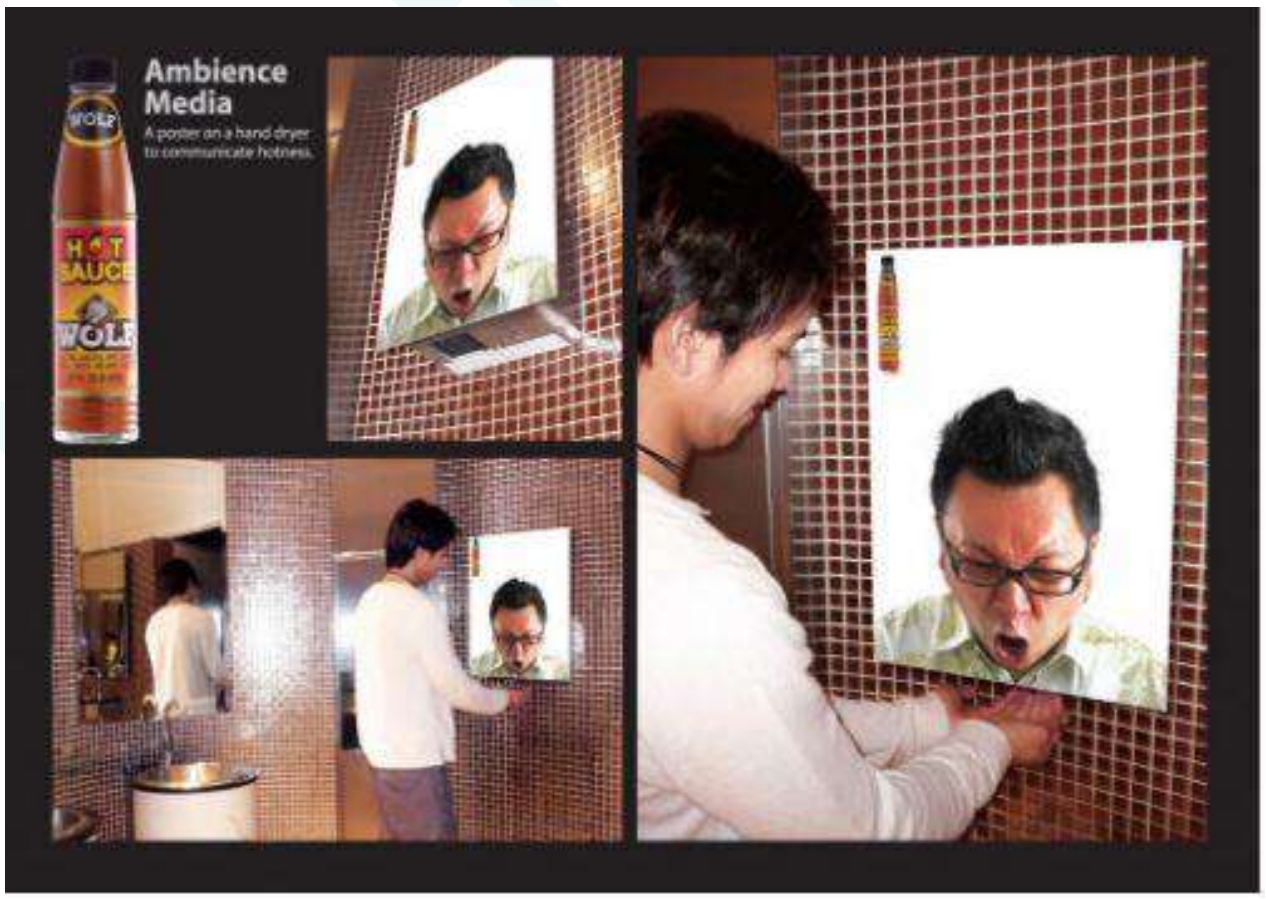
This adds something to pre-existing urban environments, like temporary artwork on sidewalks and streets, etc

Viral marketing is a highly visible form of guerrilla marketing these days. A successful viral campaign basically spreads like wildfire. Like you tell two friends, they each tell two friends, and so on. Hence doesn’t require much in terms of resources, and has the potential to be unstoppable.

Outdoors Guerrilla Marketing

Indoor Guerrilla Marketing:

Similar to outdoor guerrilla marketing, only it takes place in indoor locations like train stations, shops, and university campus buildings.



Experiential Guerrilla Marketing

A mixture of everything said until now, but probably executed in a way that requires the public to interact with the brand.

Budget-Friendly

What marketers can really cherish about implementing guerrilla marketing is its fairly low-cost in nature.

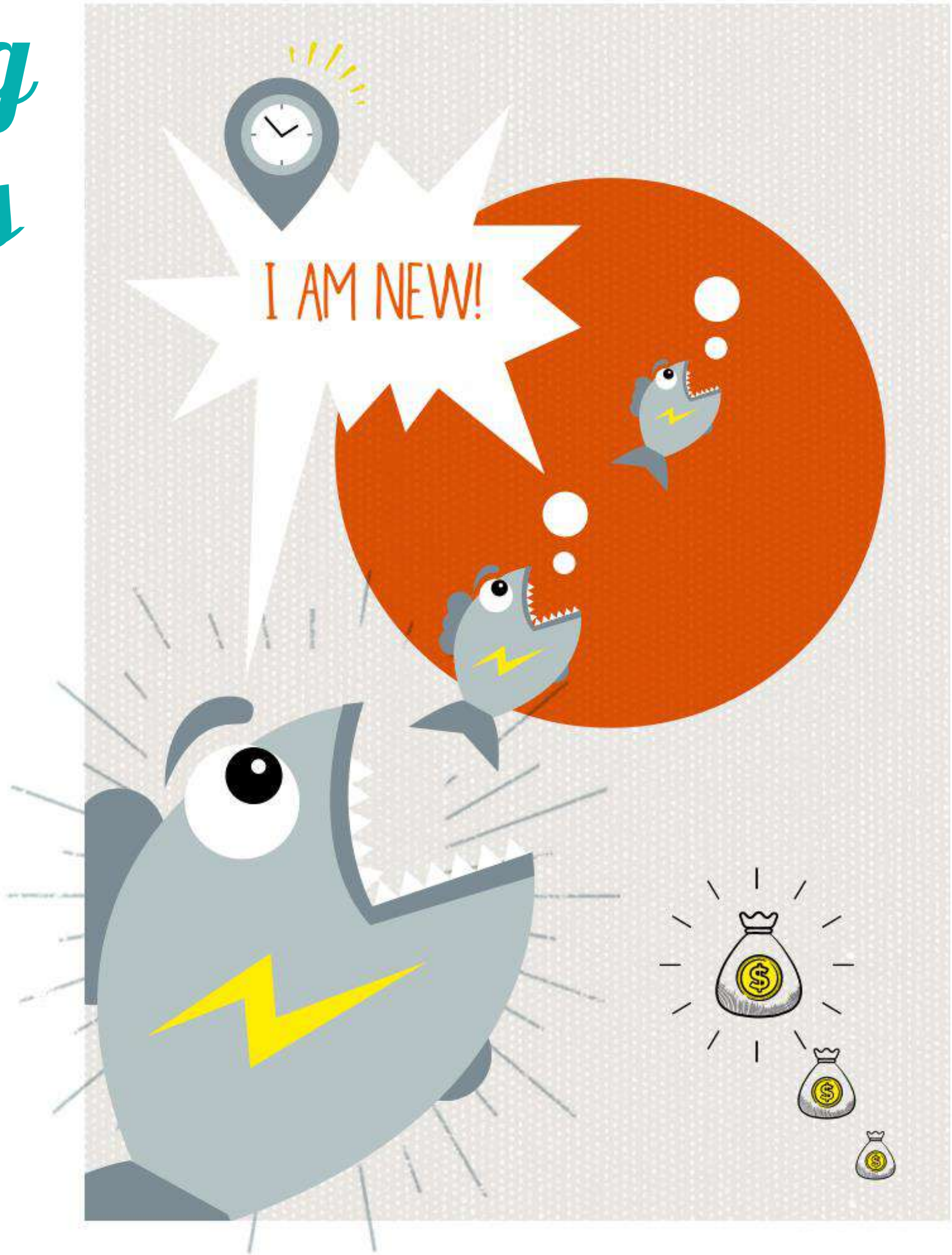
But this is in terms of monetary value.

The real investment here is a creative & intellectual brain that is needed for its implementation.

Few Examples:

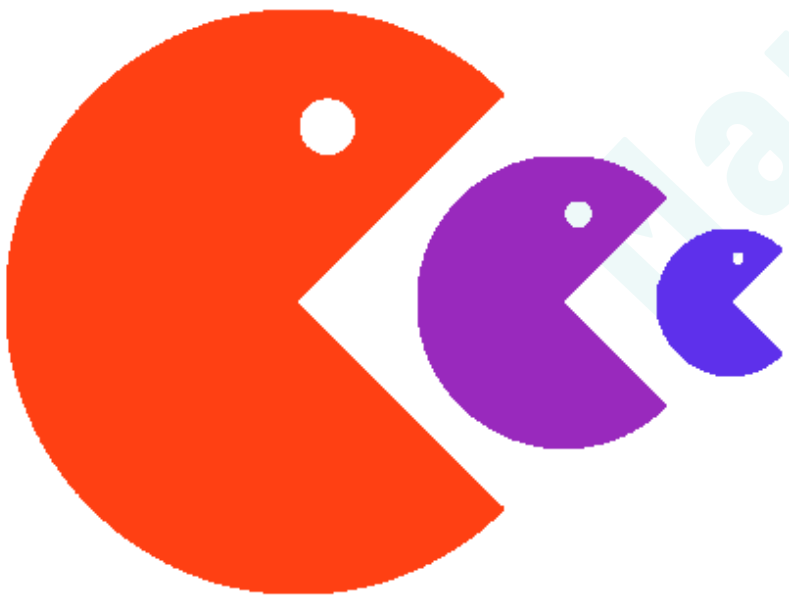
Cannibalization

Among brands



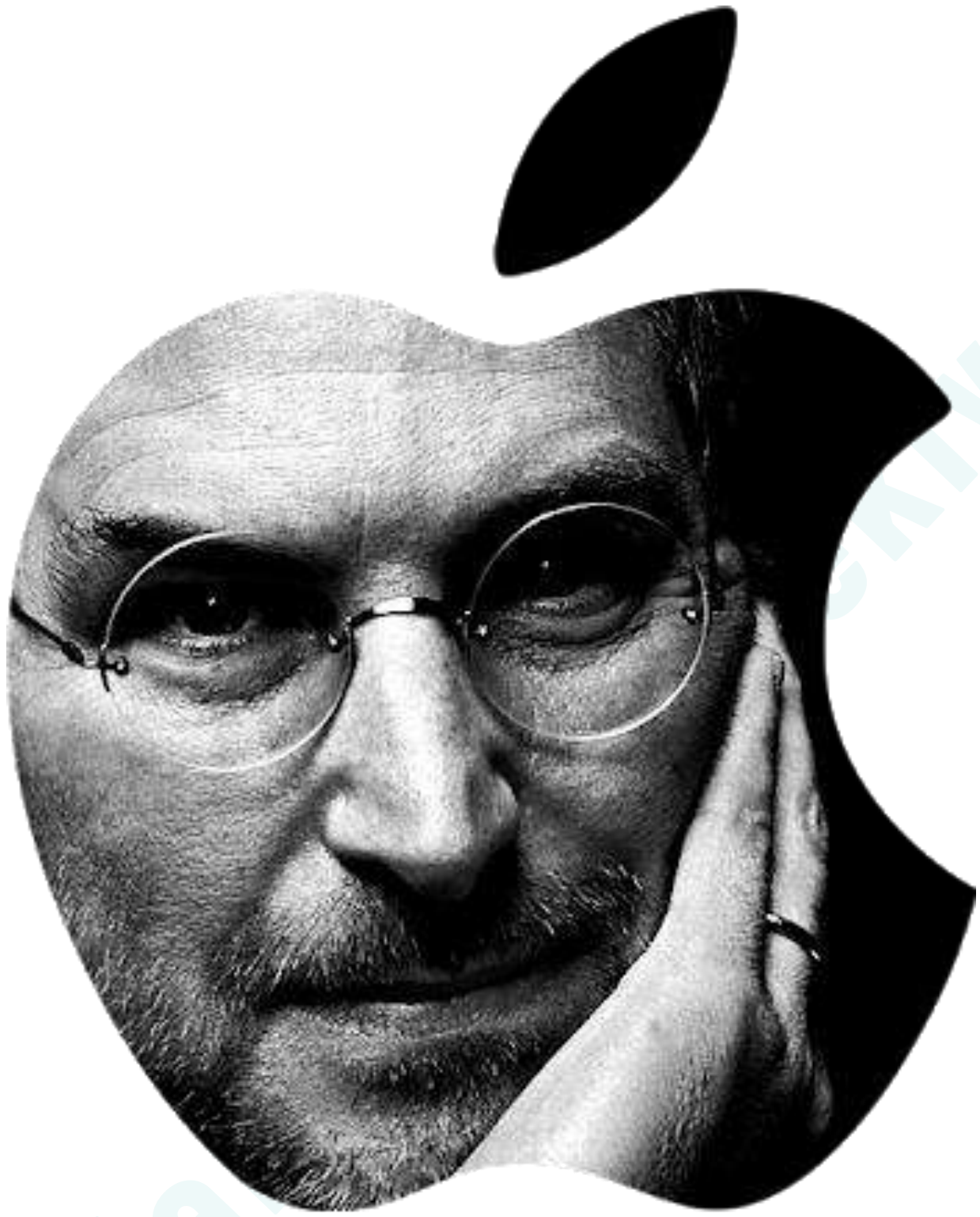
Abhi toh thode time pehle ek iPhone launch hua tha, ab firse ? Chalo, will wait and then buy the latest one !

Since 2007, Apple has launched a new iPhone every year. What happens to the sales of the existing models? They reduce. But why do the companies do this then?



Cannibalization: It is a process of creating different sub-brands of the parent brand so that the parent brand can grow its customer base by targeting large numbers of customers. Most of the time, after launching a new product, the new product “eats” up the sales and demand for an old popular product.

If you don't cannibalize yourself, someone else will



When the tech giant invents a new iPhone, it doesn’t shy away from releasing it into the market. It ensures that their newer version is available in all their chain stores. It causes the sales of their older iPhones to drop significantly. However, Apple makes up for this loss by capturing its competitors’ current customers, hence increasing its customer base.

Digestive introduced a low-fat version of its brand. It knows some of its sales will be cannibalized from the original brand, but it hopes to expand its market share by appealing to health-conscious consumers who otherwise would buy a different brand.

Coca-Cola launched different flavors in the hope of acquiring a bigger market share not caring about the initial cannibalization. Over time, Coca-Cola realized that loyal customers still preferred the original formula, which prompted them to react by revising their strategy to marketing the original formula as the "Classic Coke" and the rest of the flavors as either seasonal or festive beverages

The "Starbucks on every corner" is suffering of cannibalization of sales through overexpansion. It had become difficult for Starbucks to maintain its status as a premium brand because it was "everywhere".

MARKETING OF SERVICE

SERVICE MARKETING

Service marketing is marketing based on relationship and value.

It refers to the application of a special set of tactics or strategies to predict the consumer's need for an intangible product.

And hence, meet their requirements accordingly, to provide maximum value for them from their purchase.

Urban Company's Saloon at Home is a great example of service Marketing

Service Marketing Triangle

It depicts the relationship between three essential elements of a service industry, i.e., company, employees, and consumers

	Tangible	Tangible	
People	**People Processing Services** Example Salon, Bike servicing	**Product Processing /Processing services** Example Packers and Movers services	**Objects/ Products**
People	**Mental Stimulus Processing Services:** Example Educational institutes and Professional training	**Information Processing Services:** Example Information technology like SAP	**Objects/ Products**
	Intangible	**Intangible**	

Examples of Service Marketing

Urban Company Home Salon

Urban Company started with Home Salon booking after the LockDown 3.0 was over and 120000 people were waitlisted for the service

Extensive use of PPEs to safeguard customer's wellbeing & communicate safety

Filling the Gap for male grooming space amidst lockdown

DIGITAL MARKETING

DIGITAL MARKETING 101

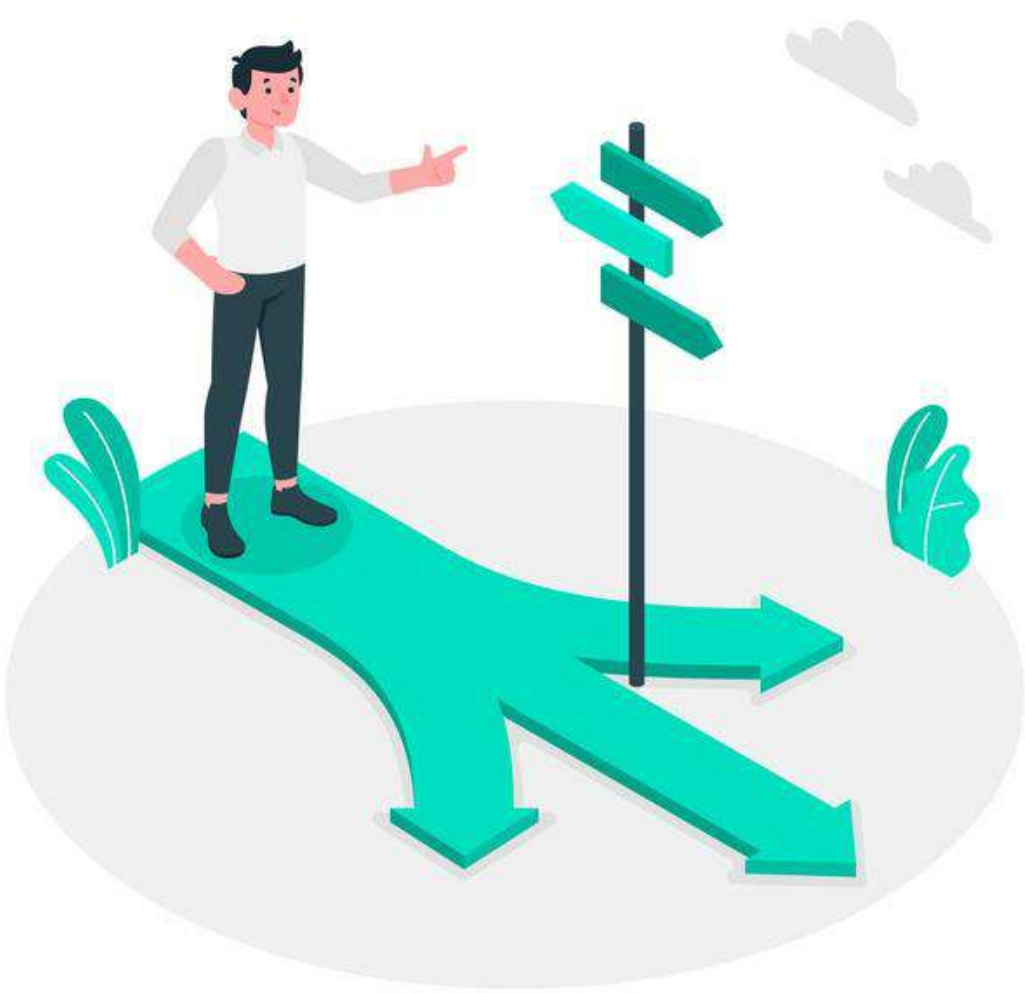
Digital Marketing, in simple terms, is Marketing on Digital channels. In order, to be a good Digital Marketer, you need to be a good Marketer first.

On top of all the basic marketing principles, a Digital Marketer needs to understand when and what Digital Marketing tools to use.

In this section, we will talk about what these digital channels and tools are and how measurement and optimization is the centerpiece of the Digital Marketing Ecosystem.

DIGITAL CHANNELS

The basic principle of Marketing communication is to find where your prospects are and then communicate with them on that platform.



For Instance, Adidas will advertise on a Sports TV channel because that's where it's prospects are. Well, this TV channel is a traditional communication channel.

But we don't just watch TV, we browse the internet as well which becomes a digital channel.

The major digital channels and by extension digital marketing avenues are,

1. Email\SMS\Push Notification Marketing
2. Search Engine Marketing
3. Search Engine Optimization
4. Display Advertisement
5. Social Media Marketing
6. Content Marketing
7. Affiliate Marketing

Don't worry!
Let's untangle each channel nice & slow.

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Email\SMS\Push Notification Marketing

Email\SMS\Push Notification Marketing as the name suggests is sending Email, SMS, or Push notification to your prospects and customers.

These channels are used not only to sell products and services or announce new products but also to build a one on one relationship with the customer. These are the channels where you can directly communicate with the customer.

Types of Campaigns:

A. Batch Email campaigns (Sending one email to a large audience at a time eg. new product announcement or a Newsletter)
B. Personalized Email campaigns (eg. Birthday Mails)
C. Trigger-based campaigns (Automated campaigns that trigger when a user performs a particular set of actions eg. an automated email can be sent to users who visit your products page twice in one day)

Important Metrics: Open Rate, Click Rate, Hard Bounce, Soft Bounce, Delivery rate, Unsubscribe

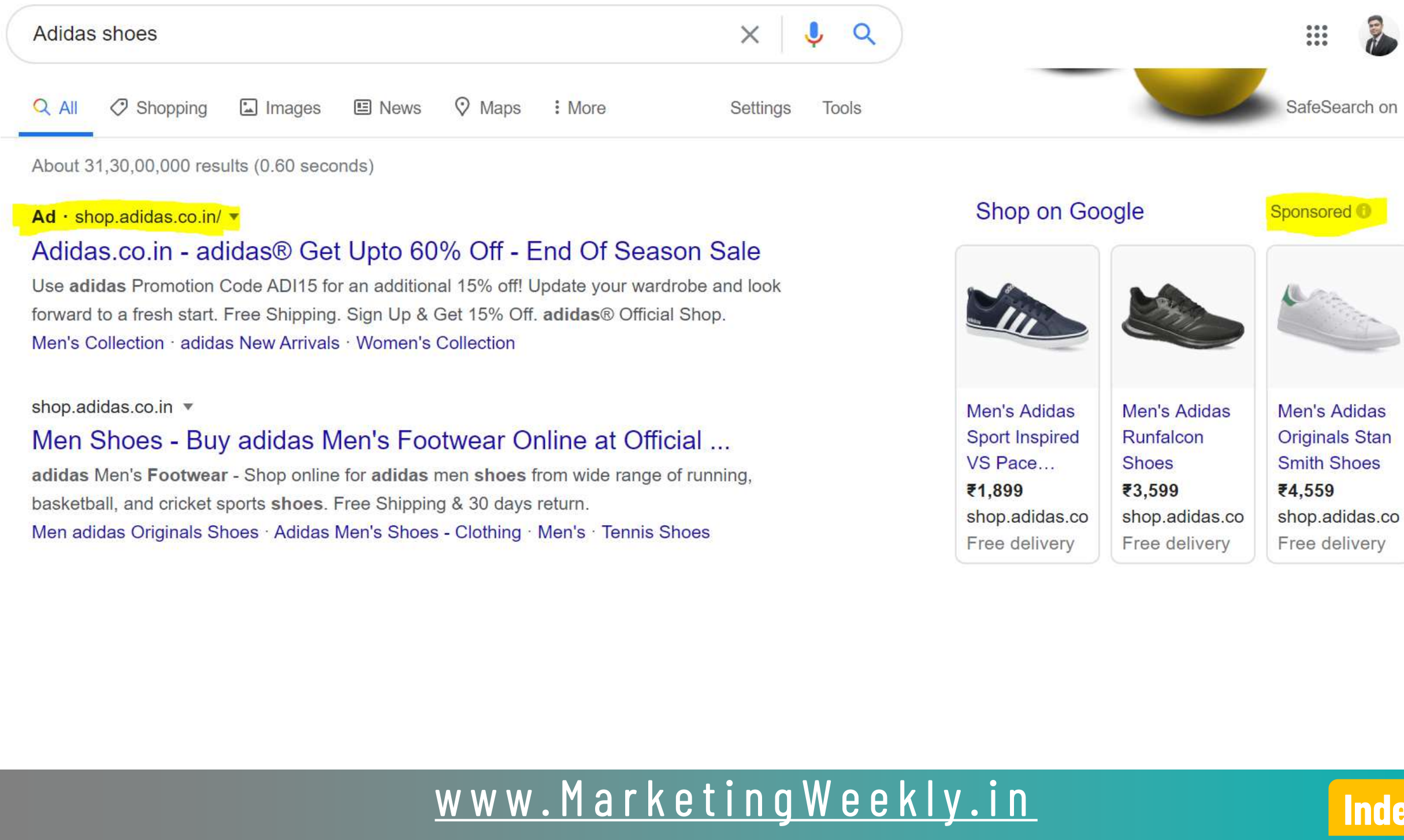
Popular Tools: Hubspot, Marketo, MailerLite, MailChimp

Interesting Read: What to learn from successful email frauds

Search Engine Marketing (SEM)

3.5 billion searches are made on **Google** every day. Chances are, a lot of these people are searching for things related to your products and services.
Search Engine Marketing is Marketing on that Search Engine result page.

As you can see above, The first result on the result page is labeled an Ad.
Also, on the right side, those cards are labeled as 'Sponsored'.
These are in fact advertisements run by Adidas for the keyword "Adidas Shoes".



Types of Campaigns:

1.Text Ads
The first ad that you see above is a text ad. These ads contain a Headline field, description field and ad extensions (Men's collection, Adidas New Arrivals in the example above)

2.Shopping Ads
These ads as you can see in the example above appear as cards with an image and price of the product giving better visibility to users on what the product is.

Important Metrics: Ad Impressions, Ad Impressions share, Reach, Click Through Rate, Cost per click

Popular Tools: Google Ads, Bing Ads

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Search Engine Optimization (SEO)

93% of all online experiences begin with a Search engine and 75% of the users never reach the second page of search engines. This makes it essential for brands to feature on the first search engine result (SERP) page for their keywords.

SEO is a science and art of getting your website to this first page. SEO is also one of the most dynamic areas of Digital Marketing as SERP is governed by Search engine algorithms that keep changing.

The general idea to follow is that search engines want users to find exactly what they are looking for when they search for something.

That means, as an SEO expert, you need to make sure you are ranking for the right keywords and your website and landing page experience is flawless.

SEO is largely divided into two parts;

1. On-site SEO
2. Off-site SEO

On-Site SEO is optimizing elements on your website. These elements are User Interface and User experience on your site, page loading of your website, mobile-friendliness, Sitemap, Keyword planting on your Headings, content, etc,

Off-Site SEO is governing how the rest of the internet is talking about you (if at all). If links to your website (also called backlinks) are found on numerous other websites (i.e. other people are referring to your content), Search engine see this as sign of authority. If many related websites are linking to you, you become the centerpiece of that particular field

But, SEO is not limited to getting on the first page. Once you get there, you need to maintain the space as hundreds of other websites are continuously trying to take your place.

If your website appears first in the SERP and yet most users ignore you and click on the second or the third result (i.e. your Click-Through rate(CTR) is bad), Search engines will realize that when users enter this particular "search query", they are not looking to get to you. This will result in the degradation of your position on the SERP.

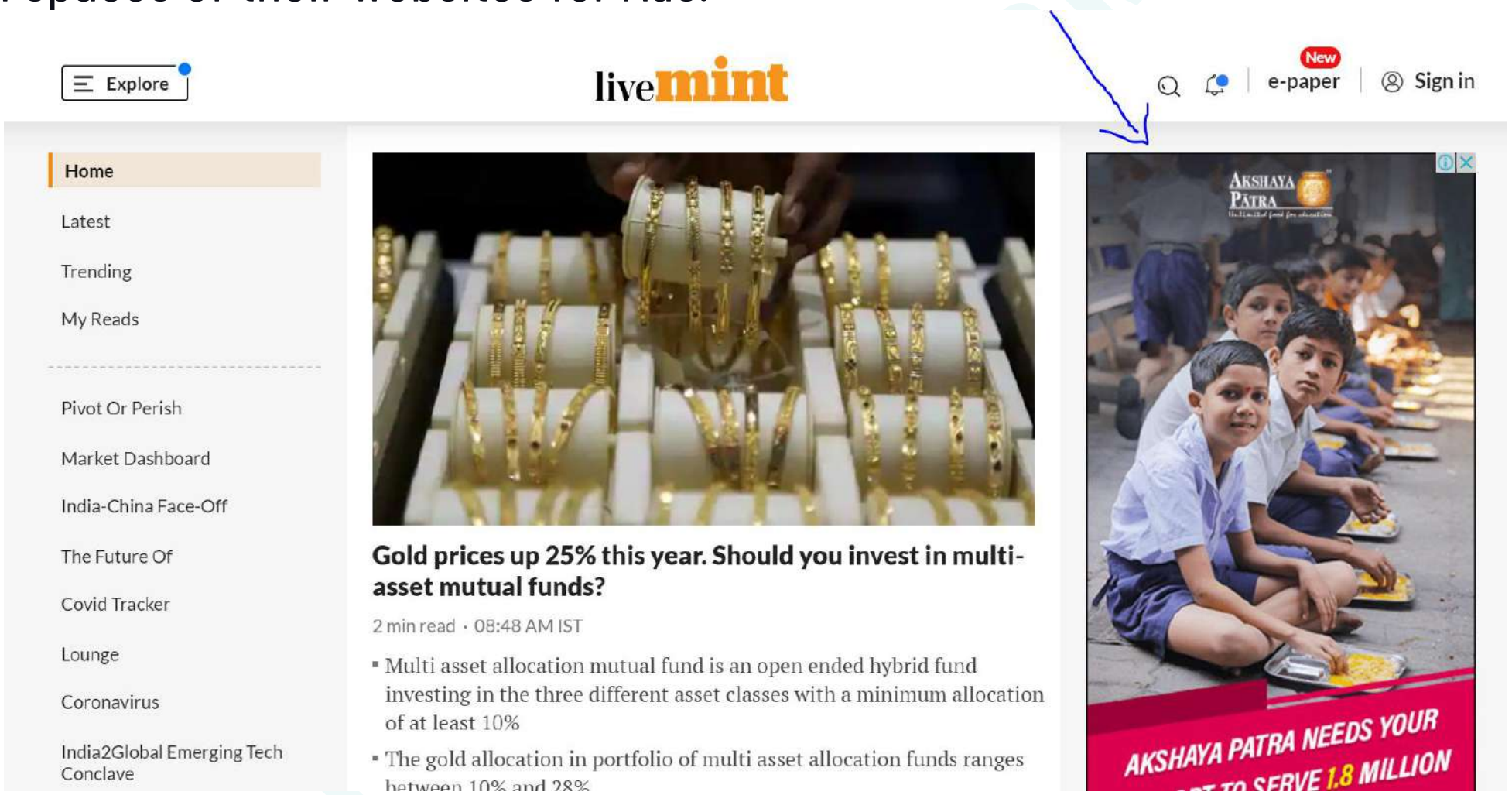
Important Metrics: Organic Traffic, Page Rank, Bounce Rate, Page load speed, Exit Pages, Keywords ranked for, Indexed pages, crawl errors

Popular Tools: Ahrefs, Moz, SEMrush, Google search console

Display Advertisement

Display advertisements are text, image, or video ads you see on various websites. This is similar to an ad in newspapers. Newspapers publish content you want to read and they earn from the Ad revenue.

Similarly, Websites also publish content and earn from the Ad revenue by allocating certain spaces of their websites for Ads.



Important Metrics: Impressions, Reach, Cost per Impressions/click (CPM or CPC), Engagement rate, Click Through Rate, Ad visibility

Popular Tools: Google Ads, AdRoll

Social Media Marketing

50% of the world's population is on Social media and Millennials on average spend about 158 minutes on Social media.

Social media marketing is creating content and advertisements on Social Media Platforms. Social Media platforms go beyond your basic Targeting options like Demography and Geography. They leverage the data, knowingly or unknowingly provided by you to create distinct behavior and event-based targeting options like “People who are likely to click on an ad for a Book” to “People who just got married or had a baby”.

These advanced targeting options in the hands of good Marketer results in massive optimization of Marketing budgets.

Types of Ads: Link click, Video, Post boost, Multiproduct (carousel) ads, Dynamic product ads, etc

Important Metrics: Engagement Rate, Impressions, Cost per lead, Reach, etc

Popular Tools: Facebook Ads, LinkedIn Ads, Twitter Ads, Buffer, Hootsuite

Content Marketing

Content Marketing is an **indirect form** of marketing your products and services.
Marketers create and **publish blogs, videos, podcasts, and social media posts.**

Content marketing serves two major purposes.
First, it leverages owned media to inform prospects about your products and services.
Second, it improves the overall SEO health of your web properties thereby increasing traffic and helps you achieve your Website goals.

50:30:20 is a general rule followed in the industry for Content Marketing.
This rule states that 50% of your content should be only for the users (i.e. not at all promotion).

These could be helpful information and guides. 30% content should be soft sell (this could be explaining your product features) and 20% content should be a hard sell with a clear call to action (CTA).

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Affiliate Marketing

Affiliate Marketing is when a brand leverages **Content creators' audiences** to sell their products.

These Content creators (eg. **YouTuber or a Blogger**) get a commission when someone buys a product or a service using their referral.

Affiliate Marketing works on a fixed margin basis and in many ways is a no-loss strategy for Marketers (as you only incur a cost when a customer is acquired).

The challenge, however, is to maintain the brand safety.
Content creators who work as your affiliates are independent creators. What they say on these public platforms is not in your control. If these Content creators make an inappropriate statement (or a video/blog), it may have ripple effects on your brand

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Interesting Read: How Marketing Automation works

Key Principles of Digital Marketing

Now that you are versed in Digital channels, let's talk about some key principles of Digital Marketing.

1. Setting up SMART Marketing Goals

It is important to set up Goals for your Digital Marketing efforts as a whole and also at the individual platform and campaign level.

S: Specific
M: Measurable
A: Attainable
R: Relevant
T: Time-bound

An example of SMART goal for a Content creator would be,

Increase daily Website traffic by 20% within the next 30 days.

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2. Nail down the Targeting

Digital Marketing provides a varied range of Targeting options like Device targeting, Geofencing, Interest, Digital Behaviour, Language, Life events, etc.

Targeting impacts both your marketing budget and your conversion rates. Too broad and your Conversion rate decreases and spending increases. Too narrow and you miss out potential customers.

3. A/B Testing

Digital marketing takes a lot of guesswork out of Marketing.

If there isn't enough data on what type of Communication strategy will work on what type of customer, you can run an A/B test on 10% of the audience and make data-driven decisions.

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4. Measure and Optimize

As soon as you push a Digital campaign live, you start seeing its performance data. This is helpful in two different ways. First, it helps you optimize all your future campaigns. Second, it guides you on how to tweak the live campaign to get better results.
For instance, if you're running a campaign ahead of valentine's day for Women's bags and you've targeted both men and women and you see that Conversion rate amongst men is way lower than women, you can choose to target only women. That way your budget is optimized and overall conversion rate increases.

5. Personalization

Many people prefer going to their local grocery store as they get personal treatment in that shop. The shopkeeper knows them and knows what they want.
Personalization principles extend in the digital world as well.
This could be Demography, Geography, behavior-based personalization or can also be even granular, User-based personalization.
A snapshot of an Amazon Home page. It shows products based on our browsing behavior.

Market Planning
Analytics
CLOSED LOOP MARKETING CYCLE
Execution
Feedback

CLOSED-LOOP MARKETING

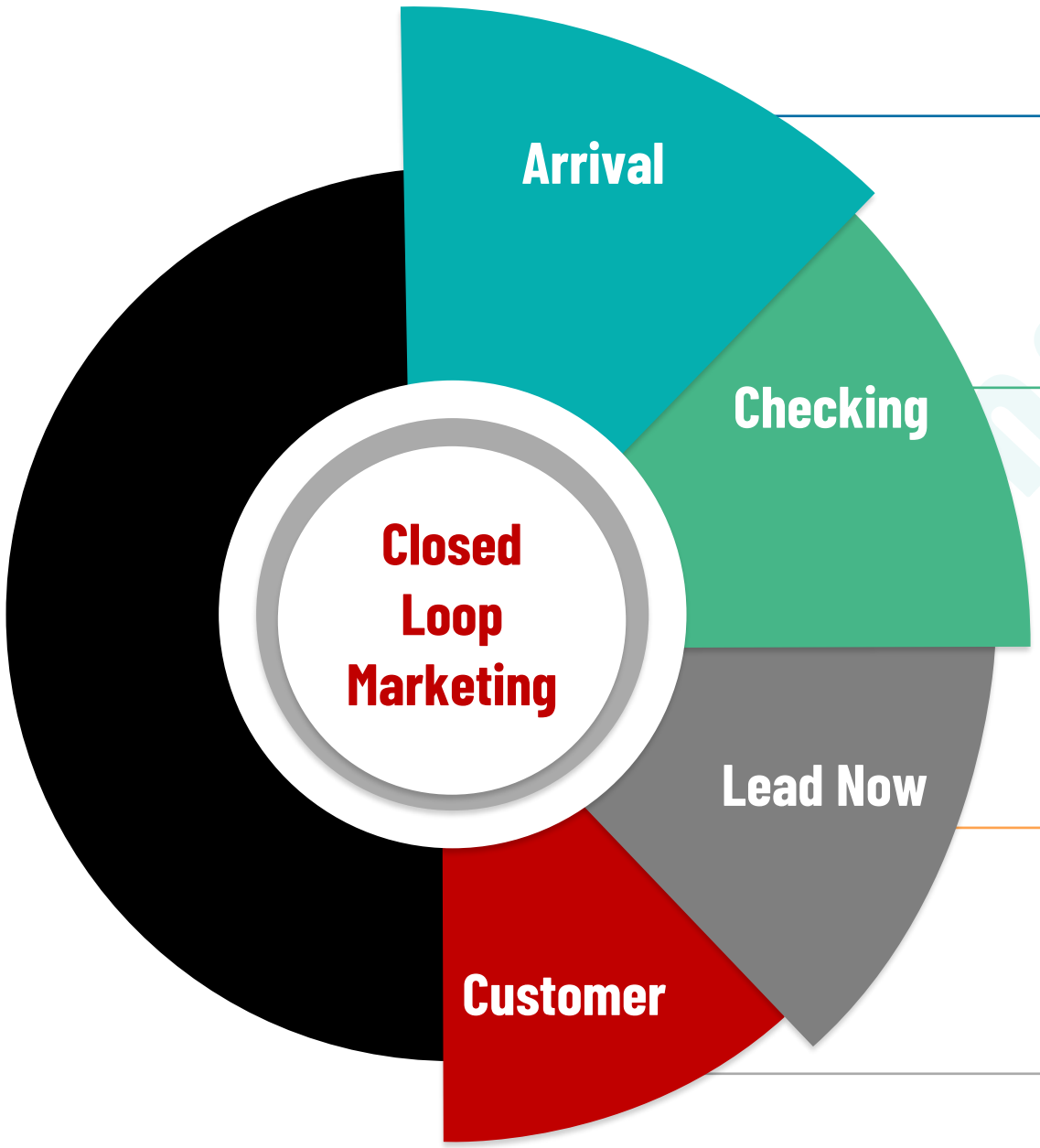
An effective technique of collecting and analyzing customer data from multiple channels.

Tracks a customer's entire lifecycle, thus closing the loop between sales, marketing and customer service efforts.

For instance, a potential customer visits a website that installs a cookie.

The cookie registers the actions that the customer performs.

Now the behavior of the user can be tracked to send them tailor-made offers.



Visitor arrives on your website & a Cookie is set

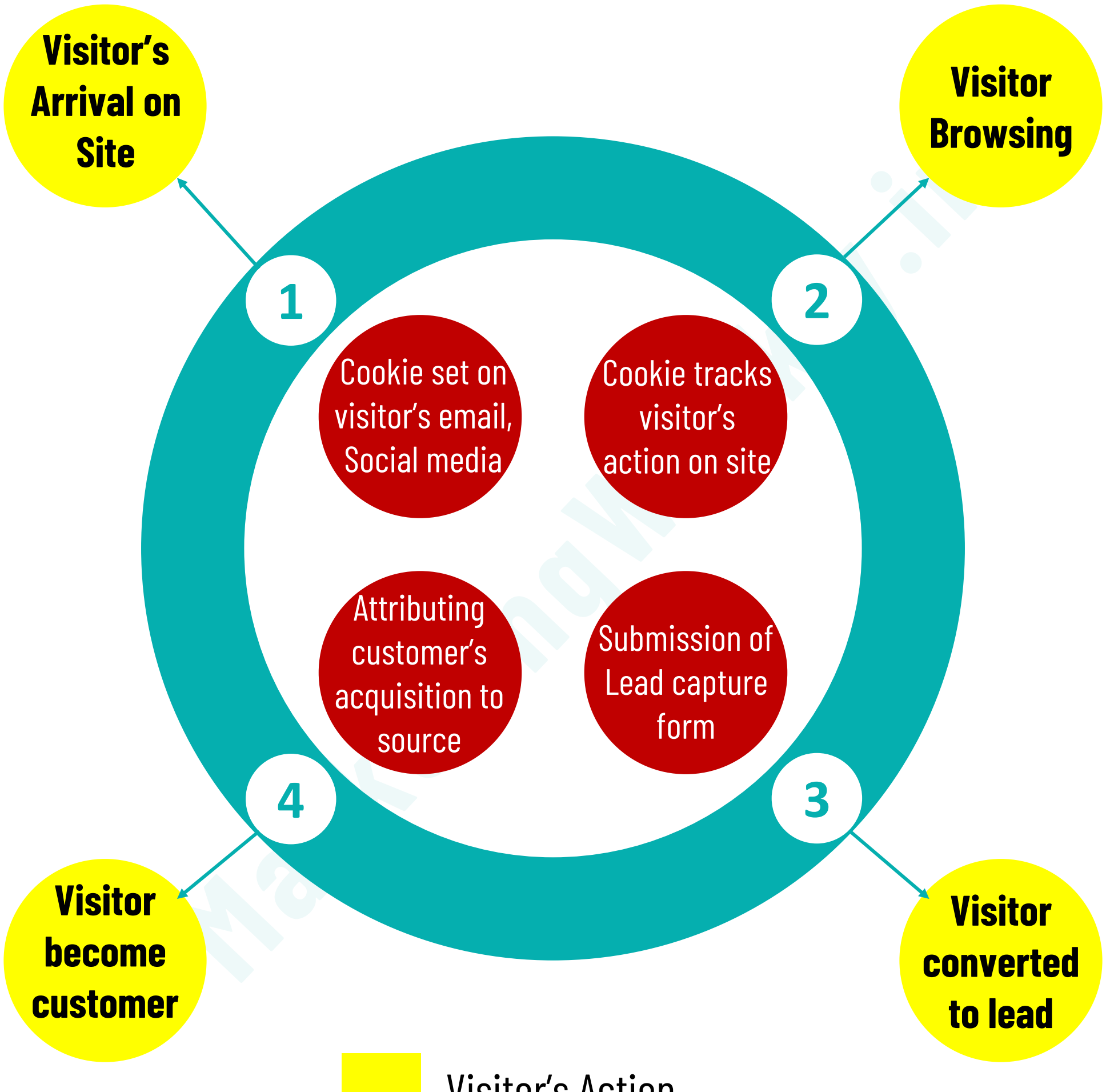
Visitor browses your website & Cookie Tracks the Visitor's actions

Visitor converts into a Lead

Lead becomes a Customer

To sum up, you drop a cookie on a visitor, follow them around on their journey, and get a pretty picture of the process of becoming a customer.

Visualizing Closed-Loop Marketing:

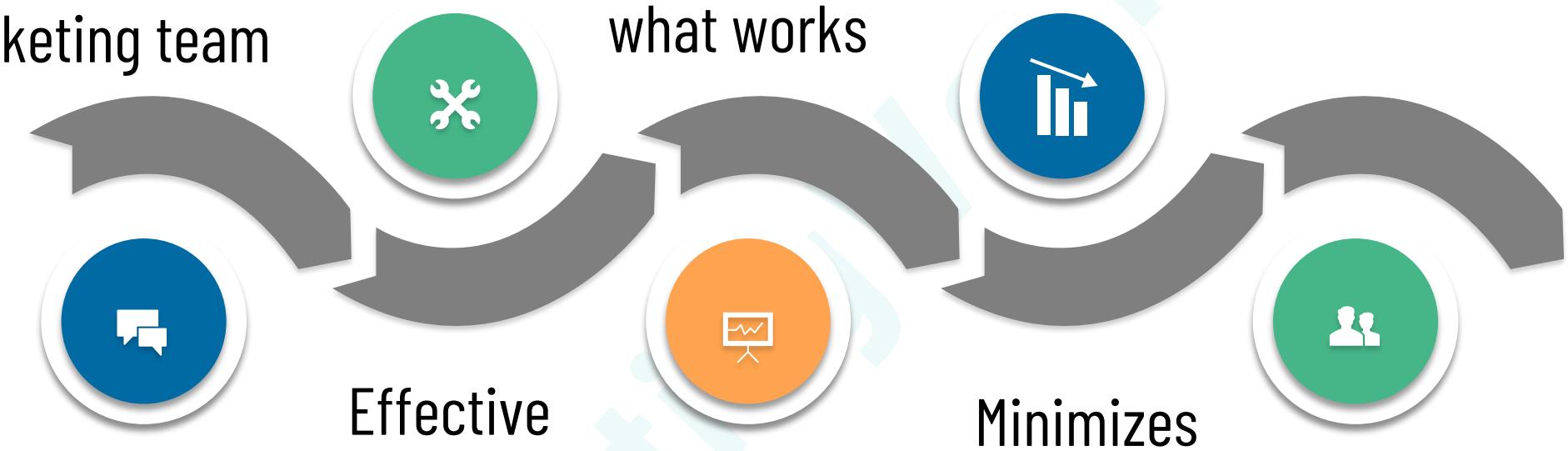


Why to do closed-loop marketing?

Effective connection between sales and marketing team

Focus marketing budget on what works

Learn more about target audience.



Effective lead management

Minimizes the cost

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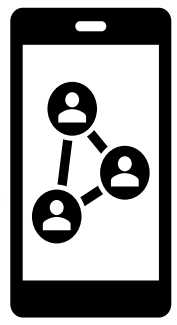
E-commerce

BUY
ONLINE SHOPPING
CARD RECEIPT
ORANGE JUICE
FISH
WHITE POTATO
TOMATO
APPLES
TOTAL
THANK YOU!
0000 0000 0000 0000
YOUR NAME

What is E-commerce?

E-commerce, also known as electronic commerce or internet commerce, refers to the buying and selling of goods or services using the internet, and the transfer of money and data to execute these transactions.



E-commerce has now become so ubiquitous that one can say that almost everyone on the planet with an internet connection has derived some benefit from an e-commerce service. Amazon, Flipkart, Swiggy and Zomato are household names now.

E-commerce sales are poised to reach $10 trillion globally. Nasdaq has predicted that by 2040, as much as 95% of shopping will be facilitated by E-commerce. We got a glimpse of this during the lockdown, when e-commerce helped the population buy essential things when traditional market shut down. Given this explosive growth and approaching dominance of the electronic mode of commerce, it becomes essential for businesses to leverage the offerings at hand and drive growth.

Interesting Read: Helping Brick and Mortar store set up online shop

E-commerce vs E-Business

To leverage E-commerce, we must first understand it. E-commerce is different from E-business. While E-business refers to all the aspects of operating a business online, while e-commerce refers to the transaction of goods and service. The first thought for any business wanting to embrace the digital must be whether to become an e-business or leverage e-commerce to grow.

Once that decision is made, we must look at all the e-commerce offerings available. It is a common misconception to think of e-commerce as nothing but what Amazon and Flipkart does.

But there is a multiple offerings of offerings apart from these online marketplaces. Zomato, UrbanCompany, 1MG, Razorpay, Shopify, OLX, Policy Bazaar, MakeMyTrip and MyJio are all e-commerce offerings.

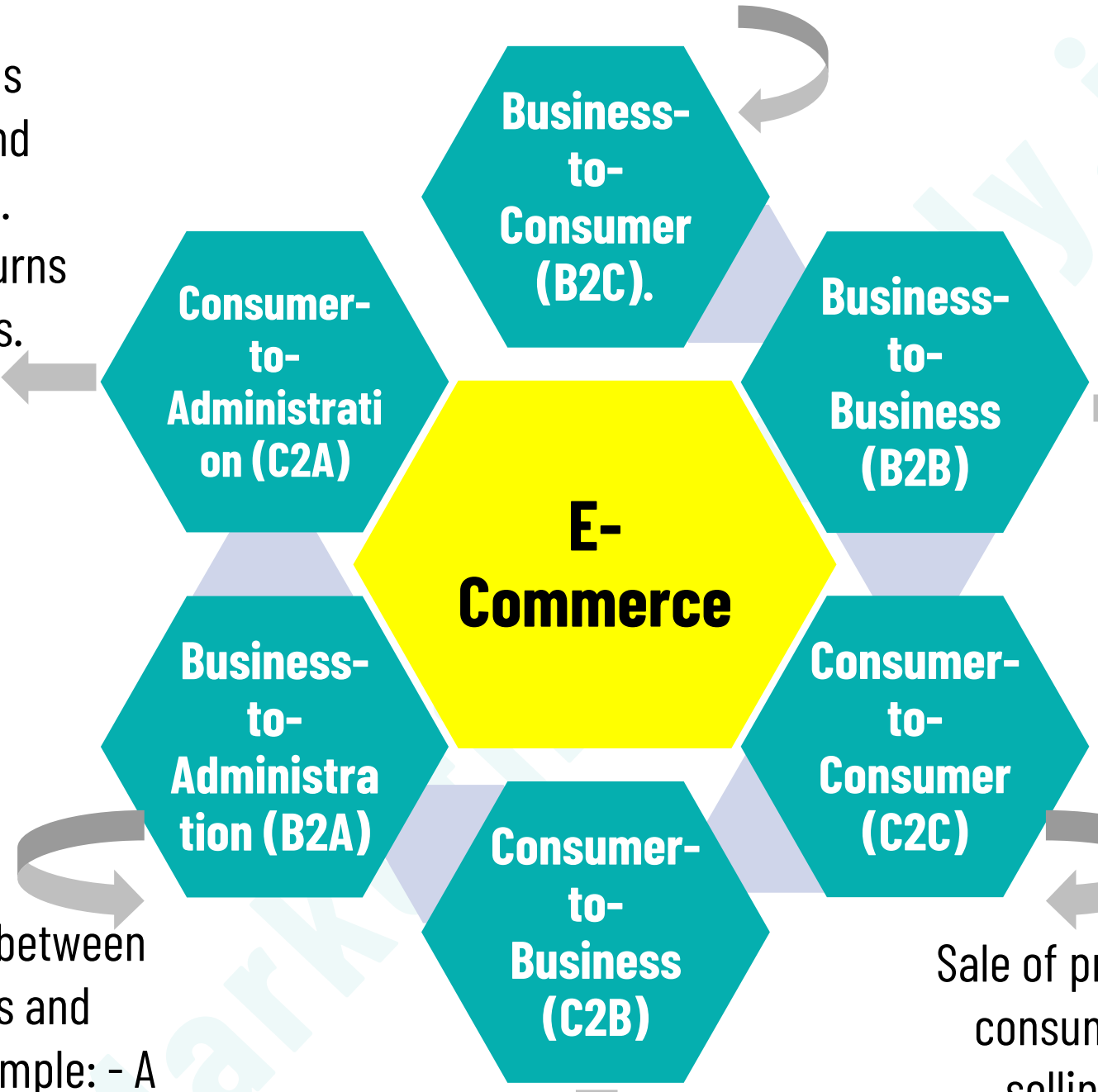
Whenever we are transacting digitally, we are utilizing e-commerce, and this digital transaction makes a host of functions and customer bases available to businesses.

MODELS OF E-COMMERCE

Transactions that happen between a business and a consumer. Example: - Buying shoes for personal use from a retailer on Amazon.

C2A encompasses all electronic transactions between individuals and public administration. Example: - Filing tax returns on Government portals.

Sales made between two businesses, such as a manufacturer and a wholesaler. Example: - A shopkeeper buying his inventory of smartphones in bulk from Udaan



Transactions made between online businesses and administrations. Example: - A government Institution buying a software solution from Accela.

Sale of products or services between consumers. Example: - Buying or selling used products on OLX.

A reversal of the traditional B2C model, here businesses buy goods and services from individual consumers. Example: - iStockPhoto, where photographers make their work available for sale.

E-COMMERCE TIMELINE

1969- The first major ecommerce company, CompuServe, is founded.

1979-Michael Aldrich invents electronic shopping.

1982-Boston Computer Exchange launches as one of the first ecommerce platforms.

1992-Book Stacks Unlimited launches as one of the first online marketplaces for books.

1994-Netscape launches Netscape Navigator, an early web browser, making it easier for users to browse online.

1995- Amazon and eBay launch.

1998- PayPal launches as an online payment system.

1999- Alibaba.com launches.

2000- Google launches AdWords as an online search advertising tool.

2005- Amazon launches Amazon Prime with expedited, flat-fee shipping for members.

2005- Esty, an online marketplace for handmade and vintage goods launches.

2009- BigCommerce launches as an online storefront platform.

2009- Square, Inc. is founded.

2011-Google Wallet launches as an online payment system.

2011-Facebook launches sponsored stories as a form of early advertising.

2011-Stripe launches.

2014-Apple Pay launches as a form of mobile payment.

2017 - Instagram shoppable posts are introduced.

2020- Coronavirus Pandemic made e-commerce indispensable

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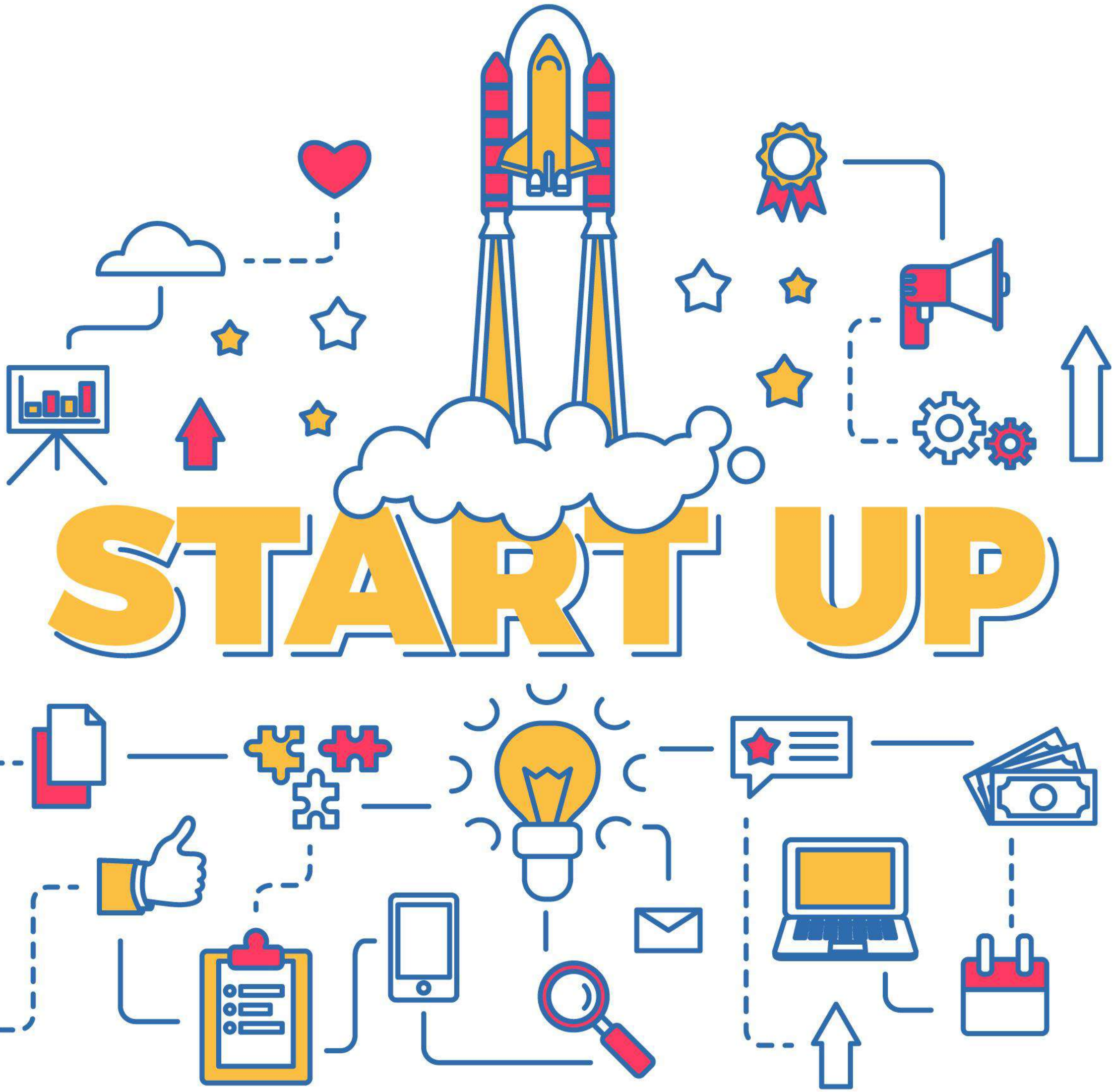

START UP

What is a startup?

A startup is a business idea converted into a prototype on generally a small scale by one or more entrepreneurs in order to provide an innovative product, service, or a better solution to an existing problem.

These business entities are generally motivated by the problems of the end-users or in order to ease a task for the customers.

Funding for such startups can be gathered from personal investments, or angel investors, seed capital, etc. As it is taking its baby steps, it is in constant requirement of funding, new marketing campaigns, and strategies in order to increase its brand identity.

One of the biggest challenges faced by startups is making the services and/or products offered the familiar in the market place and build trust among customers.

Usually, people perceive startups to be a risky investment as they have a higher probability of failure as compared to a grown business unit. But this is not true from the perspective of an angel investor and these are the people who stand with such young entrepreneurs to promote their startups.

It is also evident that the founders in the startup ecosystem generally tend to do a lot of stuff themselves in order to reduce the human resource expenditure.

The people engaged in a startup have to cater to different areas like ideation, product development, business value proposition, marketing business strategies, campaign management, social media marketing, analytics for the response on the campaigns, and other interactive mediums so as to connect with potential investors or customers.

Generally, the core team involved in a startup are closely related or connected to each other either through the place of study, stay, or work.

Interesting Read: The Story of TikTok

HOW TO
START A START-UP

live in the future,
ahead of your time

what is missing
in the world?

write it down
and bounce
ideas around

make a
prototype

show the prototype
to 100 people

launch - let
everyone know you
have made something

look for **funding**
and build version
one at the same time

register your C-corp,
split **equity**

find a **co-founder**

iterate on the prototype
until it makes sense

follow up with
users. Are they
coming back?

yes, they are
coming back

1,000

get to 1,000 **users**

grow 5% a week
(hard, but proven
possible)

2018

keep growing
for another 4 years,
and at that rate you
will reach
25 million users

SUCCESS

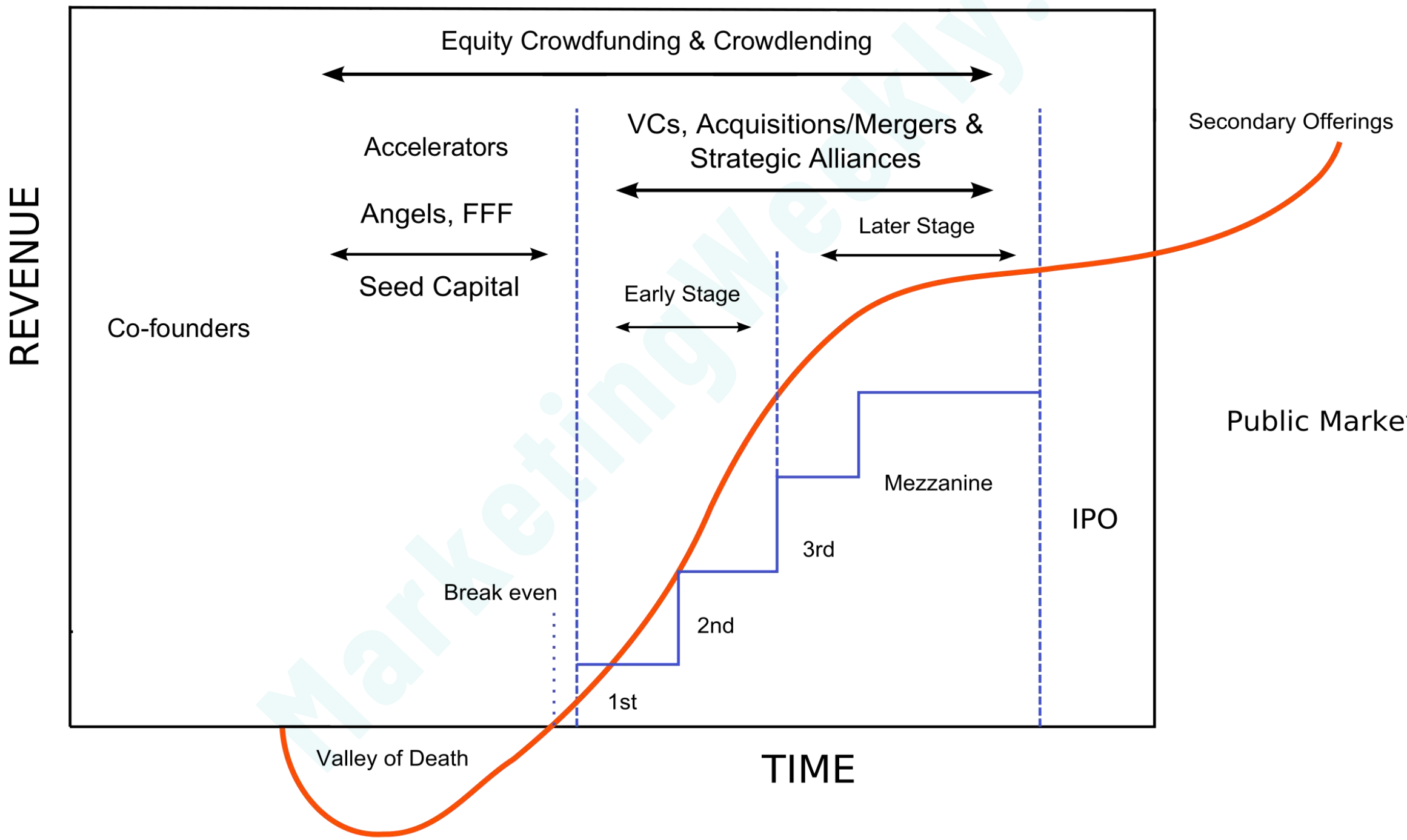
no, they came
and left

launch again (after iterating)
launch until users
stay (AirBnB launched 3 times)

Funders and Founders

Source: https://notes.fundersandfounders.com/

Startup Financing Cycle



Source: Venture Capitalist

www.MarketingWeekly.in

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Examples of Startups:

- Founded by Gaurav Munjal, Hemesh Singh and Roman Saini in **2015.**

- A very engaging and impactful educational platform, that has democratized the learning, unites students aspiring to clear the competitive exams, with the top-notch educators.

- It has helped many exam aspirants from **Tier II** and **Tier III cities** making it the most inclusive learning platform ever.

- It has seen a massive growth recently, now looks to on-board maximum subscribers and increase its category portfolio. It has come up with inspirational sessions of #LegendsOnUnacademy which has witnessed bright minds from different industries worldwide.

- **It has recently raised $110Mn in its series E investment and is now valued at $510Mn.**

- The future of digital learning and virtual imparting of knowledge is here and Unacademy is already high up the ladder marking a position for itself in the future.

- Founded in 2017 by Amit Gupta, RK Misra, Naveen Dachuri & Hemant Kumar.

- A convenient and environment friendly bike ride amidst the bustling city environment, has been very helpful for the people in Tech Hubs.

- It employs AI and IOT technology to create a vast network of dockless bikes available to people.

- With a strategic partnership with Bajaj Auto, it aspires to reduce the air pollution and the traffic congestion in the cities by rolling out maximum bikes on rents in major cities of the country.

- The journey of the company began with Bangalore, the IT Hub of the country and now is in plans to move its services across to Mumbai and Delhi.

cure.fit

- What started as a brainchild of **Mukesh Bhansal** and **Ankit Nagotri** in 2016, to provide over all health care ecosystem on an app, stands true to its vision today.

- The idea incubated out of a small office in Bangalore has now reached the door steps of millions across the country in various cities through its virtual workout sessions on its app.

- It operates both offline and online with four verticals , **CultFit** (Fitness centers); **MindFit** (Mental Wellness); **CareFit** (Health care Clinics) ; **EatFit** (Healthy customized Food Restaurant and delivery services).

- The Startup raised a hefty sum of investment even before its app was launched. It has been endorsed by celebrities from various segments of popularity.

- The company has made sure that they are synonymous with the word “Healthy” in the country. The journey is very inspiring for the fact that it has created for itself a space that would have never been realized by the users otherwise.

- **The current valuation of the company stands at Rs 5,490 crore ($732 million), after its last round of Investments.**

SPACEX

Space Exploration Technologies

- The company as a concept kept moving its pace because of the mastermind behind its success, Elon Musk. His vision for future and his very hardworking nature paved a strong path in this journey.

- SpaceX marketed Dragon 2 positioned its landmark as the most revolutionary Human insights into Space studies, when it recently launched two astronauts into space. That day, very significantly embarks the journey towards future.

- This started as an offshoot to the idea of Musk to launch an experimental greenhouse miniatures with hydrogel packed seeds to test the growth of plants on Martian Soil, otherwise known as “Mars Oasis”. It struck to Musk that without a groundbreaking invention in the rocket manufacturing engineering, the mars life would remain a distant dream, that marks the birth of SpaceX.

- Over the years, Musk has brought in various strategic ventures, technology partnerships to fuel the Startup like the ones including NASA.

- SpaceX is privately funded company, with a few investments from the government institutions to give a form to its Products and technologies.

- An innovative and convenient platform that is dedicated to connect the travelers to various options of accommodation that enriches their experience and makes the stay very memorable.

- What started as an experiment by two designers has now risen to a concept that is alluring and enriching experience among the people of the world. It is the most applauded Unicorn of the Y Combinator.

- From just renting a room in 2007, to a house in 2008, it emerged as a synonym to not just holiday accommodation booking but also for corporate travel, which is the new segment of innovation in the company.

- Their Marketing strategy, "Forget Hotels" and positioning has inscribed the brand's presence in not just US but across the World.

- Not just on a consumer end, but on the provider's end as well it has created and monetized the value for its users.

BRANDS

are

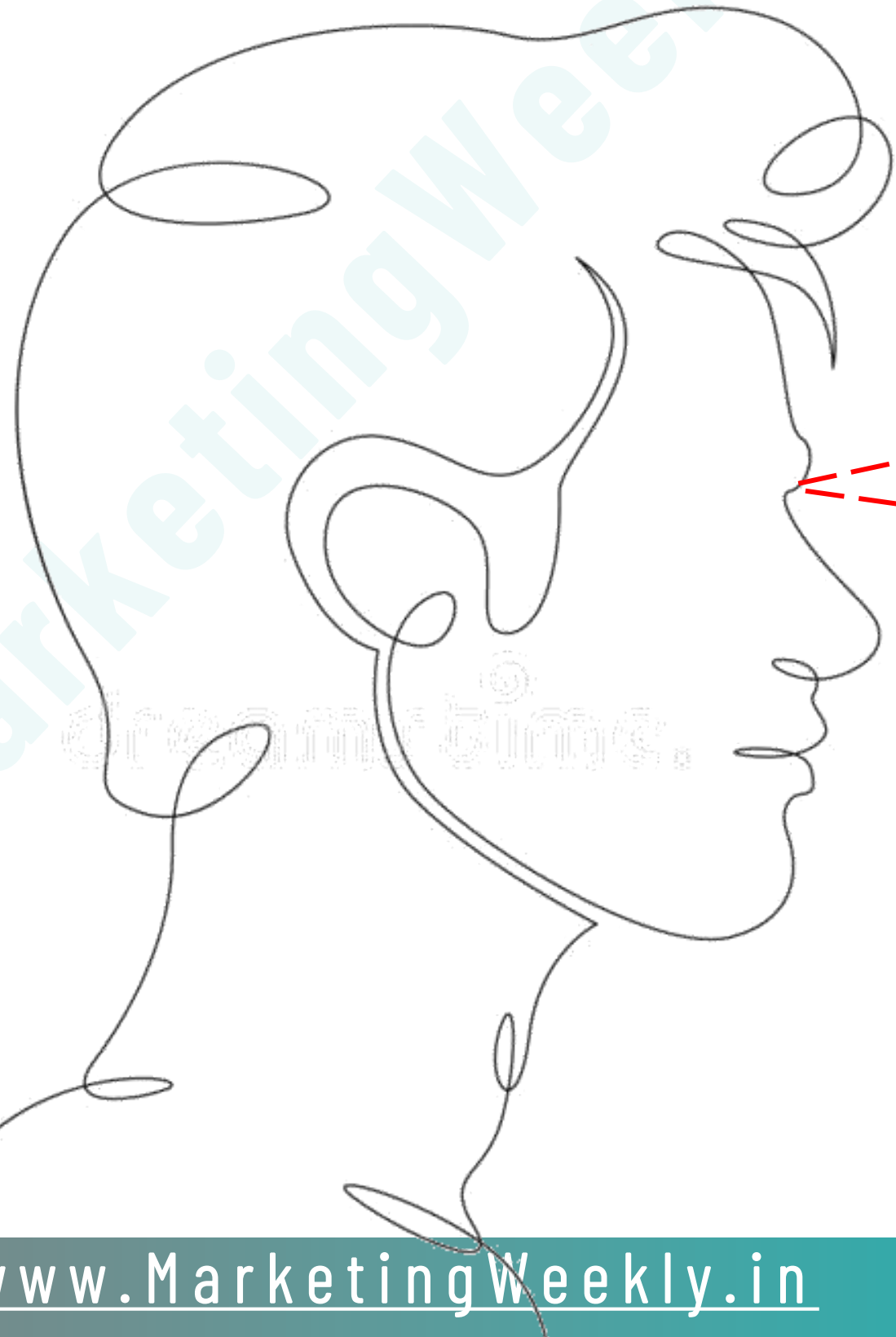
just like

PEOPLE

and

PEOPLE

Are just like BRANDS



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you (your company)

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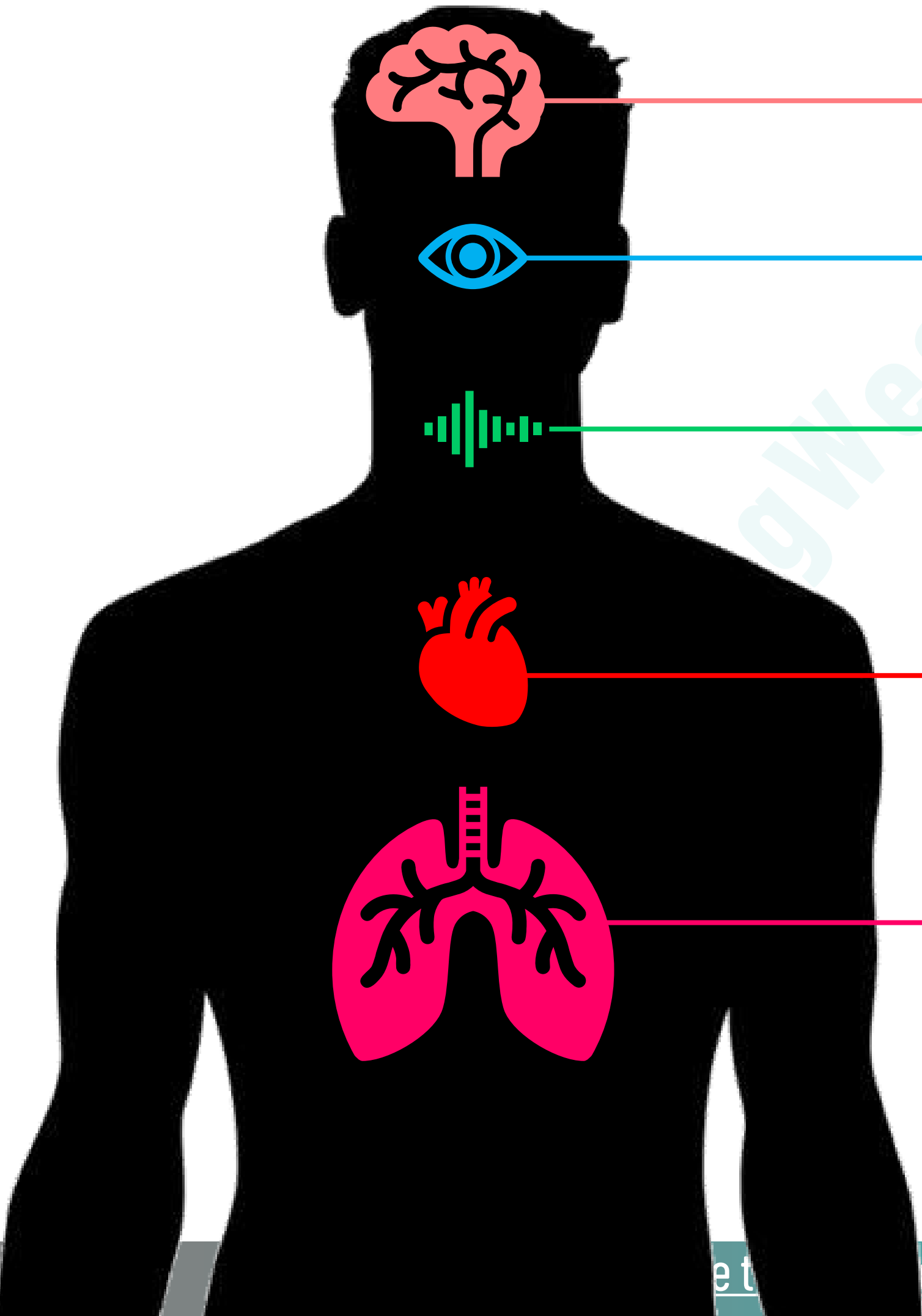
Ingredients of Brand's Identity:



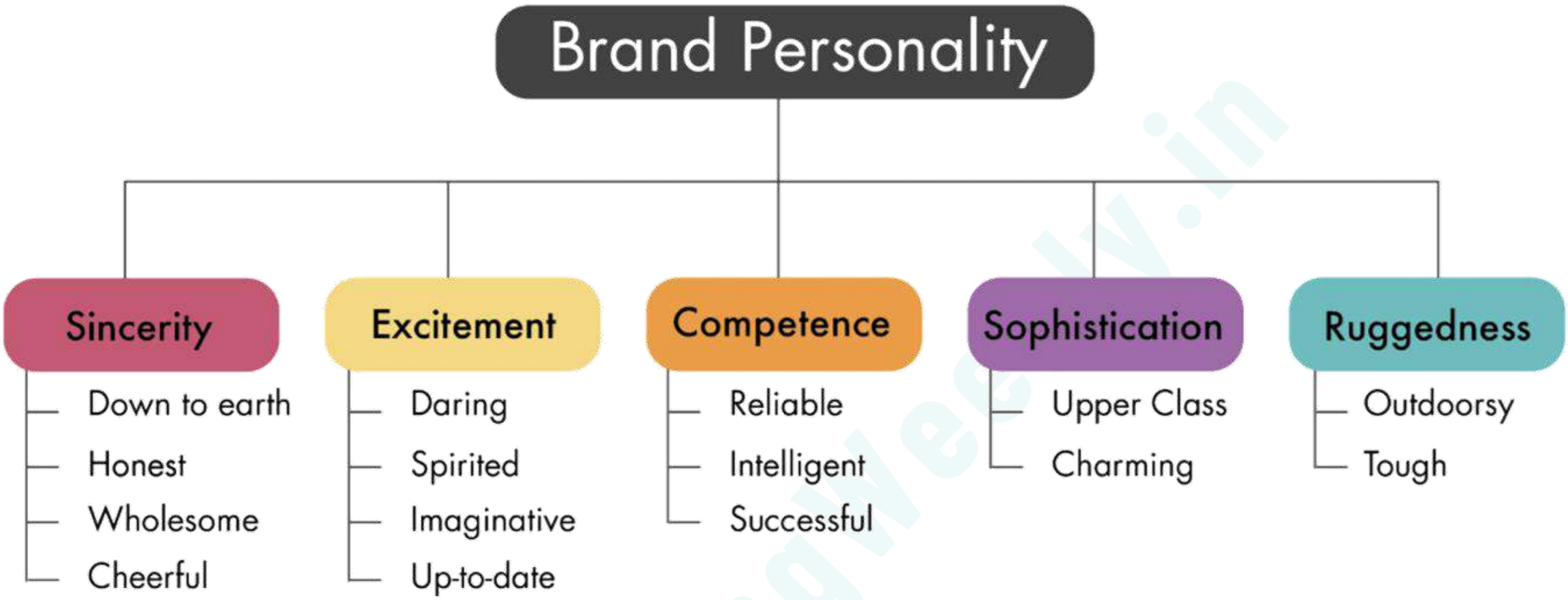
Personality

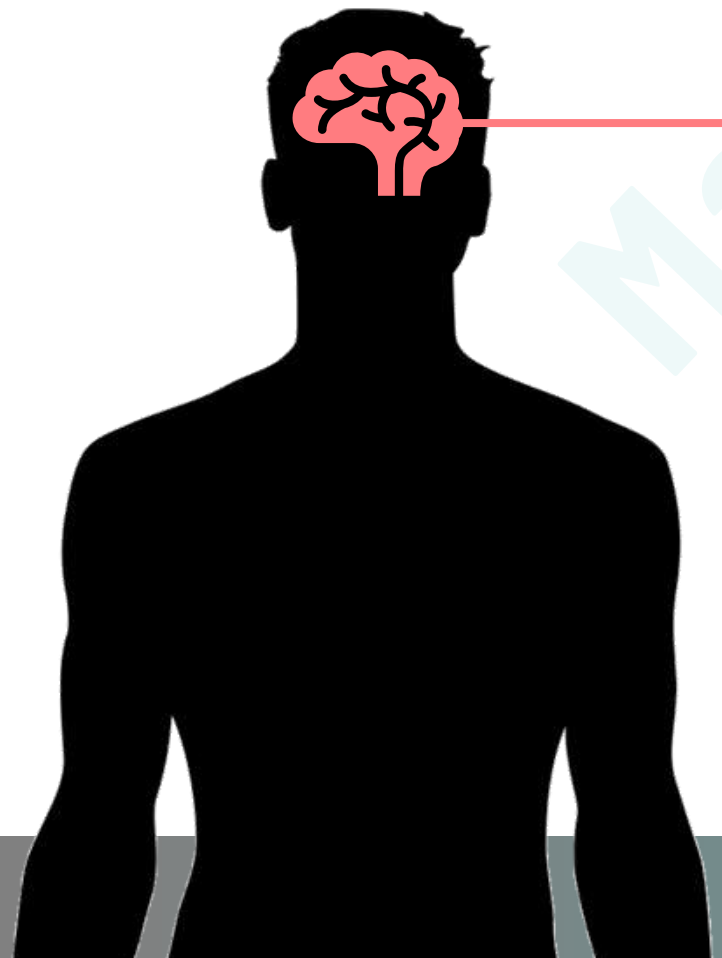
Mission

Voice

Feelings

Beliefs





Personality

Brand's personality is being reflected by the collective brand communication and marketing efforts of the organization.

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Tropicana

Brand Resonance Pyramid

One of the most famous orange juices + loyal customer
→ Strong brand resonance

Quality orange juice :
Bottle/Logo recognizable

100% pure orange juice
→ High performance

4. WHAT ABOUT YOU AND ME ?

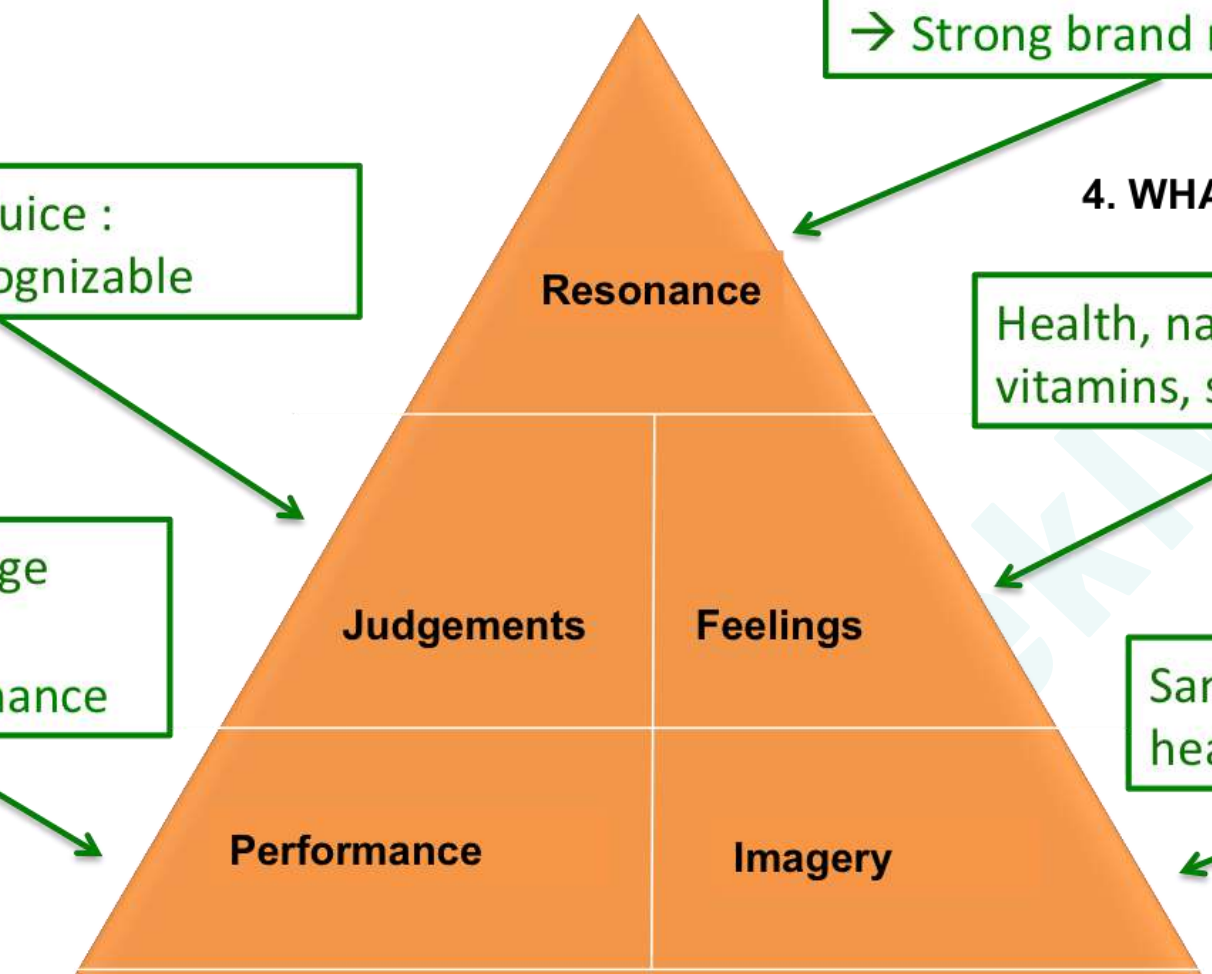
Health, nature, freshness, vitamins, sun(Florida)

3. WHAT ABOUT YOU ?

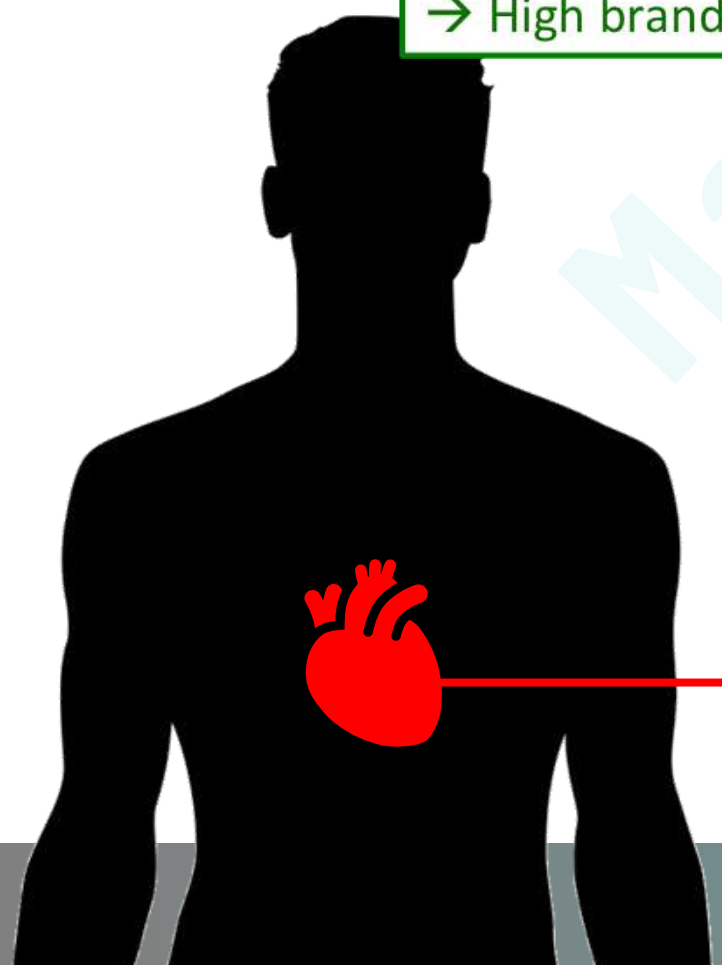
Sane image: good for health. Family

2. WHAT ARE YOU ?

1. WHO ARE YOU ?



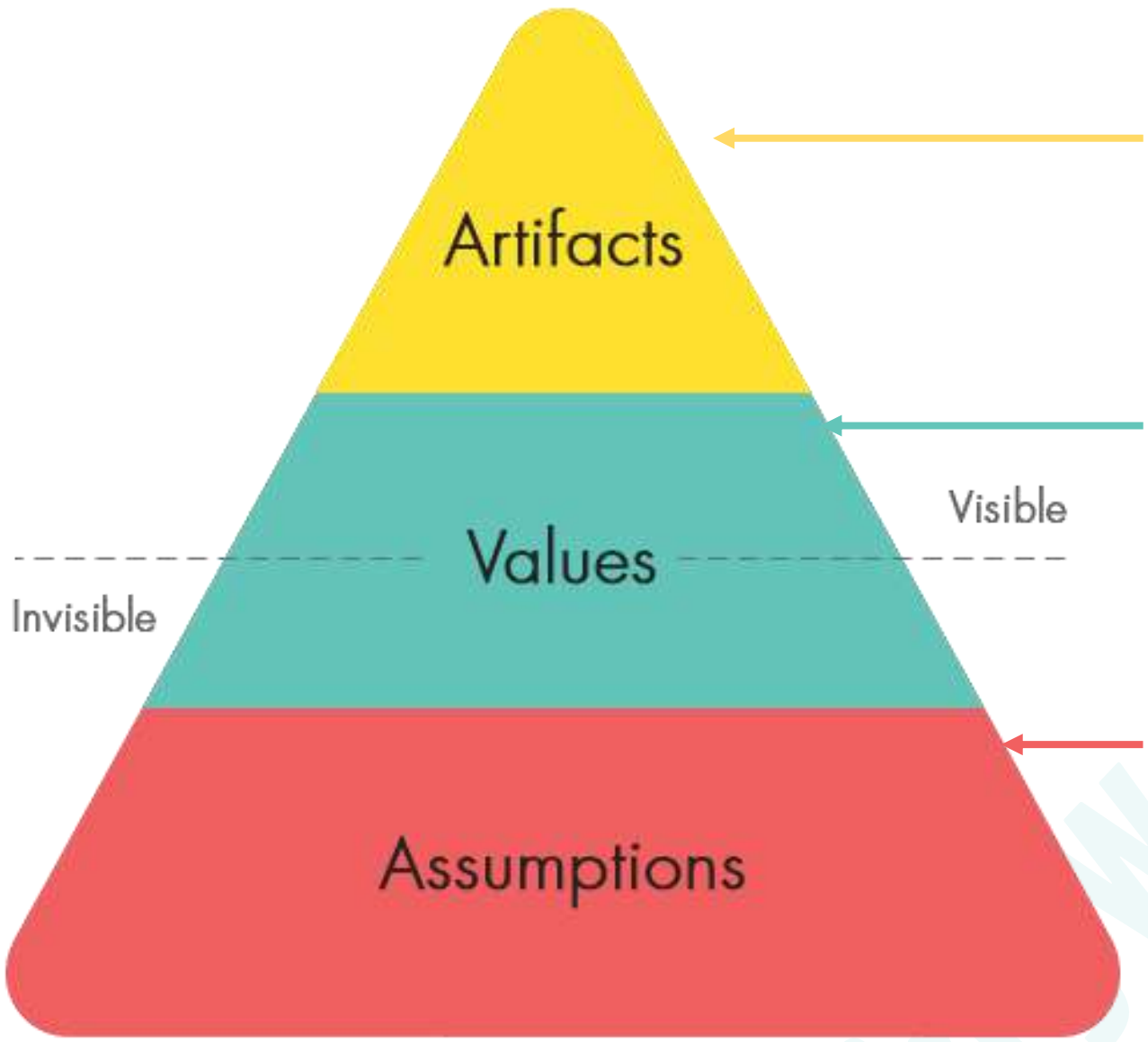
High recognition on orange juice market : well-known brand
→ High brand awareness : strong image



It is how your consumers feel after interacting with you.

Brand resonance pyramid framework can be used to map feelings.

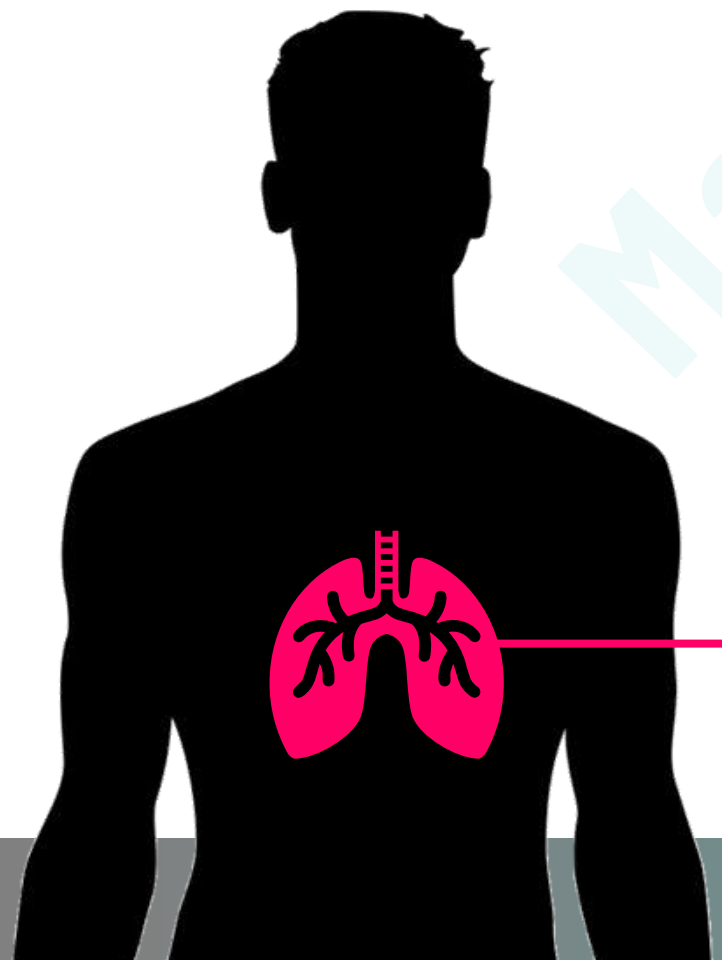
Feeling



Things you can see such as food, technology, and visible patterns.

Strategies, Goals, and Philosophy.
Not that easy to visualize.

Taken-for-granted, Invisible assumptions, relationship, etc.
These are very difficult to see but felt internally.



What does your company believe in?
It is an internal matter which only employees can feel.

Belief

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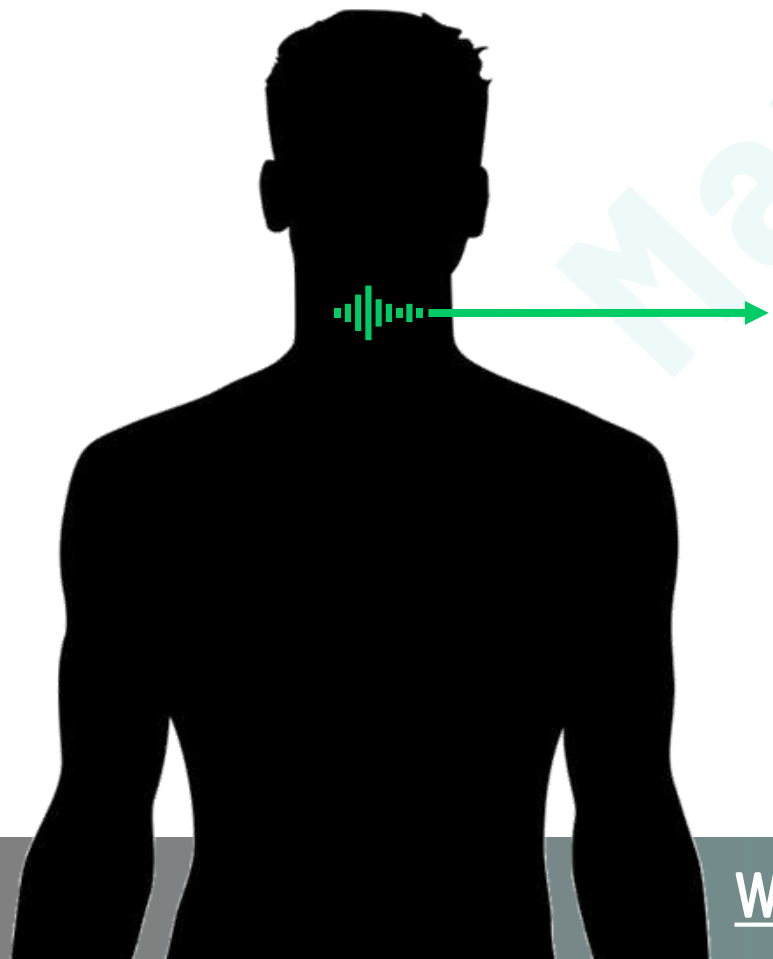
Brand Voice Chart

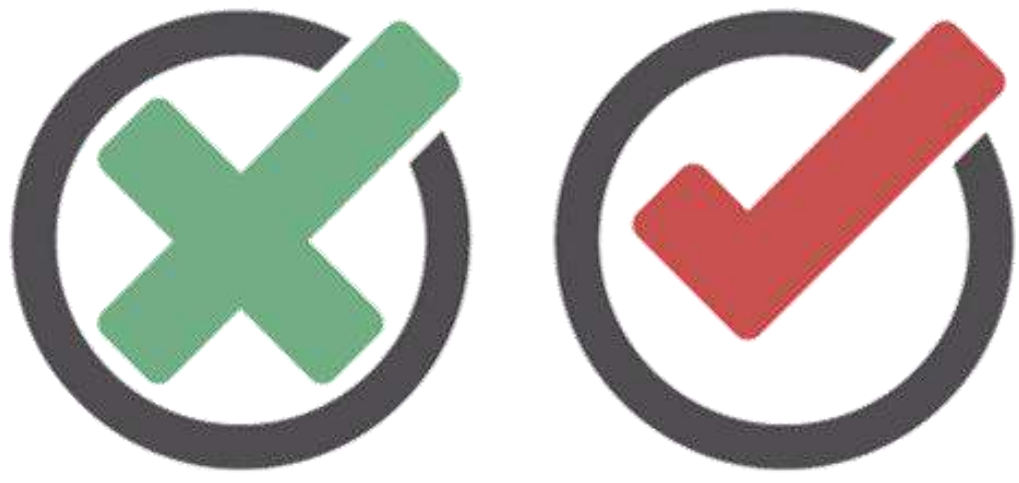
Voice Characteristics	Description	Do	Don't
Passionate	We're passionate about changing the way the world works	• Use strong verbs • Be champions for (industry) • Be cheerleaders	• Be lukewarm, wishy-washy • Use passive voice
Quirky	We're Not afraid to challenge the status quo and be ourselves	• Use unexpected examples • Take the contrarian view • Express yourself	• Use too much slang or obscure references • Use overplayed examples • Lose sight of the audience and core message
Irreverent	We take our product seriously; we don't take ourselves seriously	• Be playful • Use colorful illustrations or examples	• Be too casual • Use too many obscure pop-culture examples
Authentic	We're going to give you the tools and insight you need to make your job easier. That may not always be through our product.	• Be honest and direct • Stick to your word • Own any issues or mistakes, and show how you will address them	• Use marketing jargon • Over promise • Over sell the product's capabilities



Voice

It is simply the way your brand communication works while talking with your consumers.

What is a Brand Audit



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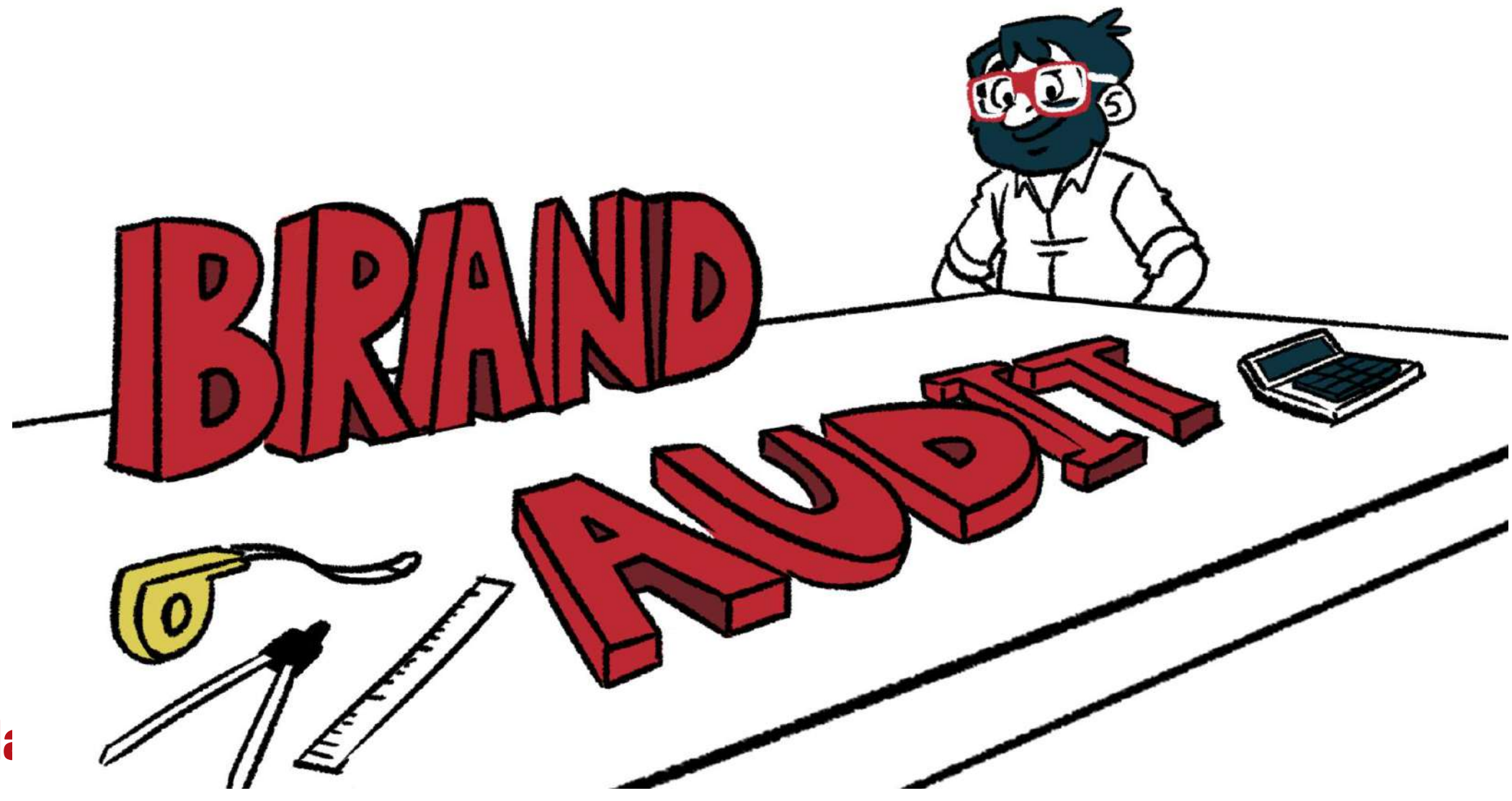
What it is?

A brand audit is a checkup that evaluates your brand's **position** in the marketplace, its **strengths** and **weaknesses**, and how to strengthen it.

A process to discover its source of brand equity



When to Perform an Audit?

1. A loss in revenue, profitability or loss of customers to competition!

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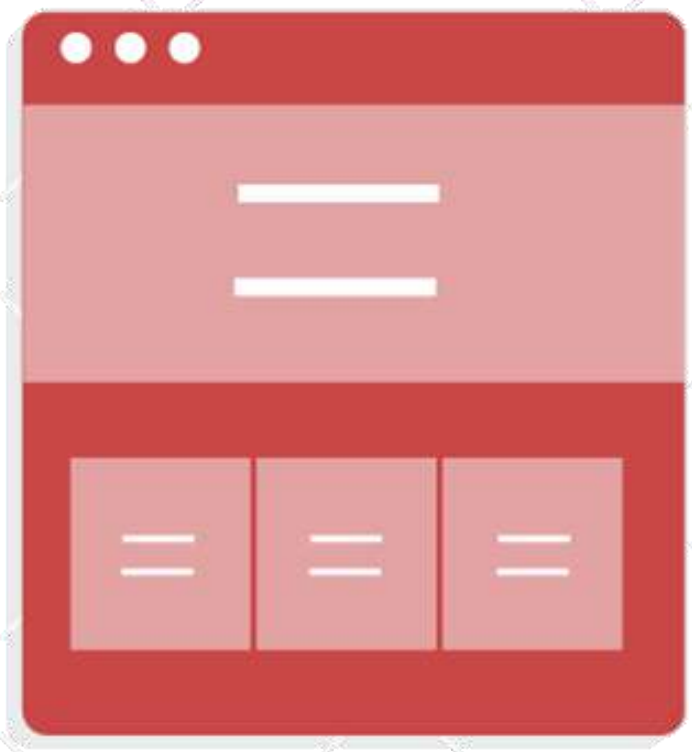
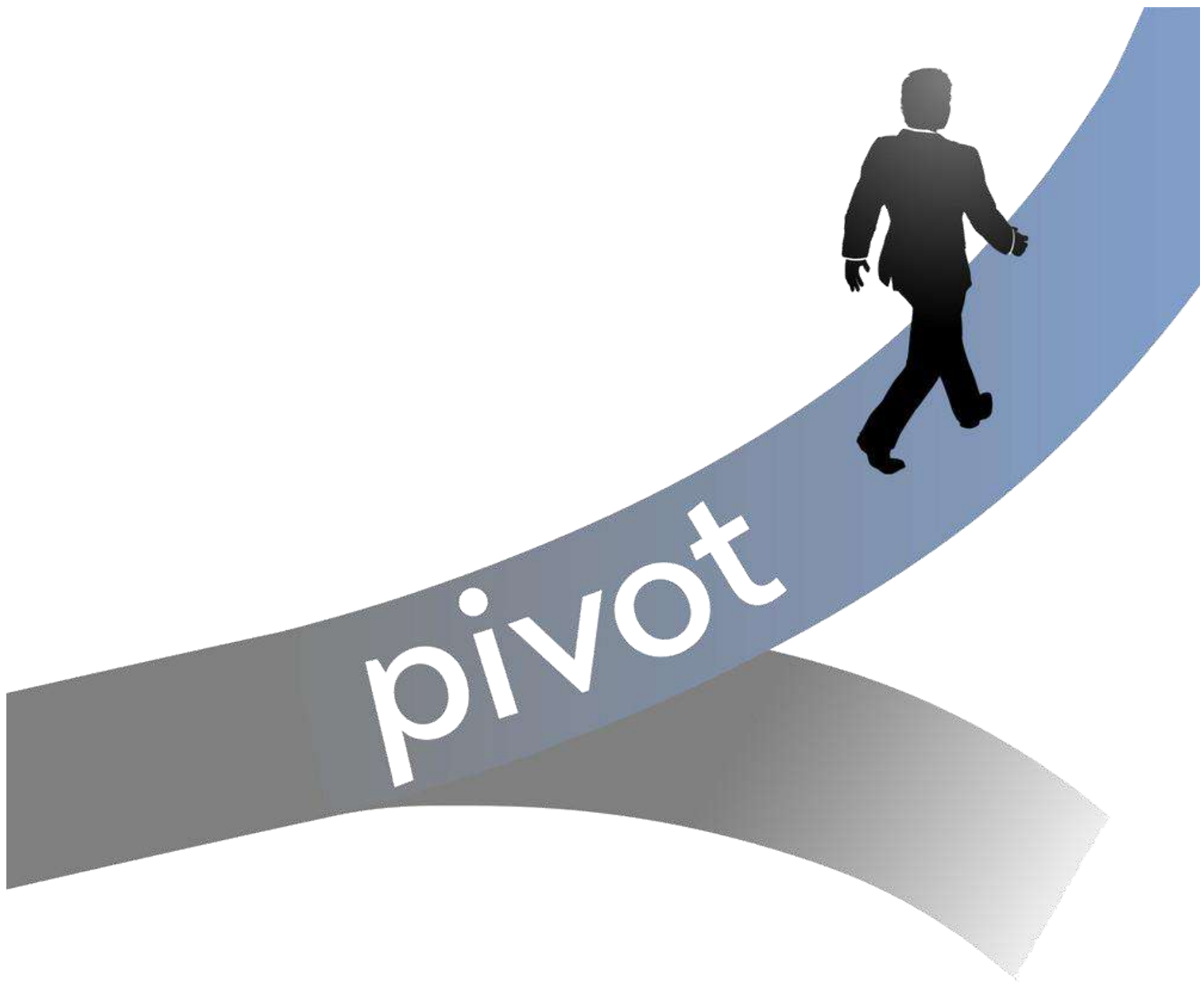
When to Perform an Audit?

2. Loss of Visibility of Search Engine or reduction in website traffic!



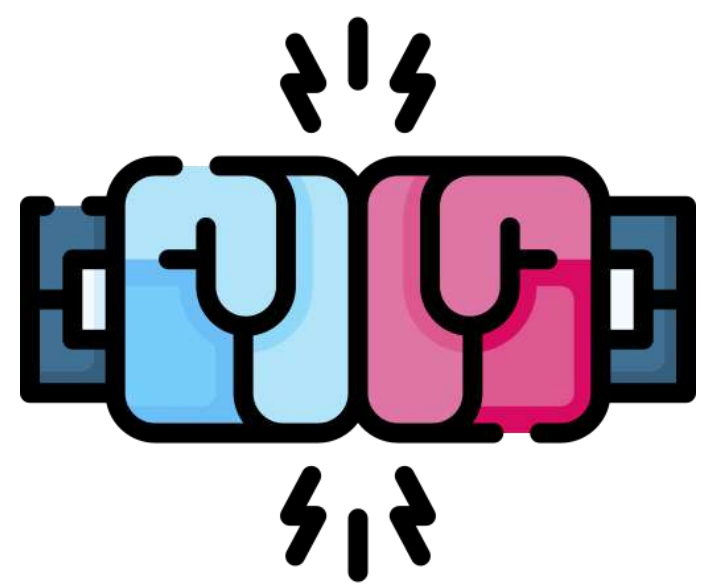
When to Perform an Audit?

3. Big Change in Business objectives/Priorities!

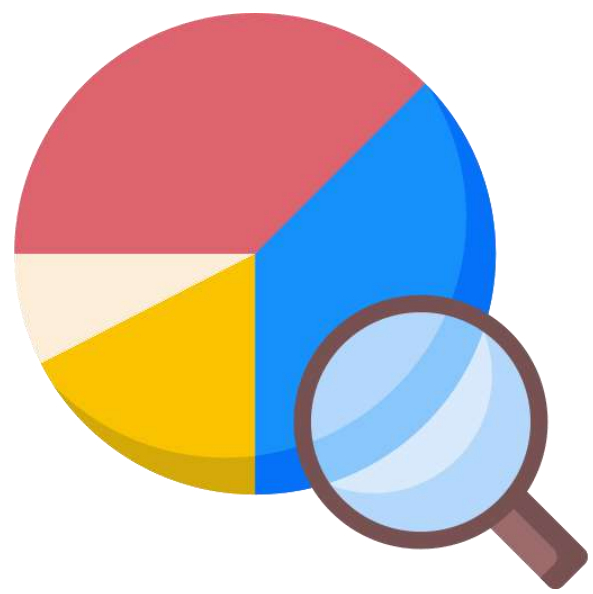


What to Focus in Brand Audit?

1. **Competition:** Where does your brand stand against competition?



2. **Market:** How is the market evolving/changing?



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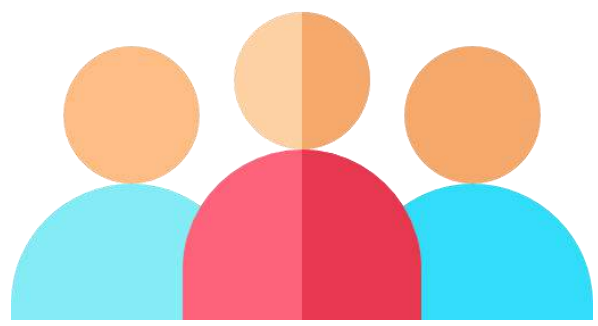
What to Focus in Brand Audit?

3. Customers: Where are your customers' wants & needs?



4. Alignment: How well your brand is aligned with customer's desires & future opportunities ?

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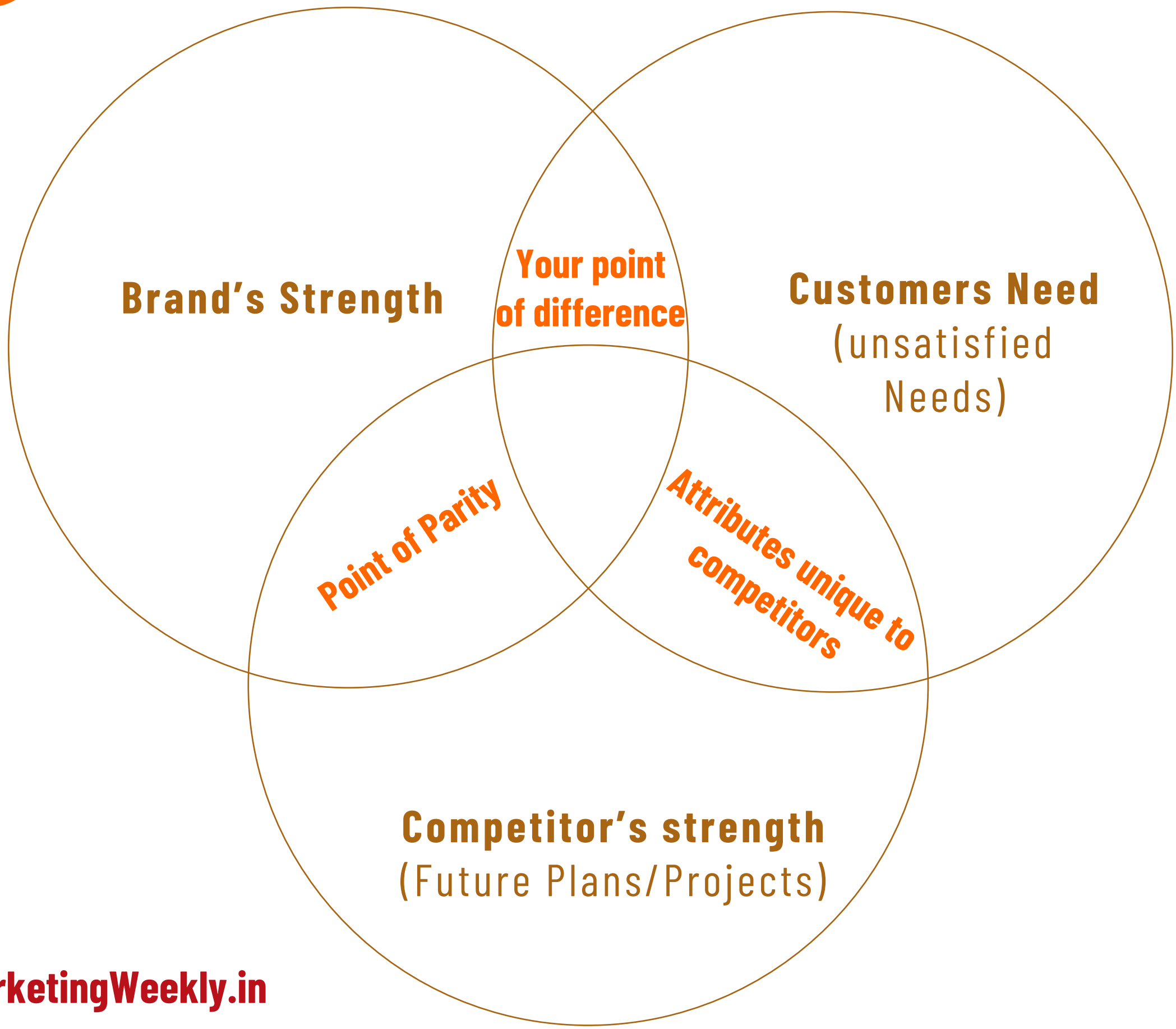
3-Circle Model of Brand Audit



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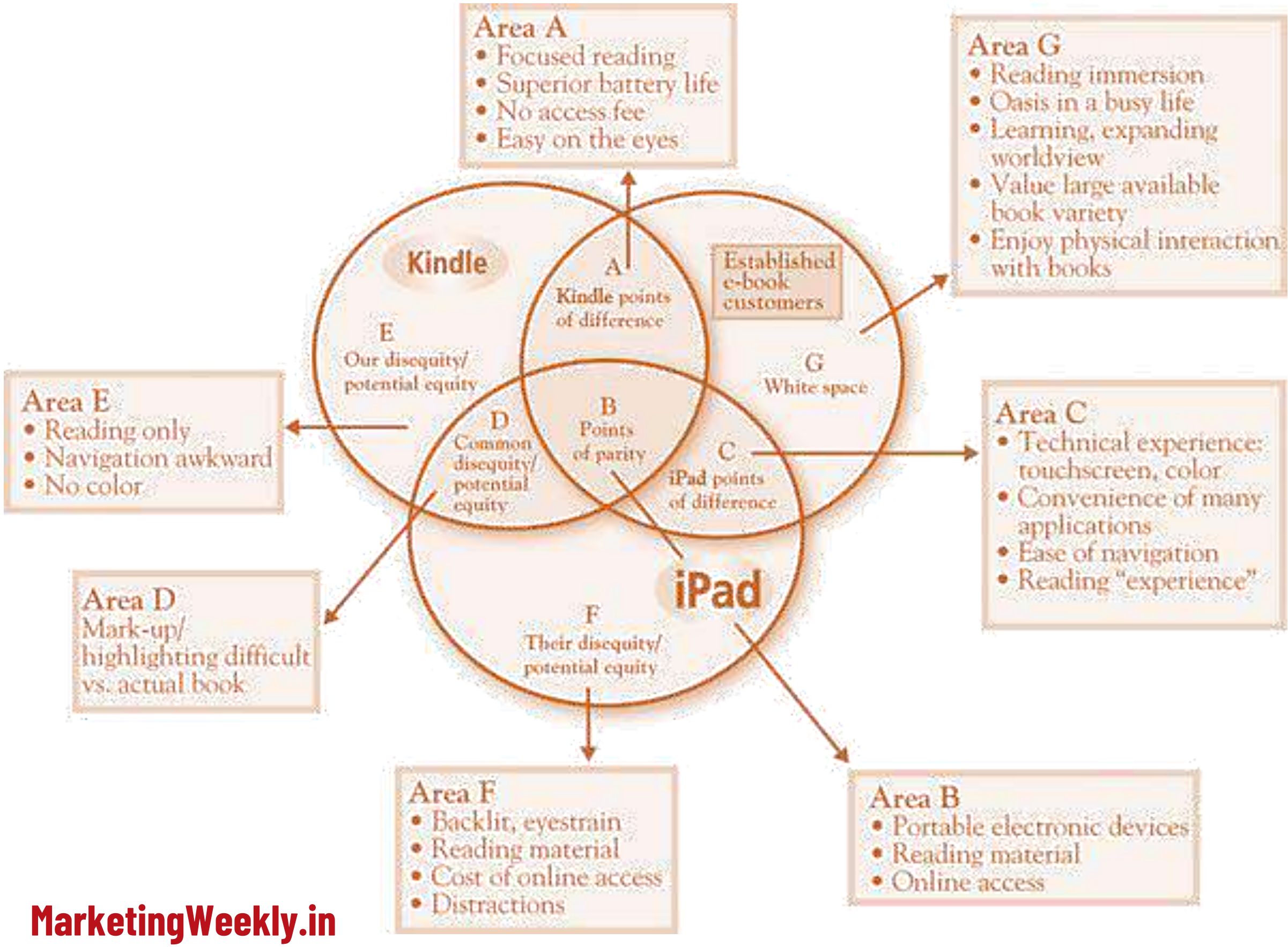
3-Circle Model of iPad Vs Kindle



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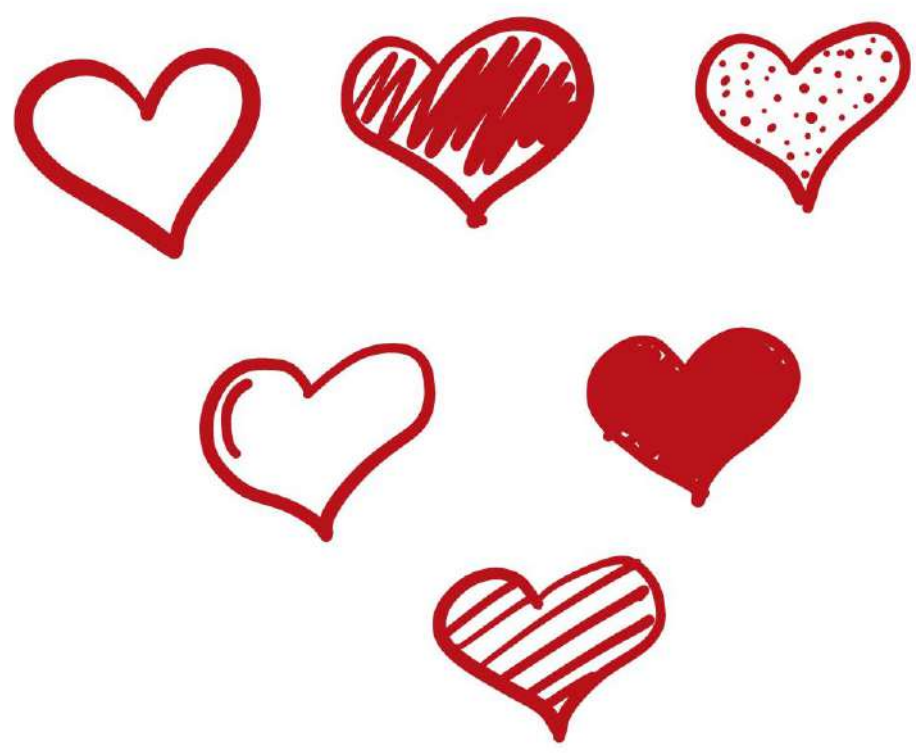

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Annexure 1:

Must have information sources.

Corporate Information

- Company vision, mission and value statement
- Financial performance and trends
- Customer service records
- Patents and other Intellectual property

Industry Information

- Third party research about competitors
- Company's own internal research

Marketing Information

- Current and past advertising records of your brand and that of competitors
- Social media reports and metrics

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Annexure 2:

Brand Audit Framework.

Brand Assessment

Situation Analysis
(Interview top management)

Finding:

- Strategy, Mission & Vision
- Strengths & Weaknesses
- Key success Factors
- Resources & Capabilities

Internal Analysis
(Interview key customer-facing personnel)

Finding:

- Understanding of company's Vision
- Relationship with company
- Internal Assumptions

Competitive Analysis
(Research & interview top management of the company)

Finding:

- Competitive Landscape
- Competitive challenges
- Industry Trends

External Analysis
(Interview Clients)

Finding:

- Awareness
- Perceived Quality
- Association & Personality
- Loyalty

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Power of Hyperbolic Discounting in Marketing

Why do we value immediate rewards more than long-term rewards?

Find out how marketers make use of your weakness.

Image Courtesy: Lakshmi Mani from Medium

What is Hyperbolic Discounting ?

Hyperbolic discounting happens when people show a preference for a reward that arrives **sooner** rather than **later**.

Option 1: Get 100 Rs. Today

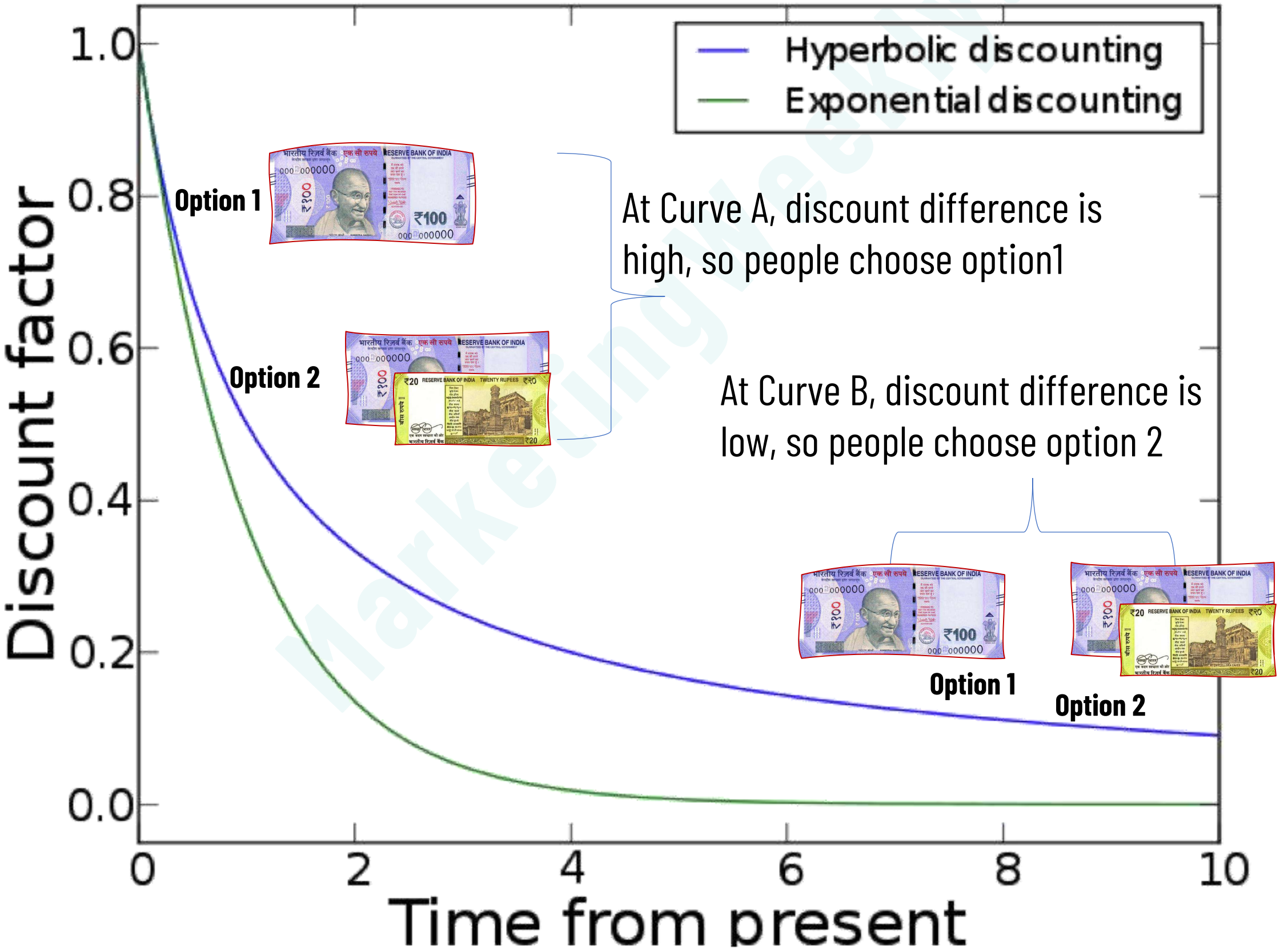
Option 2: Get 120 Rs. Next Week

Hyperbolic discounting is a **cognitive bias**, where people choose smaller, immediate rewards rather than larger, later rewards — and this occurs more when the delay is closer to the present than the future.

In Above case, most of you will choose Option 1 over Option 2

Add a little time & your preference will change

Curve A is the case of previous slide. Curve B says you will get 100 Rs. in a year or 120 Rs. In 1 year + 1 week. Here wait time is same in both cases but somehow **now people are okay to wait for 1 more week to get 120 Rs.**



How companies take advantage of this primal cognitive bias?

Immediacy: They know consumers value “Right Now”. This psychological (Primal) instinct of instant gratification is the building block of companies Go-to-marketing strategy

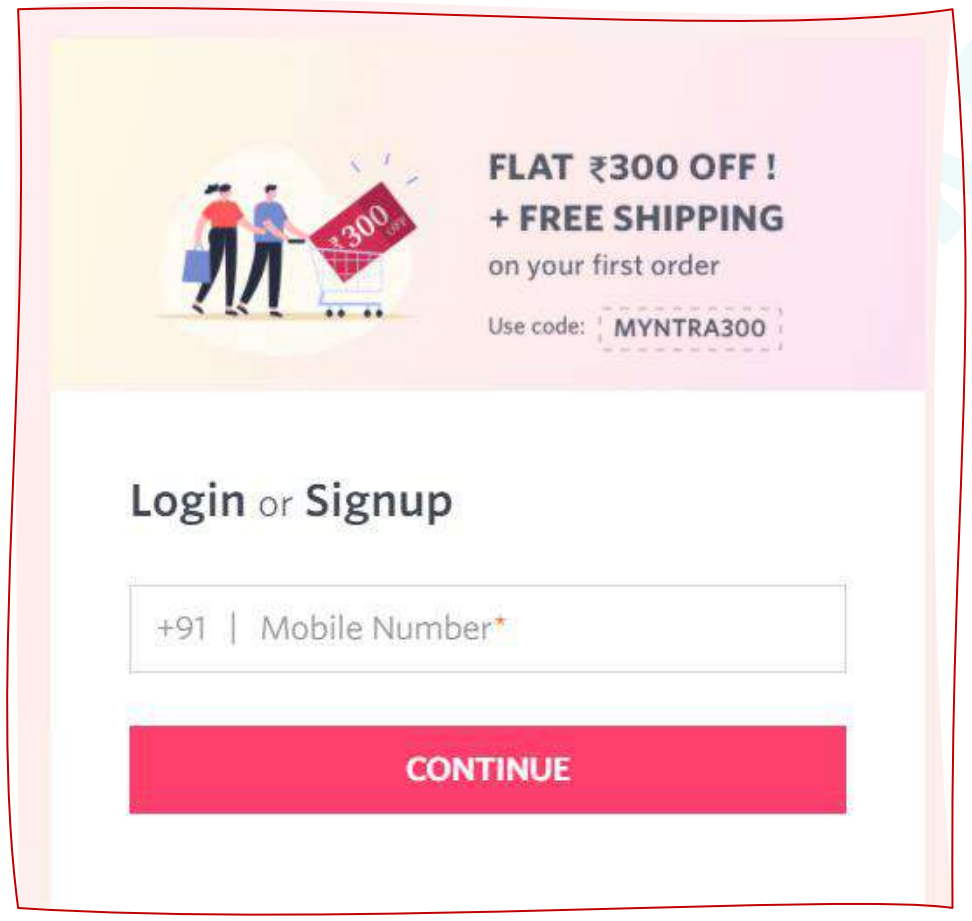
Tactic 1: **No-cost EMIs by Ecommerce**

The Idea of *not paying now + no interests kick dopamine* in consumers. As a consumer, you don’t care about the pricing as long as you don’t have to pay now. Here You just became the victim of Hyperbolic discounting!

Tactic 2: **Welcome Bonus (First Order Discount)**

In Hyperbolic Discounting, timing is everything that's why it is known as **Temporal Discounting.**

Consumers act willingly if they are rewarded immediately.



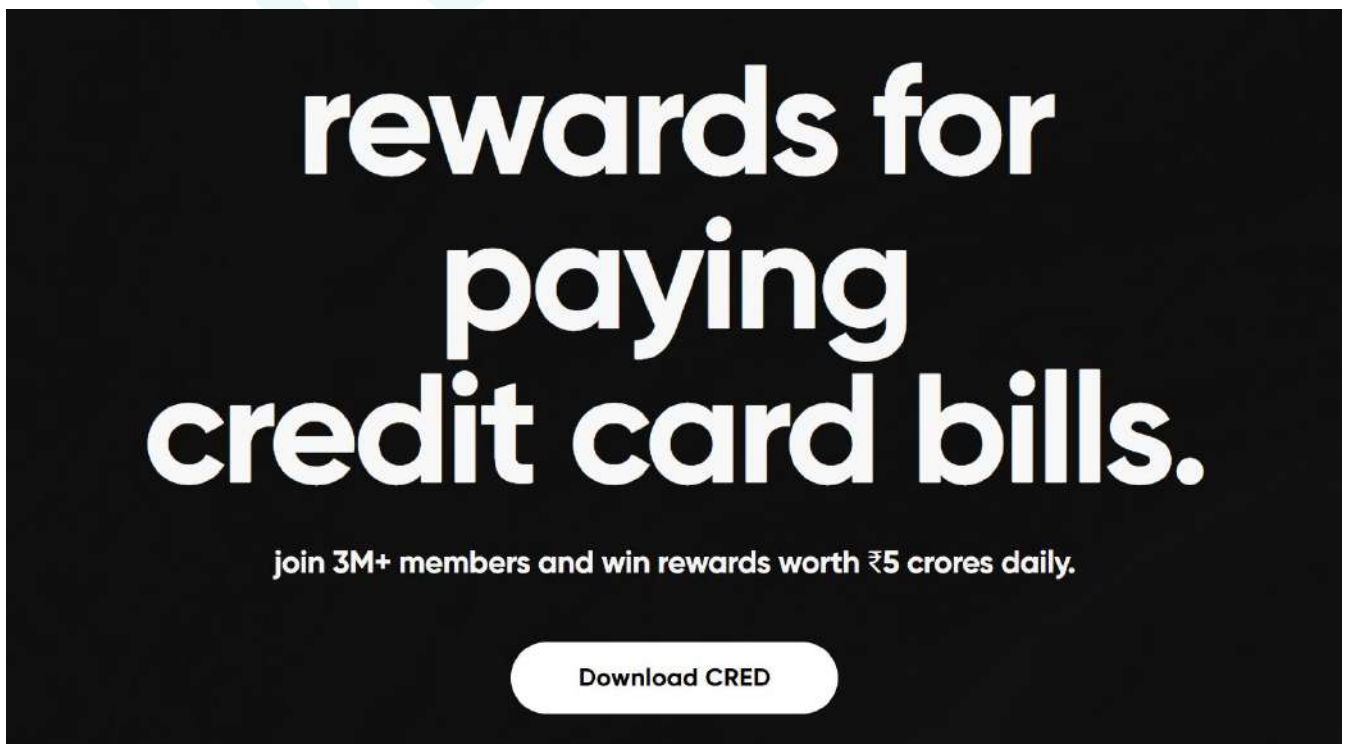
Here I have given two examples, first one (above) is of **rummycircle** where signing bonus of Rs. 2000 (not redeemable) is awarded. This lures in players.

While the second example is of **Myntra** where you will get Rs. 300 off + Free shipping. This will tempt user to sign-up & do their first purchase.

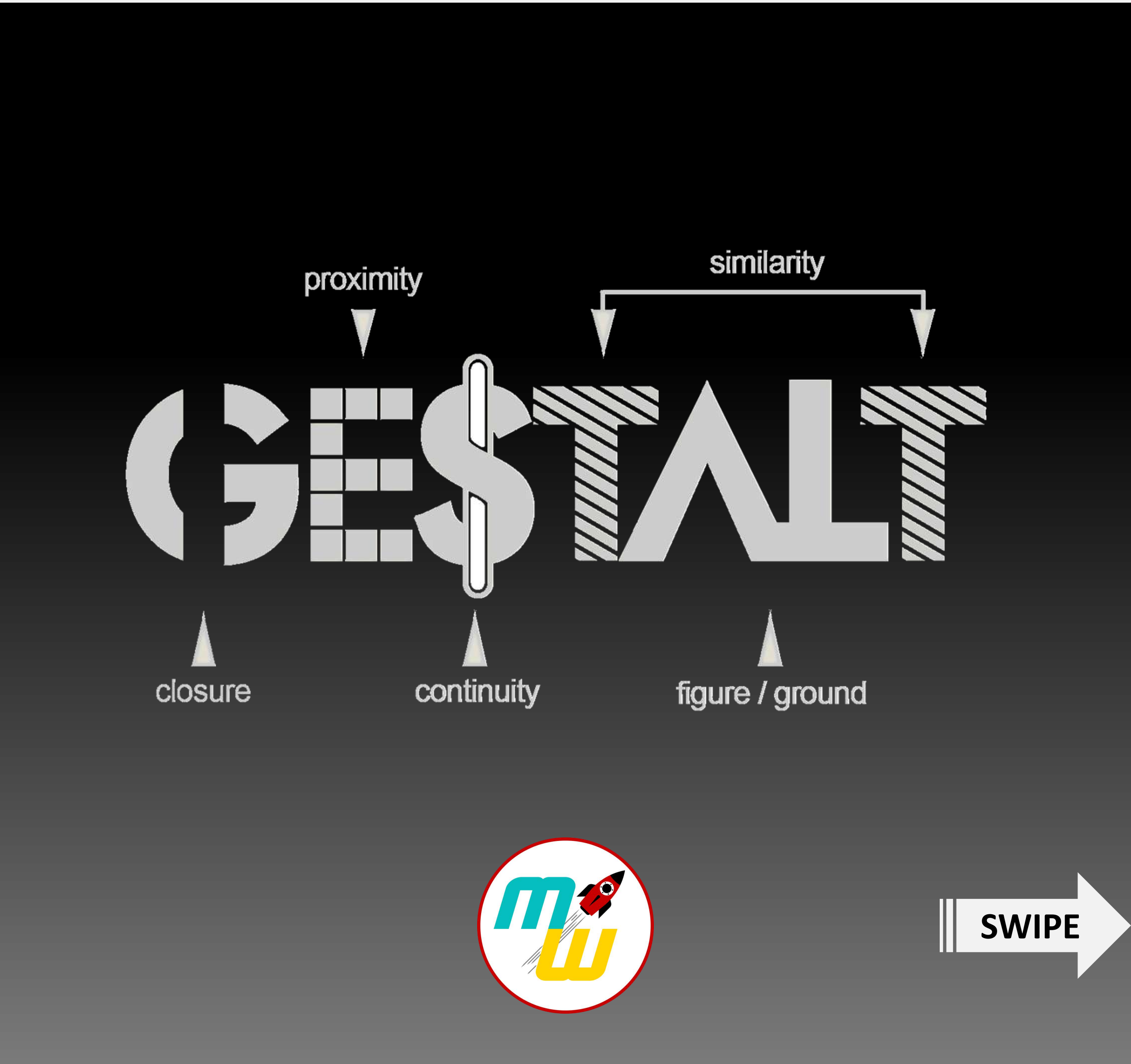
Tactic 3: **Cashbacks (also loyalty points)**

Today Ecommerce players are extensively using Hyperbolic discounting to gave instant cashbacks & loyalty point.

Take above example of Paytm, here the allure of getting 100% cashback (means free) bill payment creates automatic response from consumers



What is Gestalt theory, that is so prevalent in modern Brand Logo

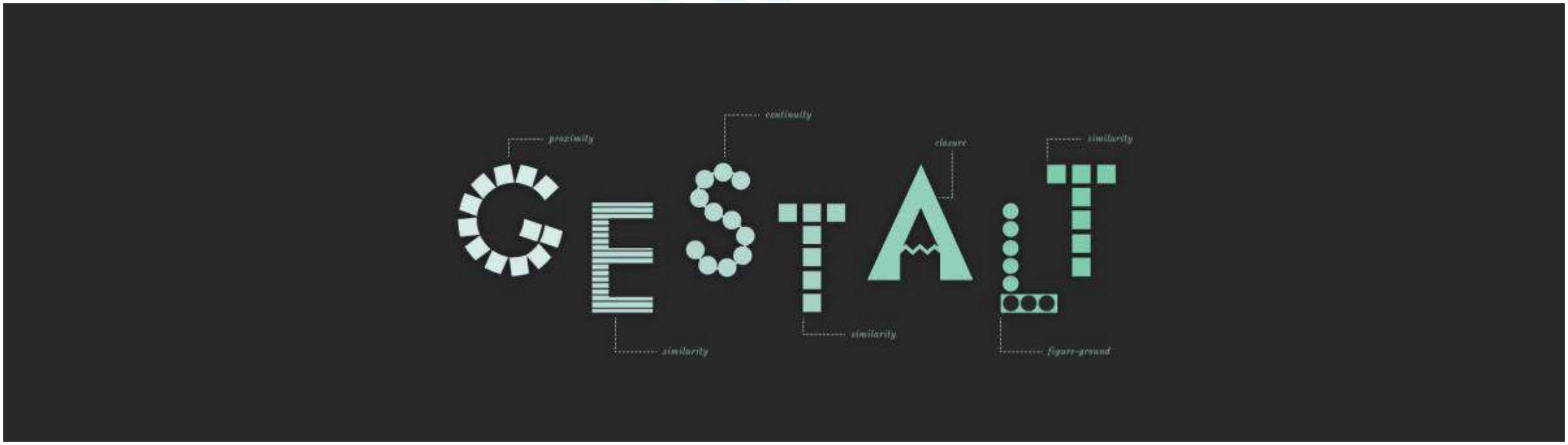


SWIPE

WHAT IS GESTALT THEORY?

Gestalt psychology is a visual perception theory that tries to explain the way our minds navigate the chaotic world to make meaningful conclusions.

The essence of Gestalt is that "**the whole is other than the sum of its parts**." This essence here implies our perception of the whole can be created independently of its parts.



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The Gestalt's Principle

PROXIMITY

When different elements are laid out close to each other, they are perceived to be belonging to the same group.

CLOSURE

Reification or closure refers to making something concrete, bringing something into being, or making something real.

SIMILARITY

Objects with shared visual characteristics are automatically taken to be related.

CONTINUITY

Elements which are aligned with each other are perceived as visually associated.

MULTI-STABILITY

Multi-stability is the ability of our eyes to see two different things within a single image or design..

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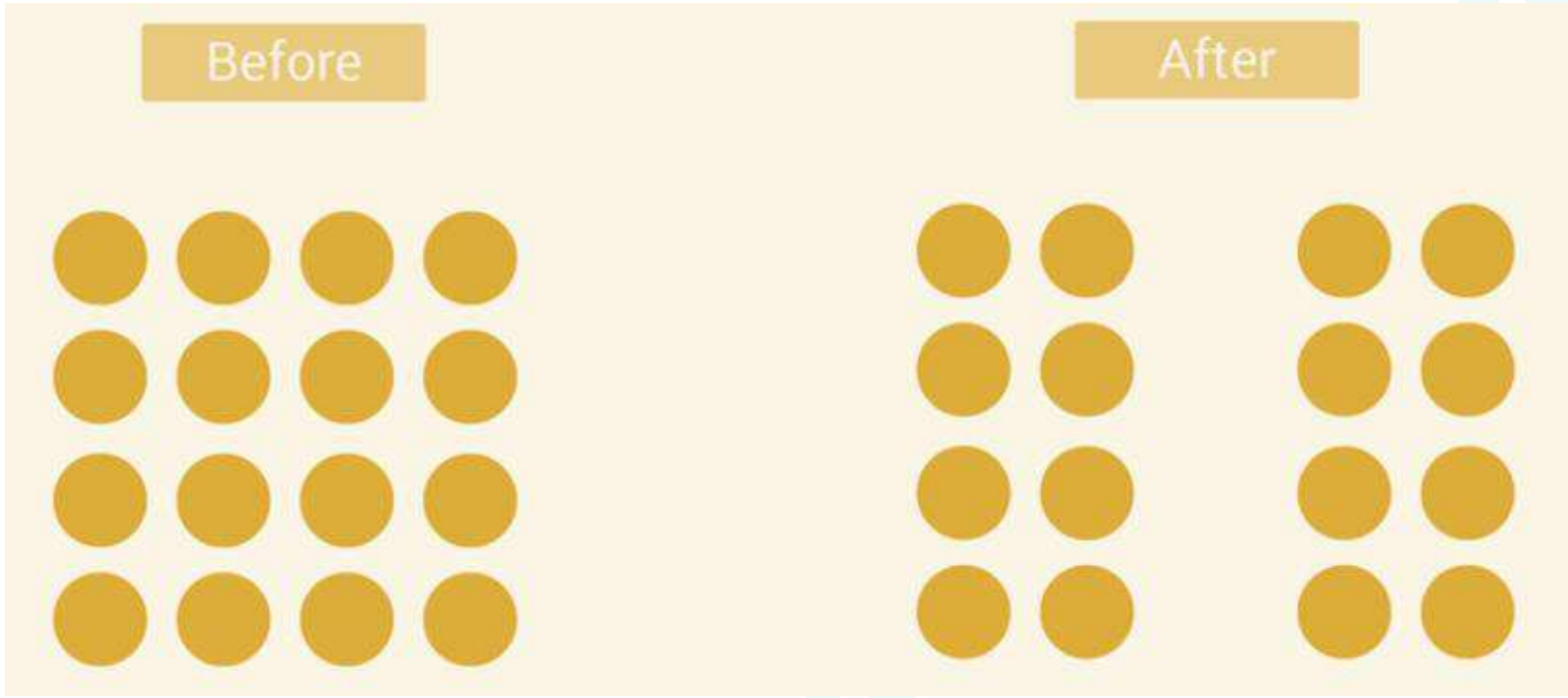
1.PROXIMITY

When different elements are laid out close to each other, they are perceived to be belonging to the same group

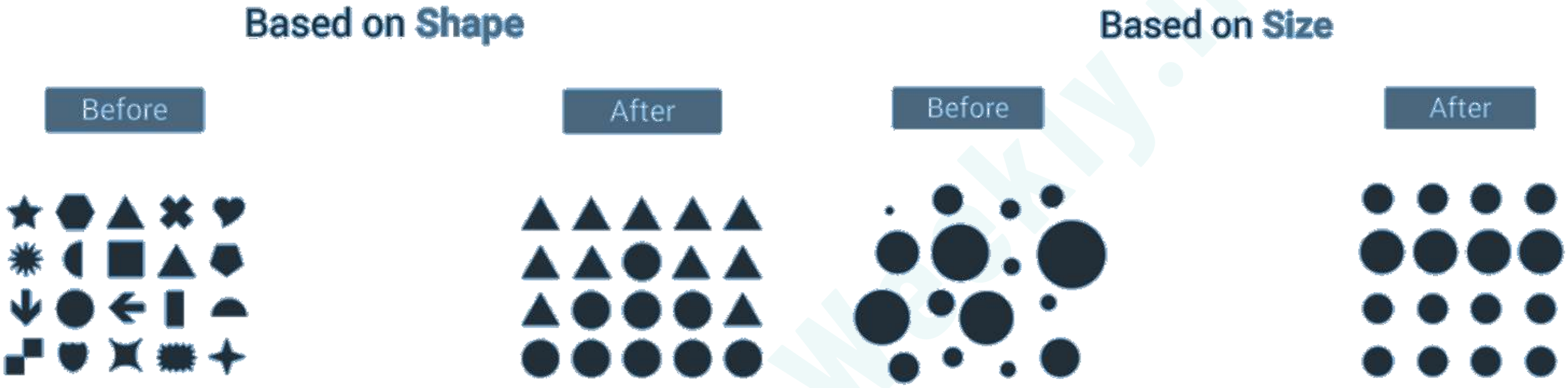


2.CLOSURE

This law tells us that our brains usually associate disconnected elements with forms we already know. This means that our brains also tend to complete missing links without being asked to.

3.SIMILARITY

Objects with shared visual characteristics are automatically taken to be related. The more alike they appear, the more likely they are to be construed as belonging to a group. Similarity is not derived from what an object is, but what it looks like.



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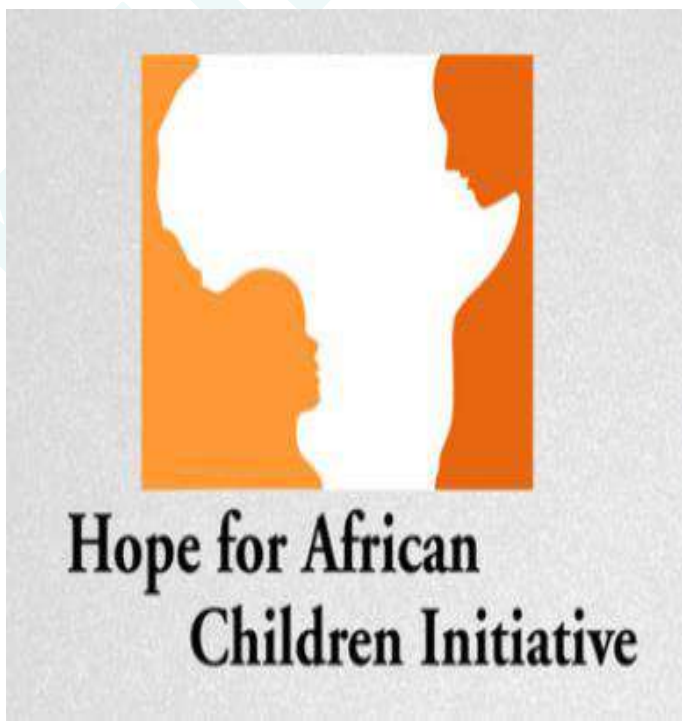
4.MULTI-STABILITY

Multi-stability is the ability of our eyes to see two different things. When looking at an image, a viewer can have different experiences simultaneously, since there are myriad interpretations being triggered.



5.CONTINUITY

Elements which are aligned with each other are visually associated. For instance, lines are perceived as a single figure as far as they are continuous. The smoother their segments, the higher the chances of being perceived as a unified shape

Find which Principle of GESTALT you can see in Marketing Weekly's Logo?

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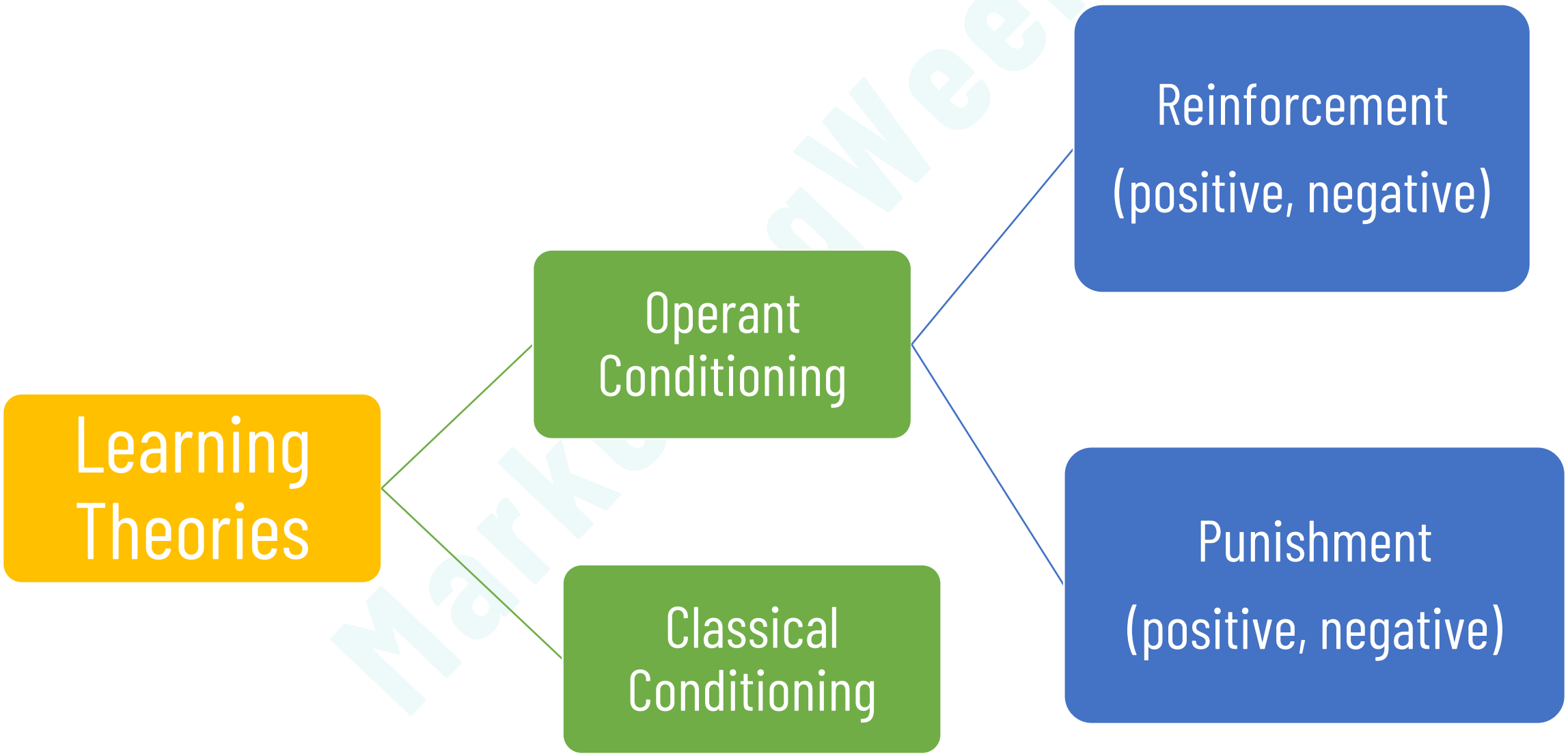
Psychology behind purchasing decision of consumers

Marketing Techniques of

Conditioning

The Learning theories

Marketers use the concept of **learning theories** to influence consumer buying behavior. Learning forms the base of **perception** and of consumer's **motivation** to buy a certain product.



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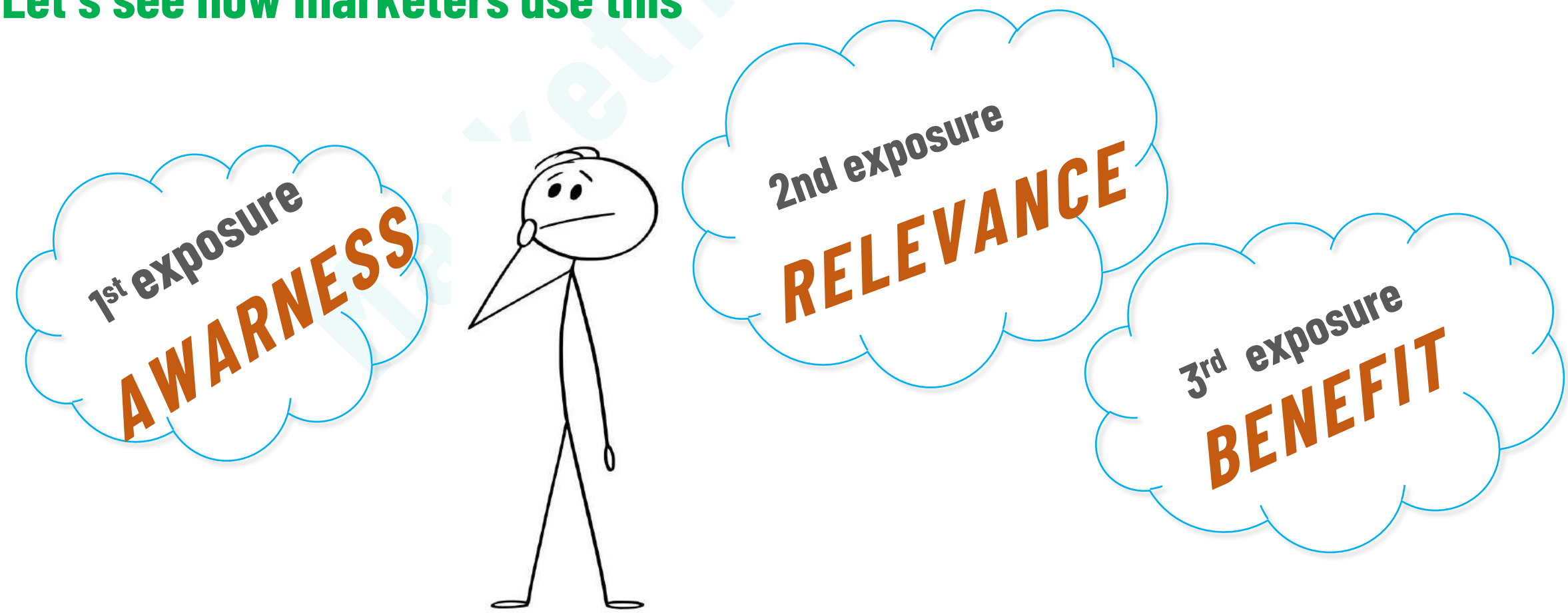
What is classical conditioning?

Do you still feel obnoxious at the sight of the food you once had an unpleasant experience?

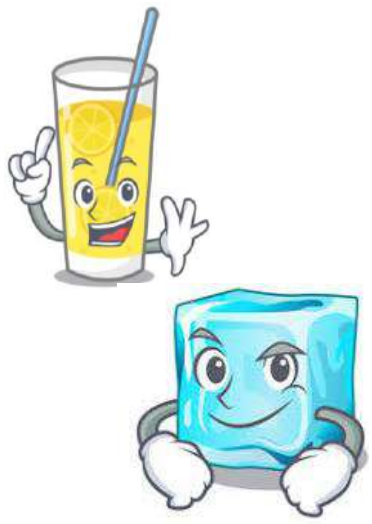
Yes?
Well, this is a perfect example of classical conditioning

The theory is based on repeating principle according to which the involuntary responses can be learnt

Let's see how marketers use this



Coke and Classical Conditioning



Unconditioned Stimulus

Before Conditioning

Unconditioned response

Neutral Stimulus

Before Conditioning

Neutral Response

The word "Thanda" is deep-rooted in Indian society.

The ad campaign used the word to link it with Coca-Cola

During Conditioning

Thanda + Coca Cola

Conditioned Stimulus

After Conditioning

Conditioned Response

As a result, the campaign succeeded in associating 'Coolness' with Coca-Cola

"Thanda Matlab Coca-Cola"

What is Operant conditioning?

What makes you **order food from the same restaurant every time** you are hungry?

Yes, the taste of the food and the service
This phenomenon, to choose/reject a product/service after a pleasant/unpleasant experience is known as **operant conditioning**

Operant conditioning can be the result of **reinforcement or punishment.** Brands mostly use reinforcement as their strategy to motivate consumers

Non-stop

One person. One cup. A lot to offer

Starbucks offers '**My Starbucks Reward**', a loyalty program that provides its customers exclusive rewards which acts as positive reinforcement.
Customers can enjoy free drinks, exclusive early access to Starbucks's newest product, and quick and easy payment with mobile app.

Wings for free

Red bull's direct marketing, which included giving **cans for free** on streets ensured they attain an enormous consumer base. This is again an example of positive reinforcement.

Negative reinforcement in Beauty ads

Beauty ads use the concept of **negative reinforcement** to influence consumers.
They claim to lessen the unpleasant effect like ageing or wrinkled skin and provide pleasant effect of flawless glowing skin

You can train your Dogs too with conditioning!

Before Conditioning

Unconditioned stimulus

Unconditioned response

Neutral stimulus

No response

During Conditioning

Unconditioned response

After Conditioning

Conditioned stimulus

Conditioned response

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The Psychology of Selling

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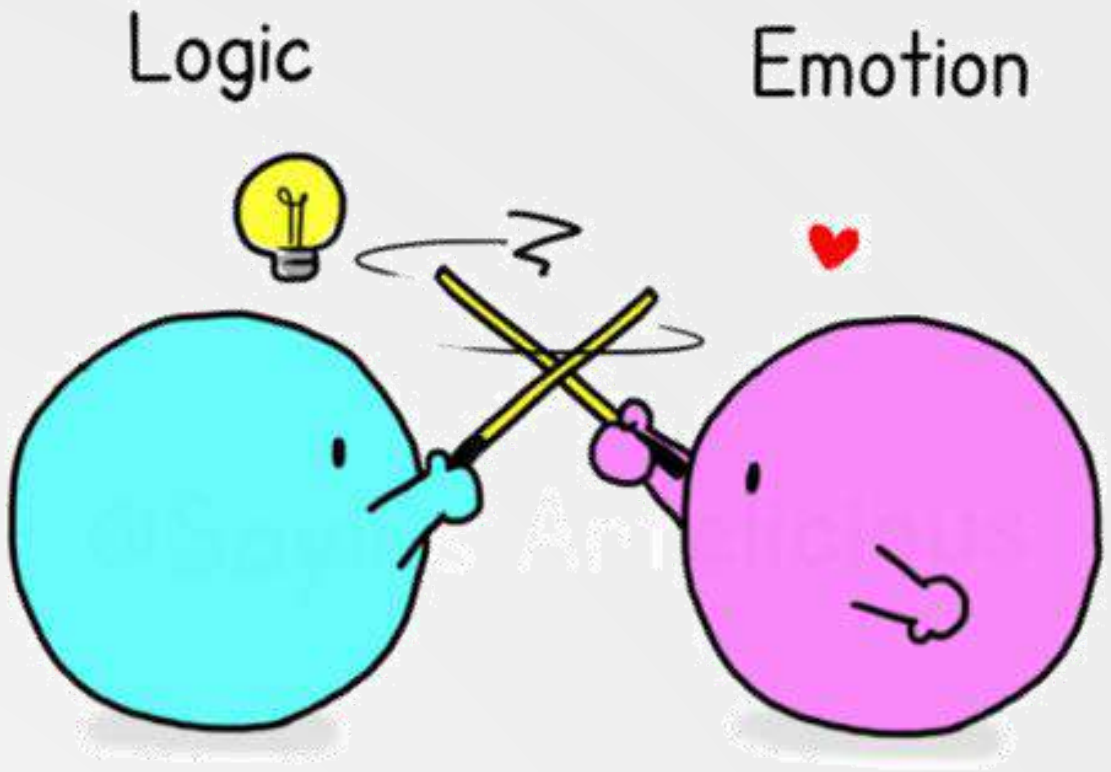
What makes us buy something?

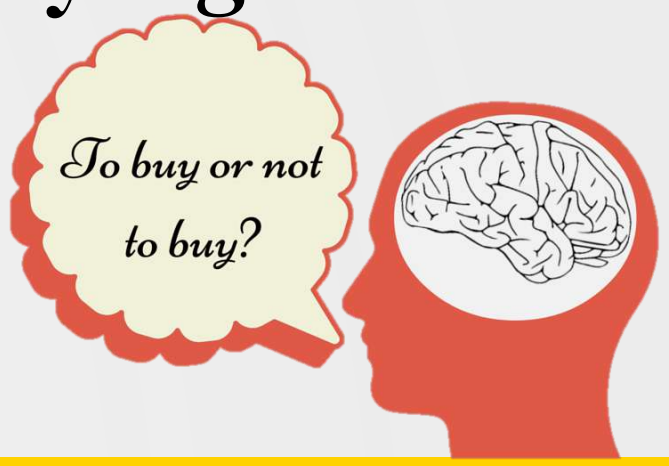
- Simply speaking, Sales psychology is nothing but

  understanding the mind of the consumers



- Most individuals buy a product only because of an

  emotional attachment **with it and not any logic**



A classic Sales Psychology Example

*Starbucks created a **Sense of Reciprocity***

Reciprocity is the act of giving back to someone who has done you a favor.

*Starbucks encouraged people to share the **hashtag #Tweetacoffee** to one of their friends.*

In return, the company offered a free cup of coffee to the friend.

*The campaign resonated with its audience and helped the company generate **$180,000 in sales.***

Understanding the buyer Psyche

Let's meet Kevin!

When someone tries to sell him something, a new version of Kevin pops up every time

Let us understand Kevin's psyche in more detail:

1. Quick response means you care about me!

- ✓ When any prospect drops an inquiry on your site, it is advisable to ***call within the next 5 minutes.***
- ✓ It creates a solid first impression of your brand

Understanding the buyer Psyche

2. *Respect my time*

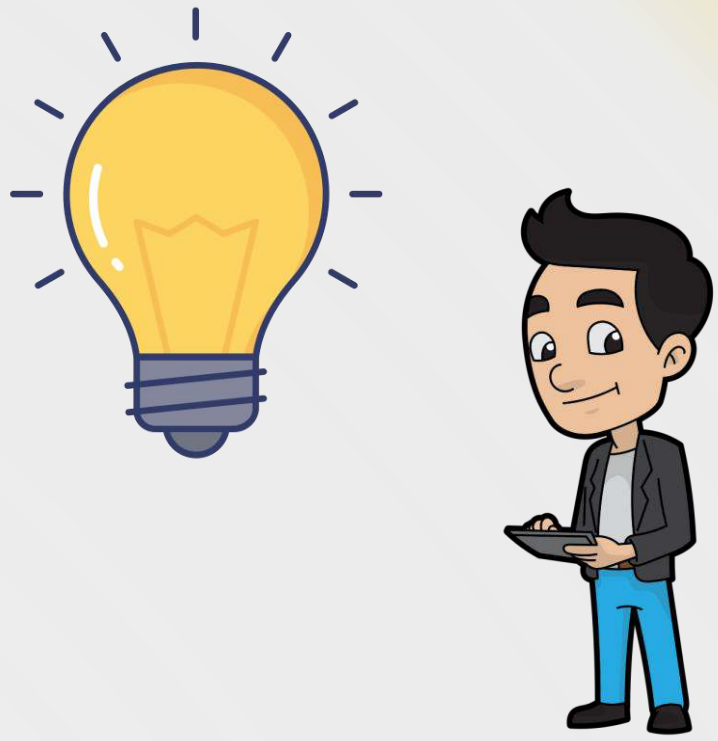
- ✓ We all designate our time with different tasks.
- ✓ *Call* prospects at the time when they are *really interested in your product*

3. *Consistent follow-ups is the key*

- ✓ Multiple research studies say that 72% of calls are never answered.
- ✓ It takes *8 attempts to reach to your prospect.*
- ✓ 50% of all sales happen after 5th attempt.

Understanding the buyer Psyche

4. I need solution, not excuses!



- ✓ Prospects care only about whether you can solve their problem or not.
- ✓ Prospects are seeking a solution, and you must offer that!

5. More options lead to more confusion.

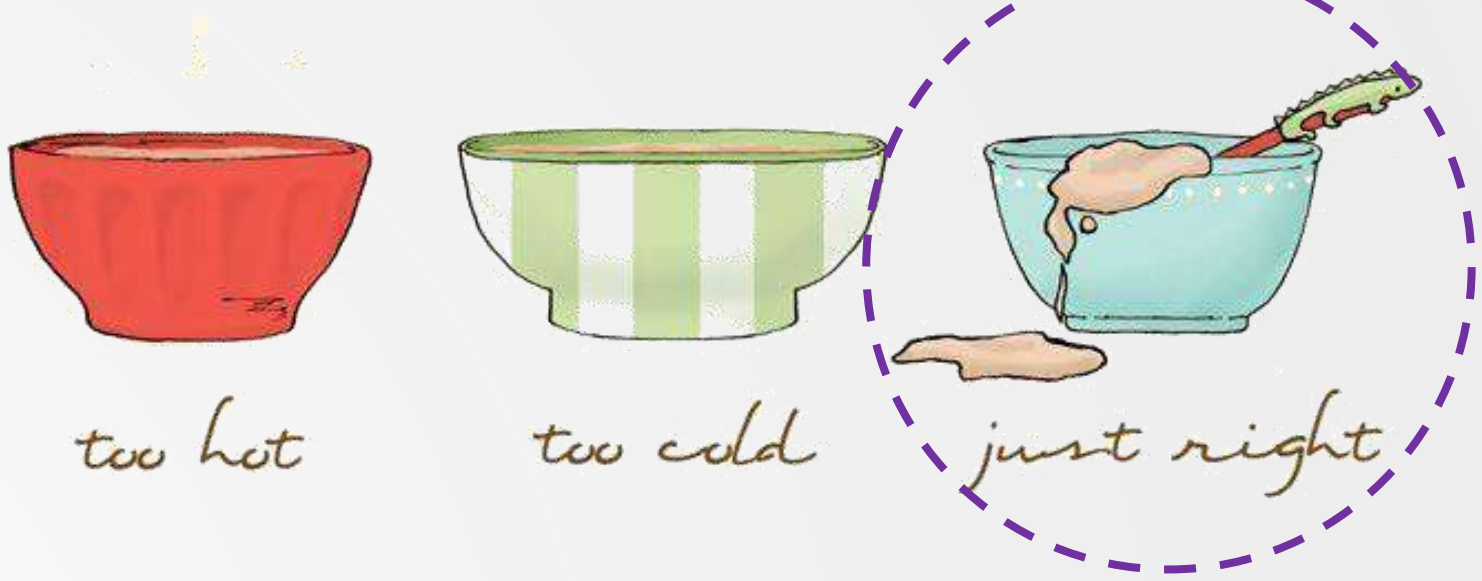
- ✓ People love options, but that does not mean you should *paralyze prospects with a truckload of options.*
- ✓ Don’t create unnecessary confusion.

Goldilocks effect in Sales

When Goldilock discovers three bowls of porridge, she chooses the one that's "not too hot, not too cold, but just right."

Consumer also practice "the Goldilocks effect" all the time while shopping.

They look not for the cheapest or most expensive option but the one that's right in the middle

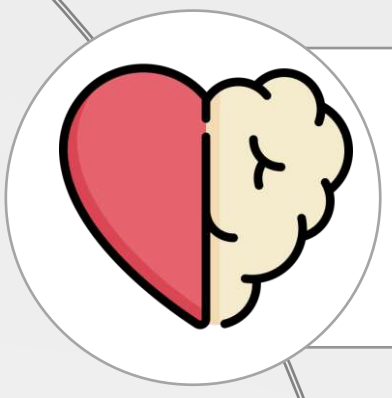


Goldilocks effect in Sales

Let's look at this example from **Dollar Shave Club**

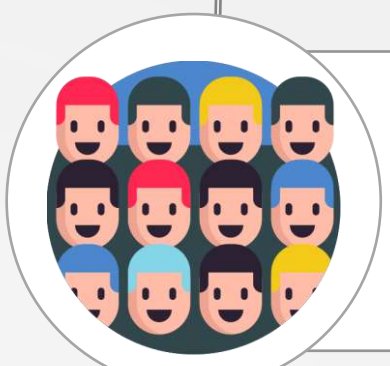
It shows three razors, and the choice in the middle is a "member favorite" at a mid-price range.

Let's Summarize Psychology

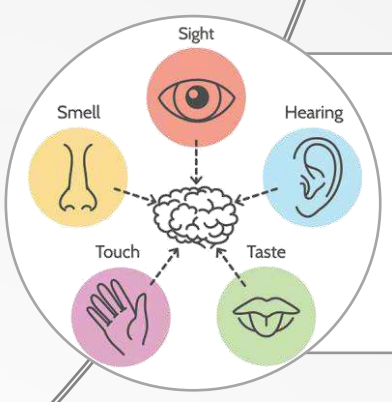


*People make decisions **emotionally***

*People are **egocentric***



*Most people follow the **crowd***



*People like to **see, hear, touch, taste, or smell** before they buy a product*

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Jon Bond, the man who pioneered guerilla marketing techniques, once said:

“In the Future, Advertising will be like sex. Only losers will pay for it”

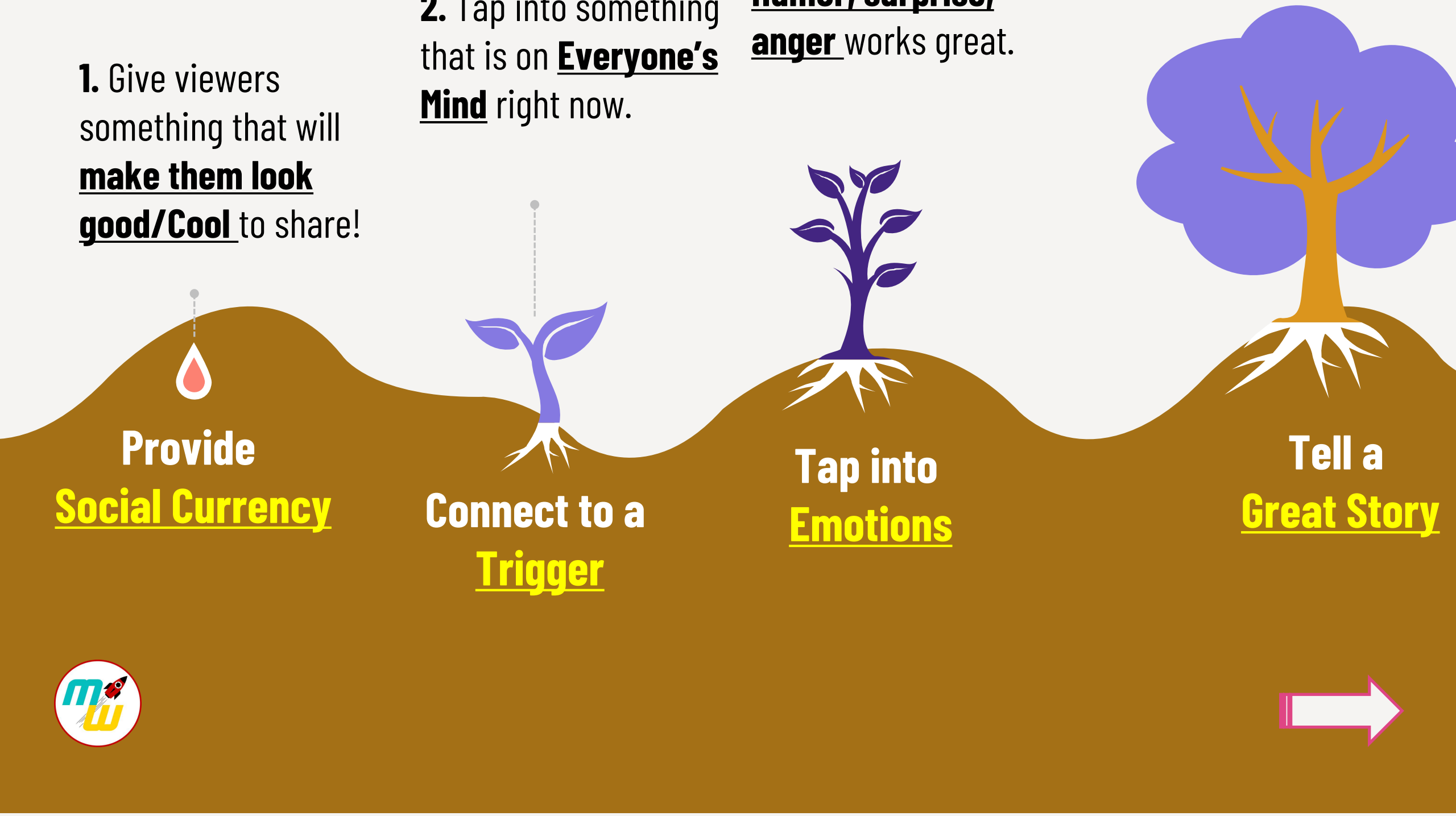
What makes a content VIRAL?

4. Tell a **Great Story** which is easy to share & remember.

3. Emotions drive people.
Humor, surprise, anger works great.

2. Tap into something that is on **Everyone's Mind** right now.

1. Give viewers something that will **make them look good/Cool** to share!

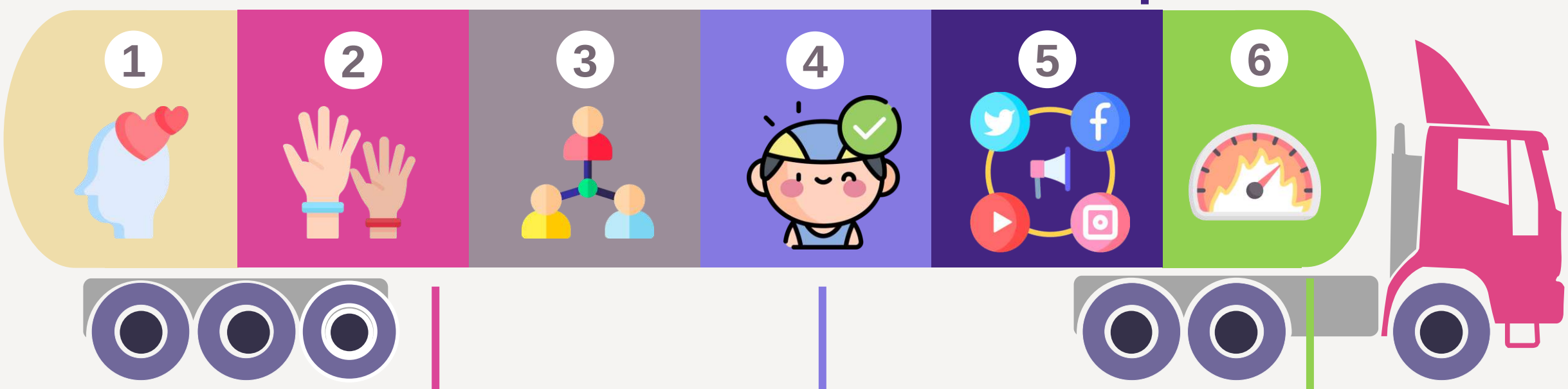


Create experience that'll generate shareable content

Start with something **people** are already **interested in**.

Connect People to each other.

Use various social media platform.



Invite participation from users.

Deliver useful content and experiences.

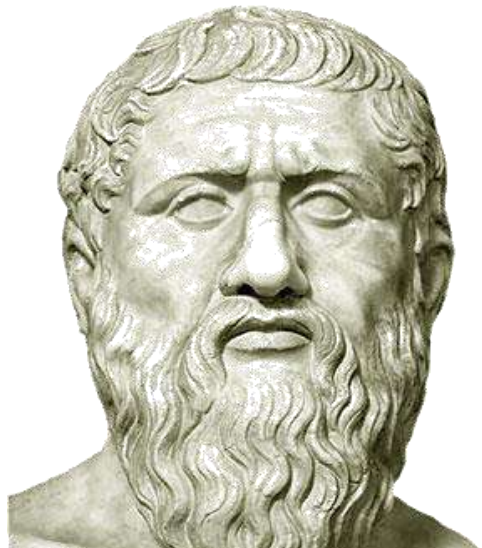
Use the **power of internet.**

1. Start with what people are talking about.

Brands love to talk about themselves. They want to show their cool features and how they are better than competitions. **FACT is, nobody give a damn about it.**

~~**Talk less about yourself**~~ and more about what people are interested in. Check out various trends to see, what is going on.

Be interested in what people are interested in. Compete for their attention on their terms, not yours.



2. Invite Participation from Viewers

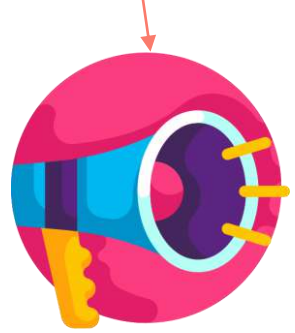
We are a generation of content creators.

We have the urge to create content in the form of Video, tweet, photos and even audio after the onset of podcasting.

Smarter brands make people to participate in their campaign.

Make them Famous

Give Gifts



Platform to raise Voice

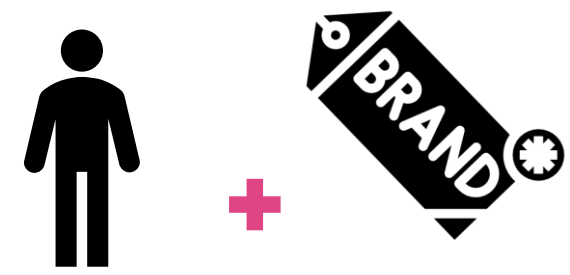
Contest/Recognition

Support Cause

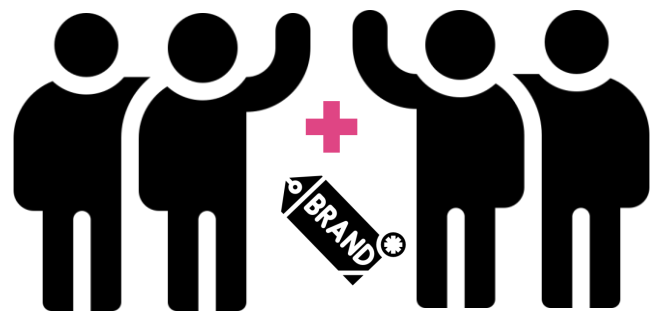
Check-out Nike's Chalkbot campaign that raise $4 Mn and garnered 36,000 user generated messages.

3. Connect people to one-another

Gone are the days when marketers connect a person with a brand in isolation.



Today when internet is ubiquitous, marketers should strive toward connecting people with Interest.



TVF aspirants pegged launch date of the next episode with the subscriber target.

This initiative connected TVF's existing subscribers to potential subscriber.

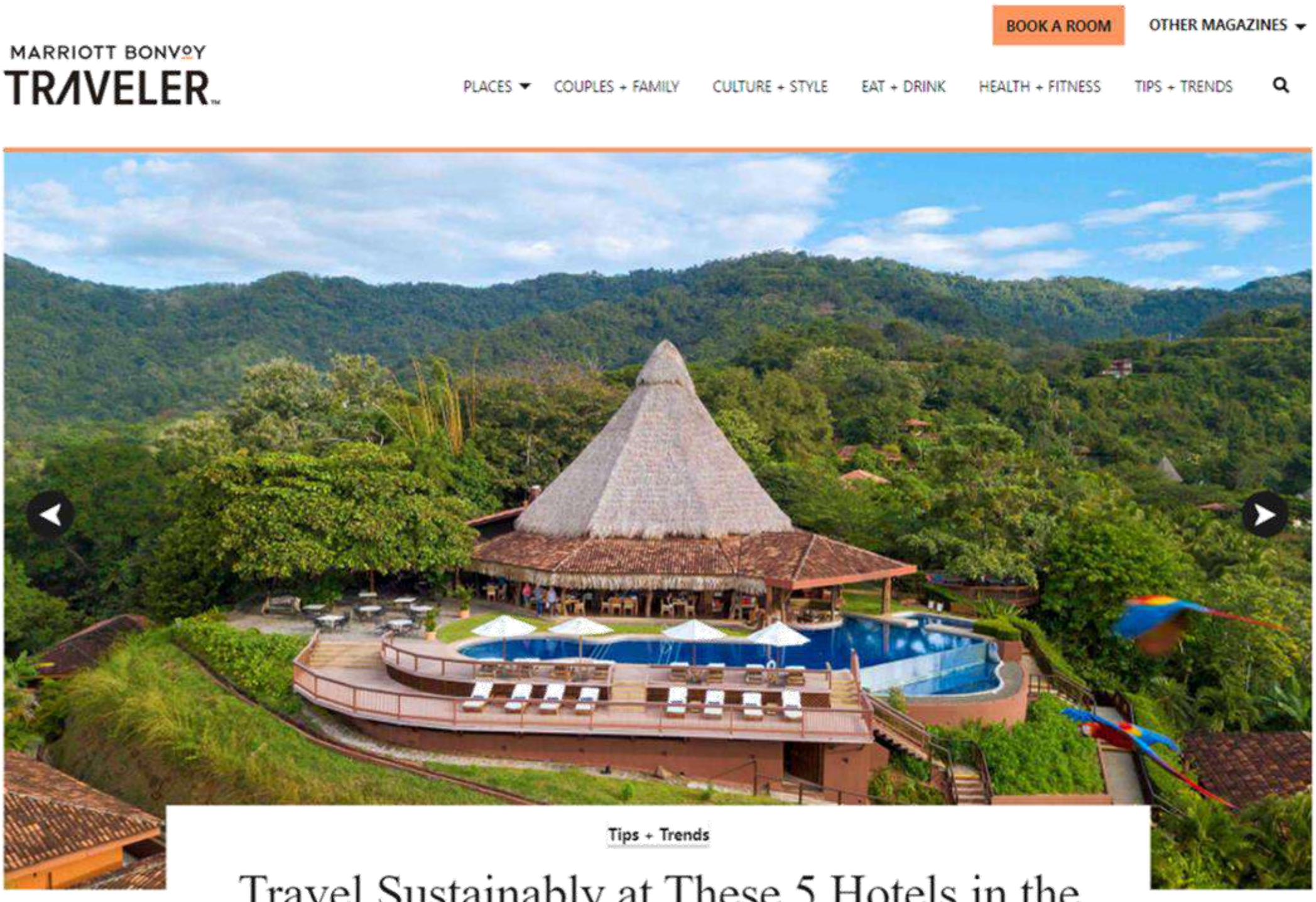
4. Deliver useful contents

When brands create contents that ***help their Target Group***, viewers will reward them with **word-of-mouth advertisement like reviews, referral & social media shares.**

1 Million monthly website hit | May 21

Engagement rate >80%

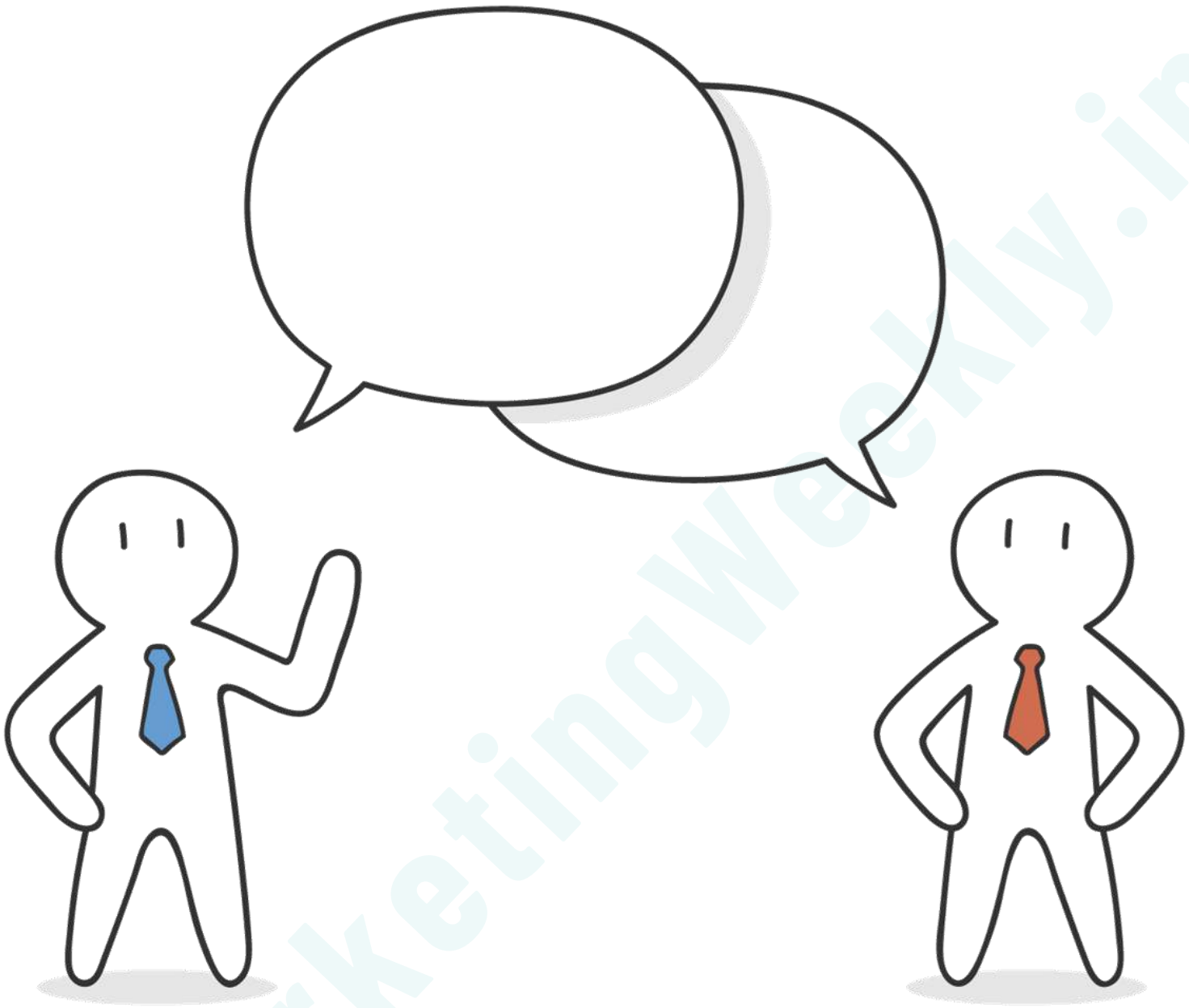
>20 Mn followers/subscriber on Social Media



How to master

Conversational Marketing?

Conversational marketing is a personalized approach of doing business online.



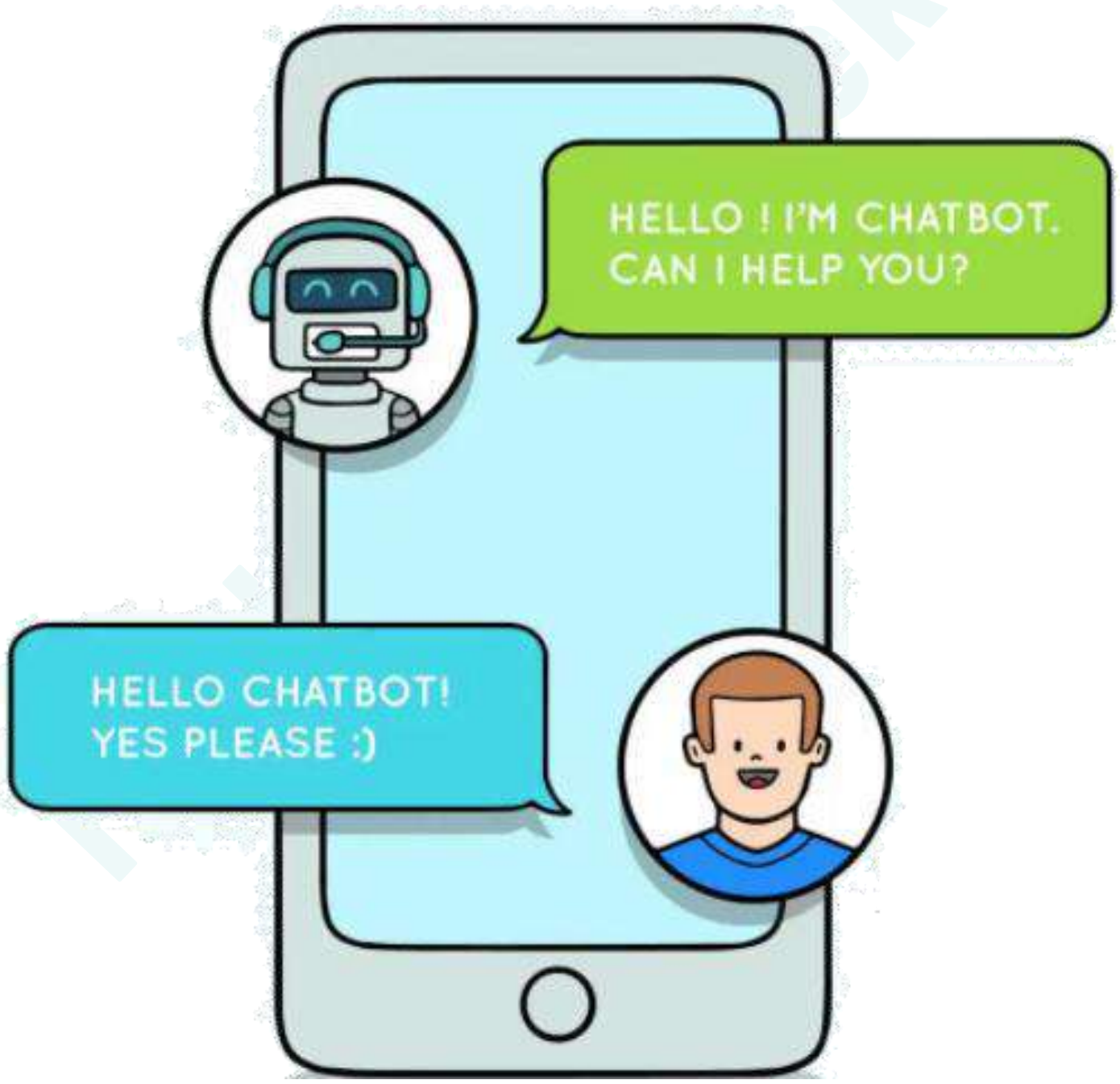
Conversational marketing is the best way for a business to

start real-time conversations with buyers & customers

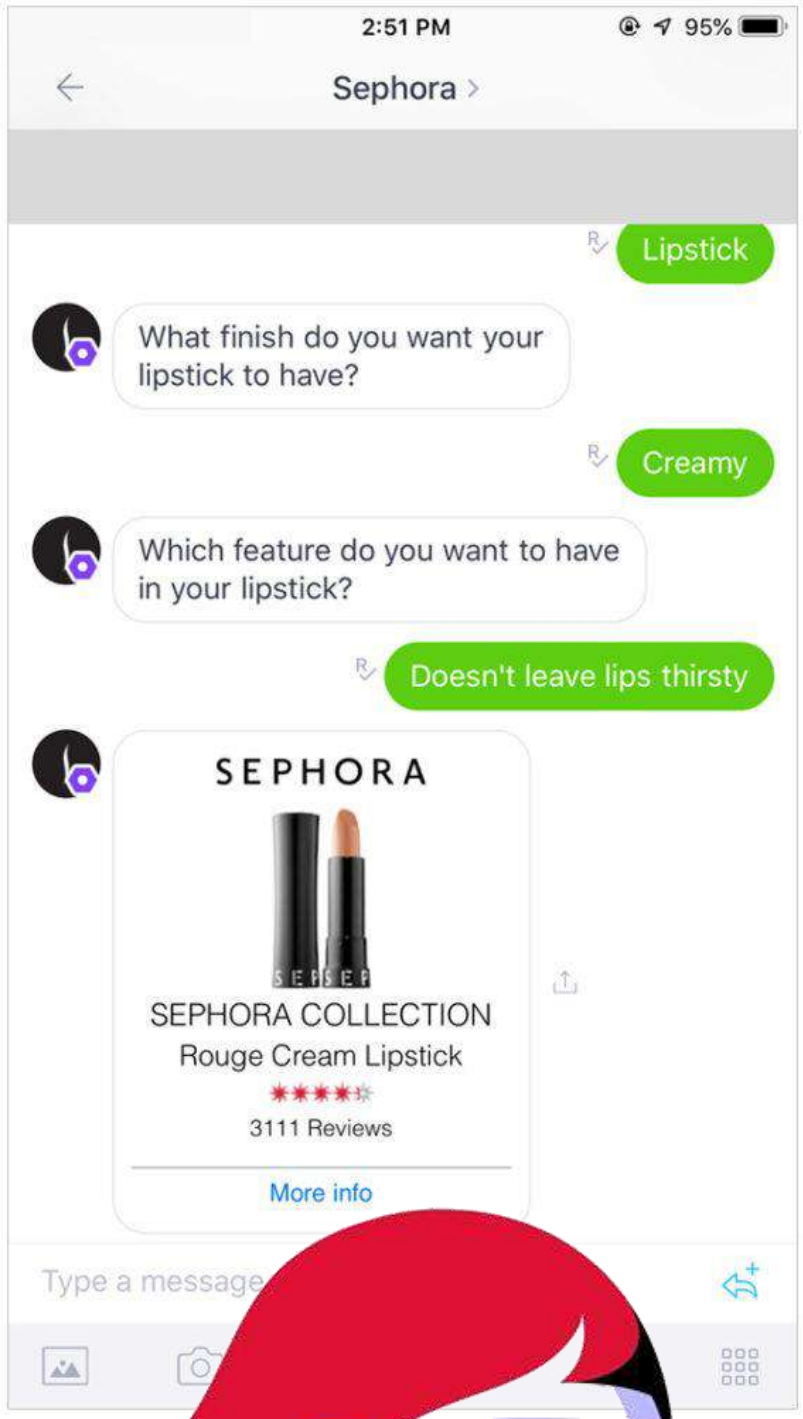
What Are Chatbots?

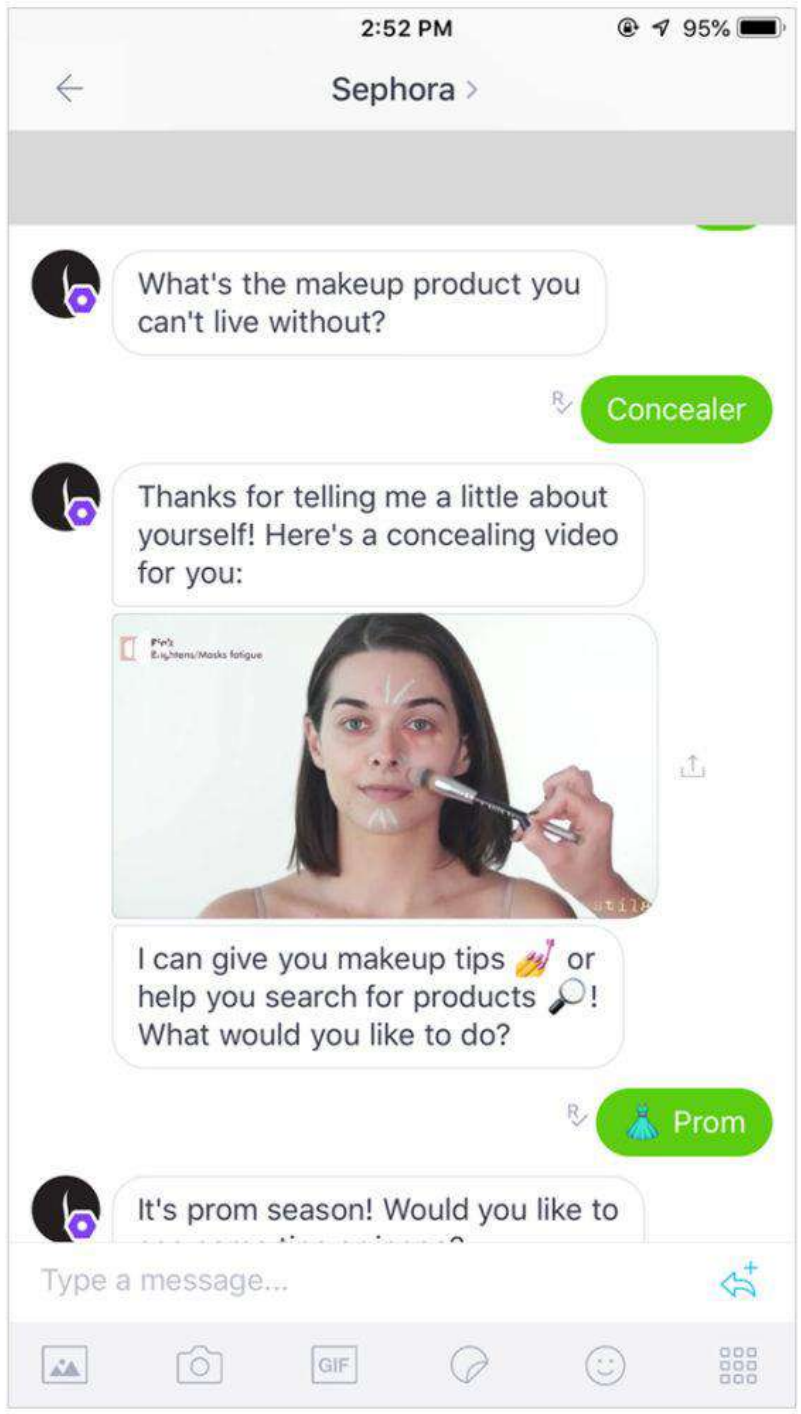
Chatbot is a tool that uses **natural language and pre-programmed** responses to have a conversation

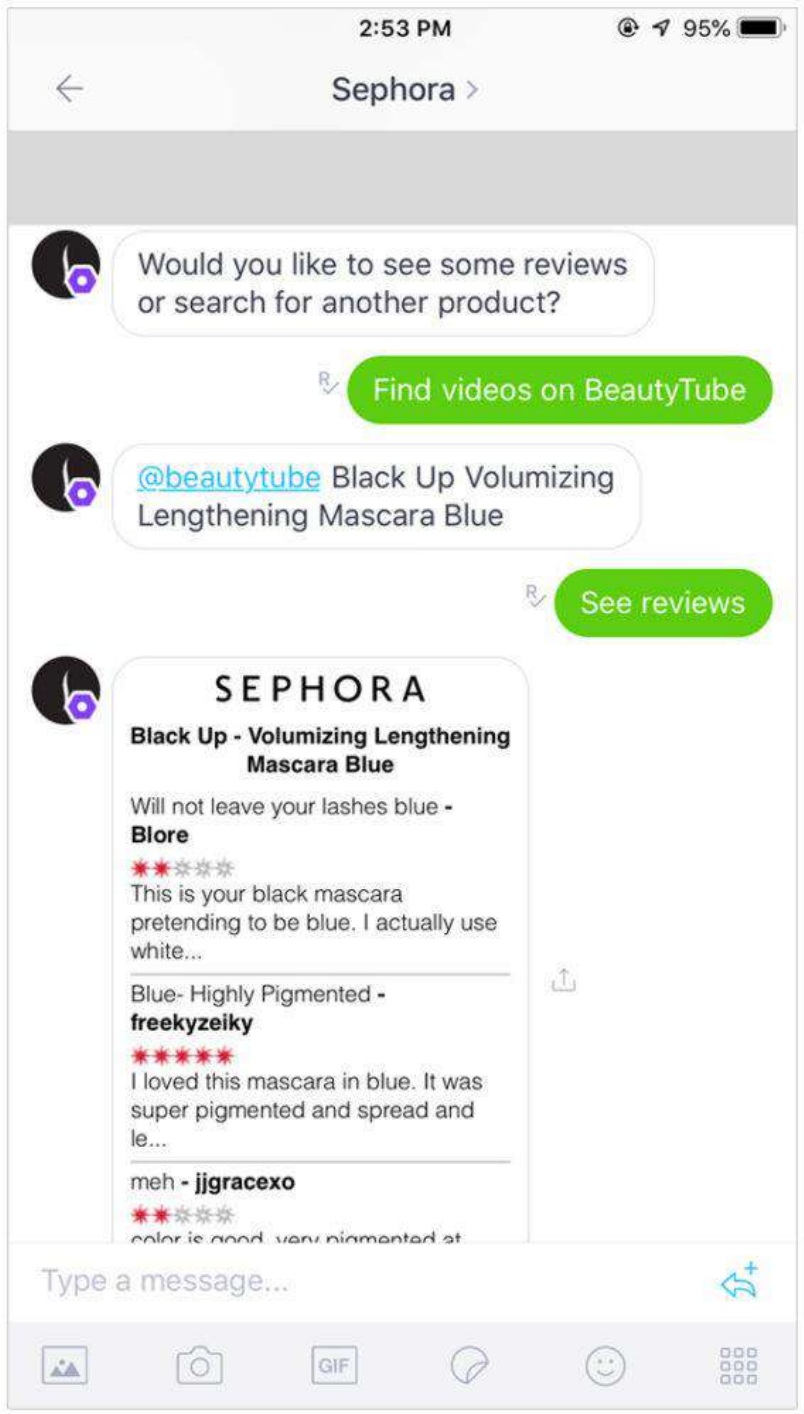
Chatbots don’t require anyone to actually be responding to the user

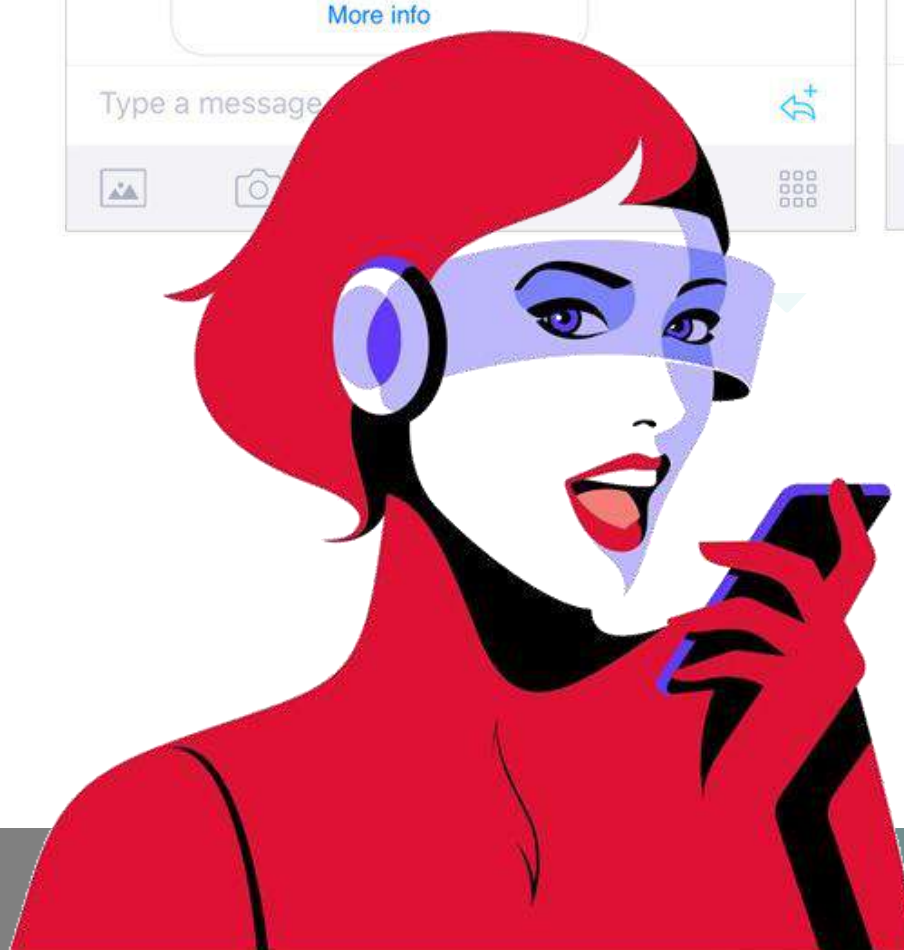


Example: **Sephora**, the perfume brand does this beautifully

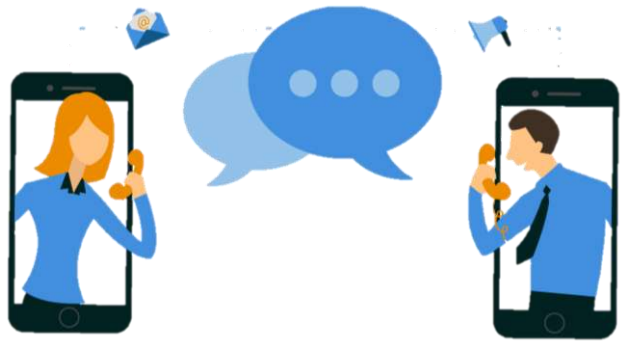






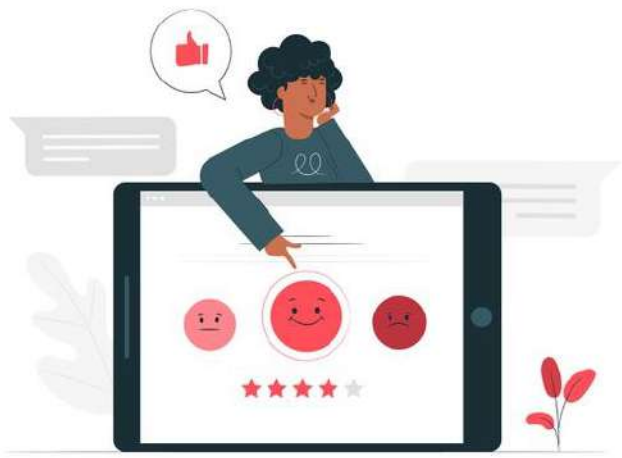


Benefits of Conversational Marketing?



Engage, Qualify and Generate more leads

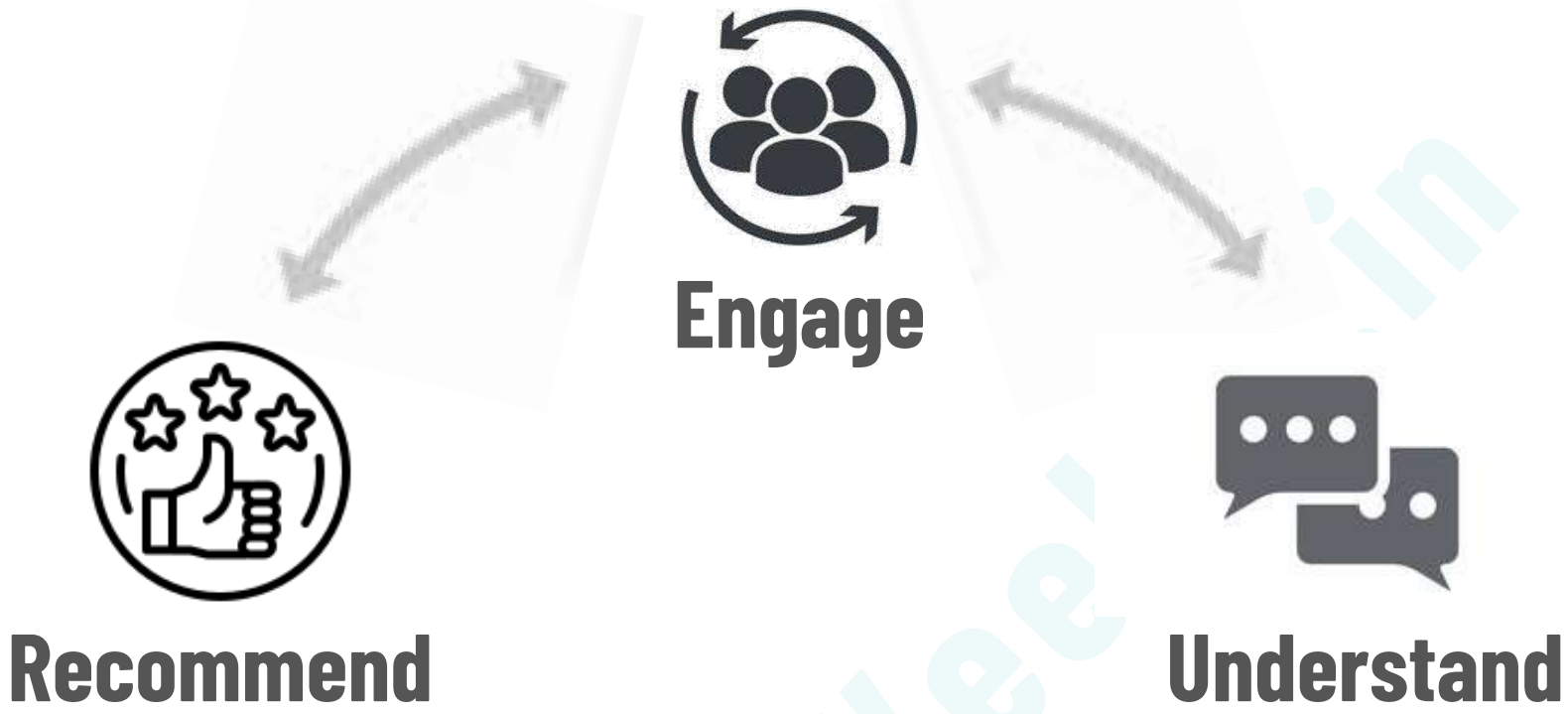
Provide valuable insights about customers

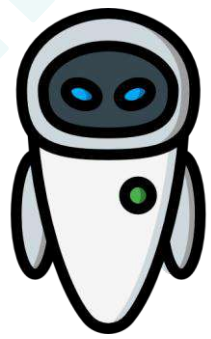


Provides a better experience to customers

Build customer Relationship

Framework to Conversational Marketing





Interactive Bot

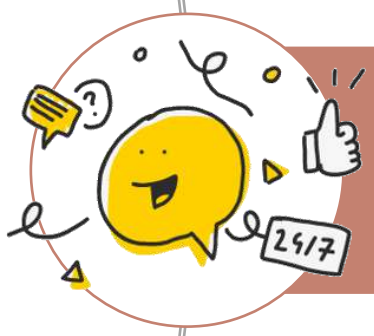
Conversational Marketing

Marketing Weekly

Key Principles of Conversational Marketing

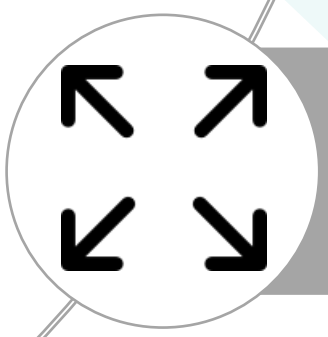
Conversations happen at **customer-time.**

Conversations have **context.**



Conversation is more than just live chat.

Conversations **meet customers** where they are.



Conversations are scalable.

What is the FIX?

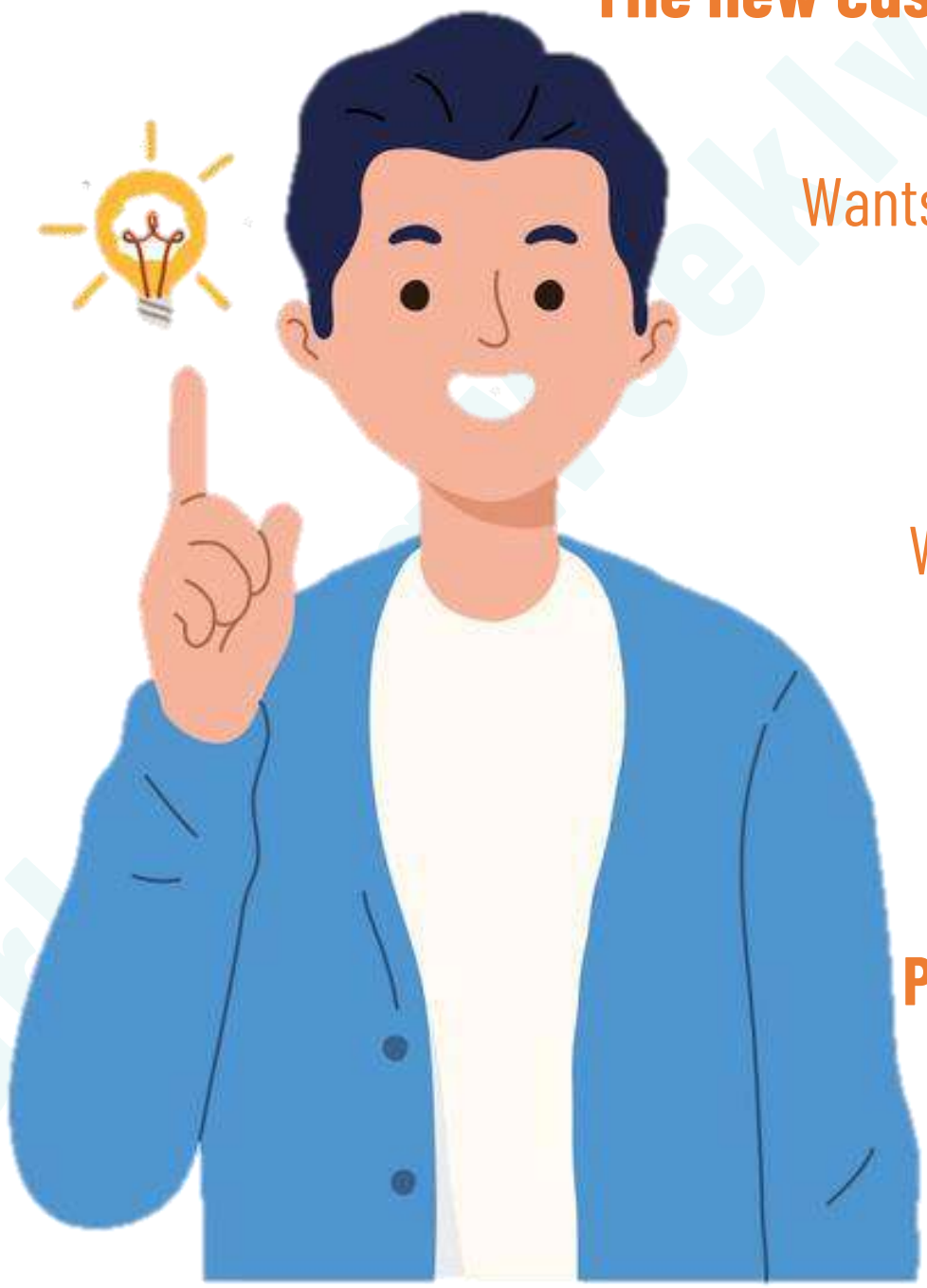
FACTS

Only 4 out of 10 people answer cold calls

Average email open rate has fallen to 20%

Average landing page conversion rate is only 2.35%

B2B buying process has become cold & impersonal



The new customer

Wants to be treated as a **PERSON**

Wants to engage on his **TERMS**

Wants an experience **PERSONALIZED** to his needs

We need to make business actually feel personal again.

How brands are leveraging Conversational Marketing

1. Fossil

Consumers love personalization and customization. And they love it more when something is tailored just for them

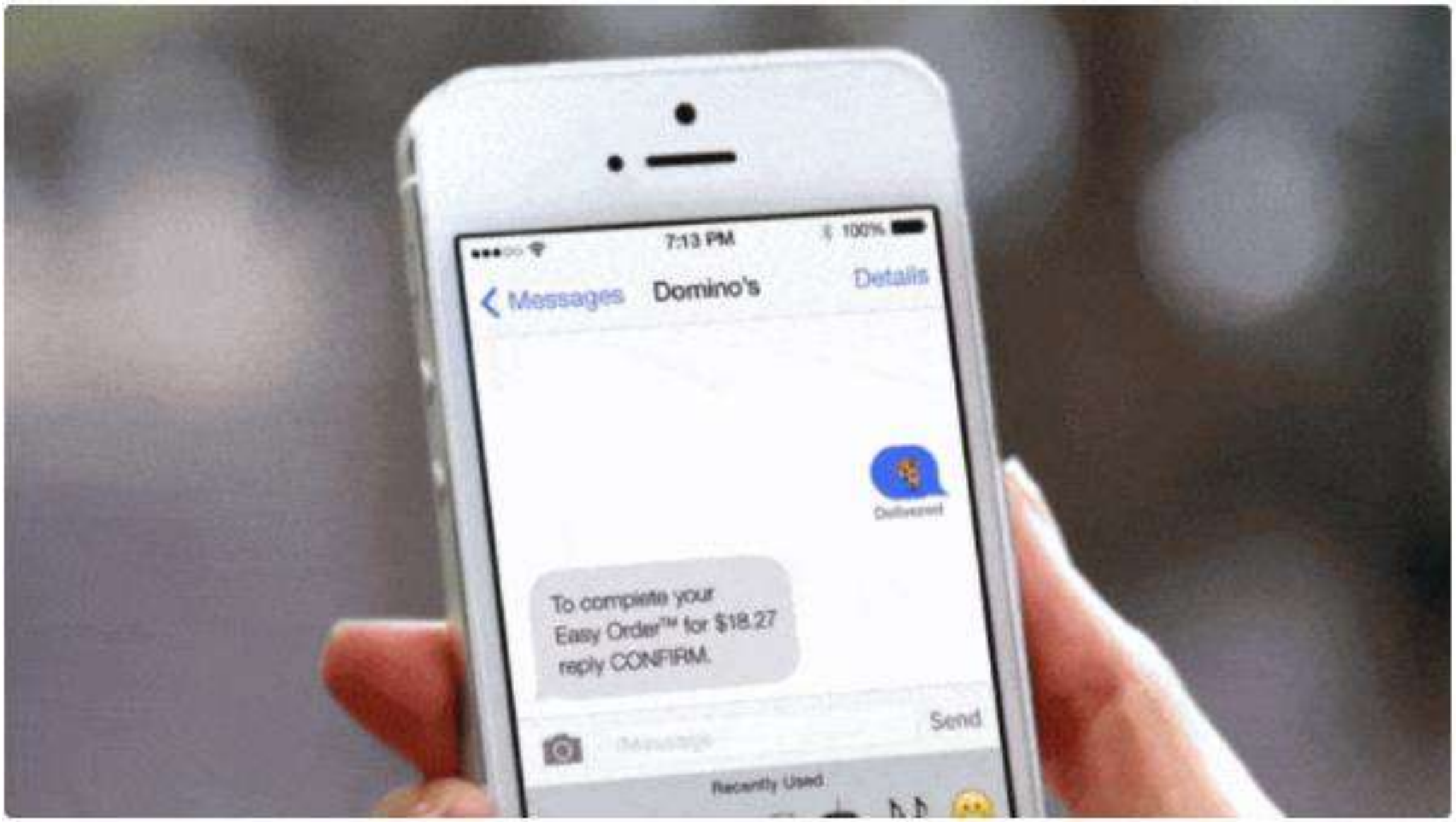
How brands are leveraging Conversational Marketing

2. Mont Blanc

With conversational marketing, one can provide personalized recommendations to consumers looking for it

How brands are leveraging Conversational Marketing

3. Domino's Pizza



Domino's recent **Domino's AnyWare initiative** allows customers to order pizza from, well, literally anywhere. This includes conversational channels like Slack, Facebook Messenger, Twitter, and text message — **by simply texting the pizza emoji.**

Thank You & All the Best!

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